

DAY TRADING OPTIONS

This Book Includes- Day Trading Strategies, Options Trading: Strategy Guide For Beginners, Trading Options: Advanced Tracing Strategies and Techniques

Proven Beginner
& Advanced
Trading Tactics
Included

BRANDEN LEE

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DAY TRADING STRATEGIES

A Guide to Day Trading Strategies, Risk Management, and Trader Psychology

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INTRODUCTION

Congratulations on downloading this book and thank you for doing so.

The following chapters will discuss some of the basics that you need to know to get started with day trading. There are many different options that you can choose when it comes to picking out a good investment, and day trading can take you to the next level. There is some stress that comes with it, and you need to really understand the market, but that is where this guidebook can come in and help you to see success.

The beginning of this guidebook will spend some time discussing the basics that you need to know to get started with day trading. It will discuss the benefits of working with day trading, what day trading is and how it varies from other forms of trading in the stock market, how to pick out the right stocks to trade in, and even how to manage your risks. Before moving on, we will also talk about some of the tools and platforms that you need to have, such as picking out the right broker, to help you get a good start as a day trader.

In the second part of the guidebook, we will move on to some of the different strategies that you can choose to work with in day trading. There

are many different trading strategies that are available, and each of them will have different rules and requirements that you need to follow to see some great results. And all of them can be successful as long as you learn how to use them properly. Some of the different day trading strategies that will be discussed inside this guidebook include opening range breakouts, reversal trading, ABCD pattern, resistance trading and so much more.

Getting started in day trading may not be the best choice for everyone, but for those who are ready to make good money in the stock market, for those who can keep up with the quick changes that come with day trading, and those who are ready for a great investment opportunity, day trading can be the best option. Make sure to read through this guidebook to learn all the tips and strategies that you need to be successful with your day trading investments.

There are plenty of books on this subject on the market, thanks again for choosing this one! Every effort was made to ensure it is full of as much useful information as possible, please enjoy!

CHAPTER 1: HOW DAY TRADING WORKS

Before you get started with your day trading adventure, it is important to know a little bit about the basics of day trading. Some people hear about this investment opportunity and how much money it can make them, so they jump in without doing any research. But this can be a dangerous way to do your work. It does not allow you to fully understand how day trading works and can even make it difficult to not lose money. Here we will look at some of the best strategies and tools that you can use to make you an expert when it comes to getting started with day trading.

Swing trading vs. day trading

What do you need to look for if you are a day trader? The answer is actually pretty simple in the beginning, but there are a lot of different parts that come with it. First, you want to take a look for stocks that have some movement, and you want this movement to be predictable. Second, you want to work with stocks that you can buy and sell on the same day. With day trading, you will never keep your position overnight and then sell the next day. If you do not make the trades on the same day, such as holding

onto the stock overnight, you have switched from day trading to swing trading.

With swing trading, you are working with a type of trading where you will hold the stocks for a period of time. It is usually pretty short, and the trading will last from a day to a few weeks. The trading methods and strategies will be different for swing trading and day trading, so you should not use the same ones. They may seem similar because you are trading quickly in the market, but there are some key differences. Just remember, with day trading, you will purchase the stock and then sell it all on the same day.

This quick trading can be difficult for some people to deal with. If you are not careful with your selections, you may end up selling your stocks at the end of the day for a loss. But you really do need to let the stocks go, even at a small loss. If you hold onto the stocks overnight, the strategies for day trading may lead you to an even bigger loss the next day. If you want to be able to hold onto the stock for a few days and see if you can get a bigger profit rather than a loss, then you will want to go with swing trading instead.

Buying long and selling short

Day traders will always purchase a stock while hoping that the price will get higher. This strategy is known as *buying long*. Buying long will be a good option to go with any time you are looking at a stock, and you purchase it expecting that the price is going up.

That first part is pretty easy to understand, but what will happen if the prices of a stock start to drop? In this scenario, you can sell short, and you will end up making a profit in the process. It is possible to borrow shares from one of your brokers and then sell them, all while hoping that the price will get lower and that you will be able to purchase those shares at a lower price and make a profit. This is called selling short.

Let's look at an example of how this works. Let's say you borrow 100 shares of a stock from your broker and then you sell them at \$100 a share. Then the price of that stock ends up dropping to \$90. Now that the price has lowered, you will buy those shares back at the lower price and then give them back to the broker. You were then able to make \$10 on each share, or \$1000 total in this case. Of course, the market can also go up and then you will end up owing that money to your broker, so you really have to understand the market before you chose to go with this option.

This is why short selling can be a dangerous option to go with for beginners. It is hard to know when a share will go down and you could easily end up owing more money than you would make. Many beginners avoid this option, at least when they are first starting, to help them not get caught up and make the wrong decisions.

Institutional vs. retail traders

Individual traders are often known as retail traders. These people may work on trading either part-time or full-time, but they work for themselves and are not managing the money of other people. In reality, these retail traders are not a big part of the market because most people will trust a brokerage firm to help with their investments.

Then there are also the institutional traders which would include the big investment banks, trading firms, hedge funds, and mutual funds. These people are more professional with their trading and may use high-frequency trading or computer algorithms to help them get their results. These traders will often have a lot of money behind them, and they can add more aggressiveness to their trading than the retail traders.

As a retail trader, you may be curious as to how you will be able to compete against the institutional traders who have more money and more technology available to use. The biggest benefit of being a retail trader is that you can make choices about whether to stay out of the market or if you can trade at any given time. On the other hand, institutional traders will need to trade no matter what. As long as the retail trader does not get caught up with overtrading, they can use this to their advantage and make a great profit in the process.

Only trading the best

It is important that you learn what stocks are the best when you are a day trader. You only get one day to make a purchase of the stock and then sell it.

You do not want to end up with a stock that quickly goes down and costs you a lot of money in the process.

This is why it is so important to come up with a strategy that will help you out. We will talk about a variety of strategies and methods that you can use to help you be more successful with your day trading.

The most important thing that you can do here though is to learn which stocks are the best. You need to be able to look at a stock and see whether it will continue to go up or not. Is this a good stock that has something unique about it, something that will keep it going up even if the market is going down a bit? Or is this a stock that is only going up because the whole market is seeing an upturn. This can make a big difference in which stocks you pick, and we will take some time to look at these and figure out which stocks work the best with the different strategies you will want to choose.

Advantages and Disadvantages of Day Trading

Pros

Making huge profit

With day trading, you can make a substantial profit. But of course, you can only achieve this if you have the traits of you true day trader – diligent,

decisive, and responsible.

Boss spells Y-O-U

You are your own boss. As a day trader, you work independently. You can work at your most convenient time, take day offs if you want to, and work at your own pace.

Never gets boring

As a day trader, you need to work your wit every day against the market and other professionals – be it daytime or nighttime. Unlike the boring, trivial tasks in office or dull cold-calling, you, as a day trader, always feel the adrenaline rush every rapid-fire trading. Not because you want to, but because you need to. Especially if day trading is your primary source of income. Yes, in day trading, there will never be a dull moment.

Cons

You are your own boss

Being your own boss can be a very fun thing. But it's not always like that. Being your own boss (and focusing on day trading) means you need to quit

your day job. That means giving up a stable, monthly paycheck. As a full-time day trader, you need to push yourself to work hard to earn enough profit to pay your bills and to enjoy a lifestyle you want.

Burn, baby, burn!

We're talking about getting burnt out in here. Day trading is not always rainbows and butterflies. There may be times when it feels like day trading is the worst storm in your life ever. Day trading can become very stressful because you need to monitor multiple screens to detect opportunities for trading. And when you find one, you need to act very quickly to exploit them. This is your everyday life as a day trader. Overworking yourself is mandatory in this kind of job.

CHAPTER 2: THE PERSONALITY OF A DAY TRADER

When it comes to day trading, there are some important personality traits that you need to possess if you would like to be successful. Not everyone will do well with day trading. It is a fast-paced world of investing, and you can quickly lose a lot of money in the process. And if you do not possess the right characteristics, you will find that you increase your risk of losing money more than before.

Before you decide to get into the world of day trading, you should consider whether you have the right personality to get started in this field. It can be tough for some people, but with the right personality traits, it will be a great option to help you make some money.

Some of the personality traits that you need to possess to do well with day trading include:

- Personal independence: this is a good work from home business. You need to enjoy the freedom of working on your own and not having someone

looking over your shoulders all of the time. If you are not able to motivate yourself to get the work done or you thrive when you are in an office setting, you may find that it is difficult to get started in this kind of business.

- **Decisiveness:** when you are dealing with the market over the long term, you will notice that the market stays pretty steady. But when you work in the market on one day, there are a lot of ups and downs and the market may change on you in just a few seconds. Because of this, a day trader needs to be able to make quick and decisive decisions to keep them in the market. As a good day trader, you will need to rely on some of your past experiences to read what is going on with a new situation and make your decisions. There isn't a ton of room for second-guessing when it comes to day trading.

- **Discipline and persistence:** since you do not have a boss on your back when you work in day trading, you need to be able to keep yourself focused on the task at hand. You need to be able to watch the market, do your research, and be prepared to make the right decisions to make more money. And you need to realize that there will be a time when you are learning the ropes, and it may not be going the way that you would like. However, once you find a strategy that works for you and helps you to make a profit, then you will stick with it.

- **Interest in trading:** good traders will have some enthusiasm for the market for a long time before they decide to get into day trading. You should already have a natural inclination to follow commodities, bonds, stocks, and some of the other securities that are available. If you do not really have any

interest in business or finances at all, then this will be a struggle to become a day trader.

- Personal support: you do need to have your own discipline and to be self-motivated, it is still nice to have some personal support along the way. The daily life of a day trader can be stressful and having some friends and family who will help you to keep in touch with the world can make a big difference.

- Financial independence: it is not a requirement to have a ton of money to get started with day trading. With that being said, you do need to have enough that you can do your chosen trades and then still have a little bit of a safety net in case the trades do not do that much. You should never trade with money that you cannot afford to lose. If you are someone who is living paycheck to paycheck, you need to take some time to build up savings before you even get started with day trading.

- Understand technology: all of your day trading will happen on your computer. If you do not have some familiarity with using a computer and with some of the platforms that are available, you will have a hard time working with day trading.

- Can keep your cool: there will be times, even with a good day trading strategy, when you make the wrong decisions, and your stocks will lose you money. If you are not able to keep your cool, you will end up making the situation a lot worse. You need to be able to look at the situation, whether

you are earning money or losing money, and make good decisions that will help you to turn things around or to at least limit your losses.

There are a lot of different parts that come with becoming a day trader, and if you are not in the right frame of mind or do not have the personality for this, you will be disappointed with the lack of results that you will get. It takes a specific person to do day trading, and for those who do not have the right personality, it is best to pick out different investing options.

CHAPTER 3: HOW TO MANAGE YOUR RISKS

If you want to be successful at day trading, there are three things that you need to have. You need to have a sound psychology that can handle the stress of this trading style, a set of trading strategies that will help you make good decisions, and a good plan to help you manage your risk. If you are missing out on one of these parts, your whole program will fail, and you will not make money with day trading.

As a beginner, it is easy to focus only on the trading strategy that you are using. While the trading strategy is pretty important, it leaves you without the other three components that are just as important. Just because you have picked out a good strategy to work with does not mean you have the right self-discipline to stick with that strategy or to wait the market out long enough, and this could be the reason that you are failing, regardless of the strategy that you pick.

For this chapter, we will talk about risk management. There will be plenty of time for the strategies that you can use later, but for now, we need to learn some of the rules that you must follow to manage your risk. Of

course, any strategy that you pick will have times when they will lead to a bad trade. The market does not always behave the way that it should or that we expect. But when you learn to manage your risk, you will not lose out as much money as you would just jumping into the market.

The first thing that you should do to manage your risks is to draw a line in the sand or have an exit point when you will decide it is time to get out of the trade. Pride can be hard to swallow for a lot of people, and they may find that it is hard to admit defeat or that they were wrong about a trade. But holding onto that trade will simply lead you to losing more money and will make the mistake bigger than before. You need to learn when to cut your losses and then walk away.

There will be times when the trade goes against you. This happens to beginners as well as to those who have been in the market for a long time. When the trade starts to go against you, it is time to exit. It is common in day trading for the unexpected to happen all of the time because there are such big fluctuations in the market from one moment to another. It may be hard to admit the defeat, but remember that there are always other trades that you can do on other days.

Your main job in day trading is to make money. If you are holding onto a position that is going against you just because you want to be able to prove that a prediction you made was right, then you are a bad trader. Your job here is not to always be right; it is to make money.

Another thing that you should do to minimize your risks is to always follow the plans and rules of your chosen strategy. This will be really easy when the trade is going well, and you are making money. But when you are in the middle of a bad trade, you may be tempted to go against those rules. This may seem like a good idea at the time, but it can end up costing you a lot of money. Following the rules of your strategy may make you lose a bit of money, but it is much easier to lose a little and get back into the game later than to end up with a big loss. It is better to take some of those quick losses, get out of the trade, and then come back to it all later on.

Next, you need to make sure that you are finding low-risk entries that can provide you with a high potential reward. These can be risky still, but they pose a lot less risk than you will find with other stocks that you choose. The best setup is when you find an opportunity that will provide you with a trade that has a very little risk. For example, risking \$100 to make \$300 is a good setup, but if you are risking \$100 to make \$10, you are in the wrong trade. Most expert traders are not going to work on trades that have a ratio of less than 2 to 1 for profit-to-loss.

What this means is that if you purchase \$1000 of stock and you are risking \$100 on that stock, it is important that you sell that stock for a minimum of \$1200 to make it worth your time and to decrease the risk. Of course, it may not always work out that way, and you may need to accept a loss, such as when the stock goes down to \$900, but there should at least be the potential to make \$1200. If the potential is only to make \$1100 on the stocks, the profit-to-loss ratio is too low, and you should not risk it.

On some days, you are not going to be able to find a stock that has the right profit-to-loss ratio. That is fine. It is much better to stay out of the market for a day than to trade on a stock that does not provide the requirements that you need. You can enter the market later on, on another day or two down the line, knowing that you did not risk your money in the process. With the 2 to 1 ratio, you will be in a good position. Remember that there are still going to be times when you are wrong, or the market goes the opposite way than it should. If you stick with this ratio or better, you can still be wrong 40 percent of the time and make money from day trading.

The three questions to ask

Whenever you decide to purchase a stock on a trading platform, you are risking some of your money. Even stocks that fit into the ratio that we talked about before can run into some issues, and you have to realize that you are risking your money each time that you do this. However, there are some steps that you can take to manage this risk. The questions that you should ask yourself before any of your chosen trades include:

- Am I trading with the right stock: the first step of risk management is to work with the right stock? If you pick out the wrong stock, it does not matter what tools or platform you are using, you will end up losing. You need to make sure that you are avoiding stocks that do not have any movement, penny stocks that can be highly manipulated, ones that have a small trading volume, and those that are already being traded heavily by institutional traders and computers. We will discuss more about picking the right stocks to trade in a later chapter.

- What share size should I work with: the next question is to decide how many shares you should purchase. This will depend on how much money you have available and your daily goals. If you only want to hit a target of \$1000 each day, then you will need to purchase more than 20 shares in most cases. If you do not have enough money in your account for this kind of target, then it is time to lower the daily goal.

- What is my stop loss: this is basically the amount that you are comfortable with losing if the market goes south. The most that you should never risk more than two percent of the equity in your account. This means if you have an account that holds \$10,000, you should not risk over \$200. This means that you may not make as much of a return on investment on your trades, but also helps you to keep most of your money in your account.

The three-step risk management plan

Step 1: the first step that you should take is to determine the absolute maximum dollar risk that you will take for the trade you are planning. It is recommended that as a beginner, you should never risk more than 2 percent of the equity in your account, but you can choose to go up and down from this number based on how much money you have and how much you are willing to risk. You need to have this amount calculated before you even start trading for the day.

Step 2: the second step is to estimate the maximum risk per share that you will take, the strategy stop loss, from your entry. We will learn more how to do this later because you will have a different stop loss based on the strategy that you choose.

Step 3: take the number from step 1 and divide it by the number you got from step two. This will give you the maximum number of shares that you can trade each time. Do not go about this level, or you are increasing your risk too much.

Let's take a look at how this would work. Let's say that you will get some stocks and you have \$40,000 in your account. If you stick with the rule of only using 2 percent, then you would limit your risk to \$800. We will be conservative for this trade as beginners and only risk 1 percent of the account, or \$400. Now we have finished step one.

As you are monitoring the stock, you see that a situation is developing where you would use the VWAP Strategy (more on this later on) to get the best results. So you decide to sell the short stock when it reaches \$50, and you want to cover them at \$48.80, with a stop loss at \$50.40. This means that you will be risking about \$0.40 per share. This will be step 2.

Now we are moving on to step three. We will calculate our share size by dividing the numbers in step 1 and step 2, so we can find the maximum size that we can trade. For this example, we would be able to purchase a maximum of 1000 shares.

Now, with the money that you have in your account, you may not have the right buying power to get the shares at \$50. So, you would choose to purchase fewer shares, such as 500 shares to get started with. With the strategies that we have talked about, you are never allowed to risk over 2 percent, but you can always be conservative and riskless.

Making sure you can handle the stress

And finally, to manage your risk, you need to make sure that you are actually able to handle the stress that comes from day trading. This is a stressful job. You are not able to just place your money on the market and then walk away from it, checking in on occasion. Rather, you need to be watching your stock the whole day. All those little fluctuations up and down can have a big impact on your potential earnings, and this can add a lot of stress to your day.

If you do not have the time to devote to this, at least on the days that you decide to trade, then this is not the right investment option for you. If you have trouble dealing with stress or you already have enough stress in your life, then day trading is not right for you. If you are not good at making decisions at the last minute and you let your emotions take over, then day trading is not for you.

Day trading can be a great investment option for you to work with, but you need to make sure that you are managing your risks and keeping them as small as possible. With the right strategy and risk management plan in place, even when you lose a little bit of money on an occasional bad trade, you will still be able to make a lot of money with day trading.

CHAPTER 4: HOW TO FIND THE BEST STOCKS TO TRADE

Once you have a good risk management plan in place, it is time to pick out the right stocks. You can have the right mentality and the perfect strategy, but if you frequently go into the market and pick out horrible stocks, nothing will save your trade. There are a lot of beginner traders who do not know how to find a good stock, or even what a good stock is all about. They will make a lot of mistakes and end up believing that this market is too hard to trade in. No matter what kind of trader you are, if your stocks do not have the right volume and they do not move, you will not be making money consistently. And when you trade in a stock that does not end up moving, it is basically a day that is wasted.

Of course, it is not just about the stocks moving; we actually want to see them move in a certain direction. We want to see them go up so that we can actually make a profit when we sell them at the end of the day.

Stocks in Play

One of the best options that you can go with is a Stock in Play. This is a stock that offers you a good risk to reward setup, which means that your downside will be 5c and your upside is 25c. These are nice because you can read these Stock in Play options that are about to switch around and will trade higher or lower from the present price. The moves on these stocks will be predictable, frequent, and you will be able to catch them before they make a change. They also allow you to be as efficient as possible with your buying power.

There are a lot of options when it comes to finding a Stocks in Play. Some of the things that they may be when you are looking for one includes:

- A stock that has some fresh news
- A stock that is up or down at least two percent before the market even opens.
- A stock that has a pre-market trading activity that is a little unusual.
- A stock that will develop important intraday levels which we can trade off from

You also want to make sure that you are picking out a stock that will do well, regardless of how the market is doing. There are some stocks that are simply going up because the rest of the market is going up. These are not the best stocks because they are also the ones that will go down as soon as the market goes down. Rather, you will want to go with a stock that does well no matter how the market does. These stocks will keep doing well,

even with an economic downturn, and this makes them a great option to earn a profit.

Picking out a stock that has a good amount of liquidity is important as well. It is never a good idea to purchase a stock that you are not able to sell later on. When a stock is liquid, it means that there is plenty of demand with the stock and there are a lot of buyers and sellers. If you pick out a stock that is not considered liquid, which means that you will have a lot of trouble to sell that stock by the end of the day. But when a stock is liquid, you will not run into issues with selling them later on when it is time.

So, you may be interested in knowing a bit more about these Stock in Play options and what makes a stock fit in here. In many cases, this will be the new release of fundamental information about the stock, either during the same day you are trading, or the day before. This is why some of your research needs to include reading through newspapers and other sources to see what news or events are happening to different companies. This news can have either a positive or negative influence on a stock, and learning about it ahead of time can help you to either avoid or pick the stock, based on the information that you find.

There are a number of news events that you should look for to determine whether the stock will go the way that you would like. Some of these fundamental catalysts that can at least temporarily change the value of the stock include:

- The earnings reports of the company
- The pre-announcement of earnings
- Surprises in the earnings
- Disapprovals or approvals from the FDA concerning the stock
- Acquisitions or mergers of the company
- Alliances or major releases in products
- Major losses or wins with contracts
- Management changes, layoffs, and restructuring.
- Debt offerings, buybacks, and stock splits.

As part of your strategy, for pretty much all the different strategies that you choose, it is a good idea to spend some time checking the news and seeing what is going on with a company. Over time, you will be able to catch some of this news ahead of time, and then you can pick out a stock while the price is low, selling it later in the day when others hear the news and the demand go back up.

Float and market cap

There are three main categories that most stocks will fall into when it comes to retail trading. This type of categorizing will provide you with a bit more clarity on how to pick out the right stocks so that you can pick out a good

strategy to go with them. First, we need to go through and understand some of the definitions that go with this part.

First is the float. Float means that number of shares that are currently available to be traded. This will vary based on how many shares the company offered out to stockholders to start with and how many shares the stockholders are willing to part with. There are some stocks, such as Apple, that are seen as mega-cap stocks that do not move much throughout the day because they need a lot of money and volume to be traded.

Then there are stocks that have what is considered a low float. This means that when a large demand comes around, it can quickly change the price of the stock. These are volatile stocks that move quickly, something that the day trader will really enjoy and since many of these low float stocks come in at under \$10 (mainly because the companies that hold them are in the early stages and not that profitable), they can be easy for a beginner trader to come into. The hope with these stocks is that they will grow and the investor can make money.

So, back to the three categories that we just talked about. The first category will consist of the low float stocks, especially the ones that are priced at \$10 or under. These stocks will be considered volatile, moving 10 percent or more each day. In fact, some of the more successful ones have been able to move over 1000 percent in one day. This can mean that you will make a good return on investment in this category, but it is important to be careful in this category. It is possible for you to turn a small investment into a large one with these stocks, but it is also possible to lose all your money too.

These stocks are often manipulated and can sometimes hard to trade with. Often experienced retail traders are the only ones who will trade in these stocks. This is where you will find the crazy claims of turning \$1000 into \$10,000 in one month, but it is hard to do, and most beginner and intermediate traders are not going to be able to do this efficiently. If you do decide to work with this kind of category, you should consider using the Bull Flag Momentum Strategy to see the best results.

The second category of stocks that you can consider is the medium float stock. The price of these is usually going to fall somewhere between \$10 and \$100. These stocks will often fall somewhere between 5 million to 500 million shares for the company, and many of the strategies that we will discuss later on will work well with these kinds of stocks. There are some options that will cost more than \$100, but many traders will avoid these options. Since they are so expensive, you are not going to be able to purchase a ton of these options, and it makes them useless to day trade with those stocks.

The third category is the mega-cap stocks and would include options like Apple and Microsoft. These companies will usually have more than \$500 million public shares that can be available for trading. These stocks will be traded in millions of shares in a single day. These are the ones that will move only after the investment banks or institutional traders are selling or buying larger positions. A regular retail trader is not going to be able to move the price of the stocks.

In most cases, retail traders will not work with these stocks unless they can guess that a bigger institutional trader is about to make a big move that could benefit them. But unless you are sure about this, it is best to avoid working with these stocks because they are hard to deal with when you can only trade 100 to 1000 shares.

Finding the stocks that fit into these categories will be the biggest challenge that you will face when first getting started. You need to find a stock that will come in at a price that you can afford, one that looks like it will go up in price soon, and one that has enough volatility so that you can sell them (whether at a gain or a loss) at the end of the day. Following the tips in this chapter will ensure that you can get the right stocks and actually make a profit on most of the trades that you work with.

CHAPTER 5: THE TOOLS AND PLATFORMS YOU NEED

Like with any business you choose to go with, there will be some tools that you need to become a successful day trader. The most important tools that you will need are an order execution platform. And, if you are not already part of a trading community, you may need to have a stock scanner that will help you to find the best real-time setups that will make you money. Let's take a look to see what kinds of tools you need and how you can pick out the ones that are right for you.

Choosing your broker

When you first get started with day trading, especially when you are a beginner, you should find a good broker. Your broker will be the one who offers you advice on which stocks to go with and they will help you to make these orders at a good price and at the right time. There are a lot of different brokers out there, and picking out the right one will ensure that you will get the best results with your day trading. Pick out the wrong broker, and you will be disappointed.

The first decision that you need to make is the type of broker that you want to work with. There are some benefits to each one, and it often depends on how much you would like to spend, how much work you want the broker to do for you, and what features you would like them to offer to you. Some of the different types of brokers that you can choose from include:

- **Interactive Brokers:** The first type of broker that you can choose is an interactive broker. These brokers are pretty inexpensive and can cause you a \$1 or less per trade. When you are purchasing 1000 shares or more, this is a pretty good price compared to the almost \$5 or more that other brokers will charge you. Depending on where you live, they may also work with you without having to hold a large sum of money in the account ahead of time, making them easier to work with.

- **SureTrader:** This is a good option for those who are international traders and those who fall below the \$25,000 minimum that is a rule for U.S. residents who want to day trade. They will charge a bit more for commission though so be careful when you are choosing one. These companies will often charge you almost \$10 for completing one buy and one sell. But if you are from the United States and you do not have \$25,000 available to trade, this is one of the best options to go with because they do allow you to open an account for as low as \$500.

Of course, there are many other types of brokers available. Some will offer you just advice to help you get started if you just want to do the work on your own. This can save you money, but remember that you are not going to get a lot of help in the process. On the other hand, you can also choose

from a full-service broker who will not only offer you some advice but will be able to help complete the trades for you. It often depends on what you are looking for when it comes to your broker before you start.

One of the benefits of choosing a broker is that they will give you some leverage, about three to six times the leverage. This means that you may only put in \$30,000 into the market, but you will have \$120,000 in buying power (which means that you have a leverage of 4:1). This leverage is known as margin, and with many brokers, you can trade on the margin. This can help you out if you are short on money to get started, but you have to be responsible. Buying on the margin is easy, but it is also very easy to lose all of your money as well. The margin is good because it can give you the opportunity to purchase more than you could on your own, but it adds in more risk, and you may have to pay back more money than you can afford.

If you are using this leverage and then losing money, the broker will issue out a margin call. This is a serious warning, and it is best if you just avoid getting this at all. When you receive a margin call, it means that your loss is so much that it equals the original money that is in the account. If you do not add in some more money to the account, you will get a freeze on your account.

This is just one of the features that your broker may be able to offer you. Some will be able to offer platforms that are unique and will put you ahead of the rest of the game. Some will have different types of stocks that you can invest in and so on. It is a good idea to not only look at the fees that a particular broker is asking for their services, but also take a look at the

different features and services that you would be able to get with them. You may be tempted to go with a cheaper option, but when you see all of the special features that another one offers compared to that cheaper option, it may be a better idea to spend a bit more.

Trading platform

As a day trader, you need to be able to complete your trades quickly, or you will not be successful. If you are working with a broker who does not use the right software or platforms, you may not get out of your trades fast enough, and you could end up losing money or missing out on a big profit. You do not want to be in the middle of a trade and see a big spike and then not be able to make changes or sell the stock because your platform is not the best.

There are many different trading platforms that you can work with. One option is known as DAS Trader, and it is really efficient when it comes to all of the things you need to do as a day trader. They have a helpful support team, and they are located near the NASDAQ data centers, so you are right in the middle of the market. There are many brokers that offer this platform when you are opening your account, while others will have their own platform.

The best thing that you can do is check out and see how much you like the platform before you get started. Many brokers will have a trial run or a way to give the platform a try so that you can get familiar with how the buttons

work and everything ahead of time. You may find that you like one platform better than another based on your own personal preferences. But no matter which platform you choose to go with, make sure that you are going with one that is quick, efficient, does not have a lot of down times and will make your day trading easier than ever.

Real-time market data

With day trading, you need to be able to look at real-time data during the day. You do not get the benefit of waiting a few days or weeks for this data to come out because you need to enter and exit a trade in a short amount of time, sometimes within a few minutes of each other. There are some tools available for this, but remember that you will need to pay a fee for this, either to the platform you are using or to your broker.

Some people do like the idea of spending more money. They are already paying for their broker and some of the fees that are needed for their platform, and adding more seems like a waste. But depending on the market that you wish to trade in, you will find that having this real-time data will help you out a bit. It will help you to see what is going on in your market and can make it easier to adjust your trades, get out of the market when it is needed, and even to increase your profits.

There are a few different options that you can choose for this market data, but a good option to go with is the NASDAQ Total view level 2 data feed.

Joining a trading community

Day trading can be a very difficult thing to work on, and as a beginner, you may feel emotionally drained when you are done. And you are likely to have a lot of questions along the way. It is a good idea to join in a community of traders and talk to others who are in the same boat, asking questions as needed, to get the hang of things. It is normal to have some questions when starting out and joining one of these communities can make a big difference in how much you can do with day trading and whether or not you will be successful in the long run.

Having the right tools will make a big difference in how successful you can be with day trading. A good broker will be able to provide you with good advice and can even help to quickly do the trades for you. The right platform will ensure that you will be able to make the trades right when you need to. The right real-time scanner will let you catch some of the trends and keep up with how your stocks are doing. And a good community will be able to help answer any and all of the questions that you have along the way. Make sure that you have some of these tools, and you will be set to go.

CHAPTER 6: THE CANDLESTICK STRATEGY



Now that we have spent some time talking about day trading and how to get started, it is time to start talking about some of the strategies that you can use to become successful in day trading. Day trading is difficult, and if you do not take the time to pick a good strategy and learn it fully, it will become harder. The first strategy that we will take a look at is the candlestick strategy. There are a few options that come with it, and it often depends on which direction you think the market will go.

To create a candlestick chart, you need a few things. These things include:

- The opening price
- The highest price in your chosen time frame
- The lowest price that happens in that same time frame
- The closing price values for each time period that you want to show.

You can choose what time frame is used, but make sure that it is consistent for your whole chart. Some people go for the whole day, or you can choose an hour to help you out. the hollow or filled part of the chart will be the body while the thin lines that show up below and above the body will be the high and low ranges, and they are known as the shadows (or you can call them the tails or the wicks).

The high part will be marked by the top of the upper shadow while the low by the bottom of the lower shadow. If the stock ends up closing higher than its opening price, you will then need to draw a hollow candlestick at the bottom of the body representing the opening price and the top of the body representing the closing price. On the other hand, if your stock ends up closing lower than it opened, the filled candlestick is drawn with the top of the body being the opening price and then the bottom being the closing price.

One thing to remember here is that the hollow candlesticks that have a close that is greater than the open will indicate that there is some buying pressure.

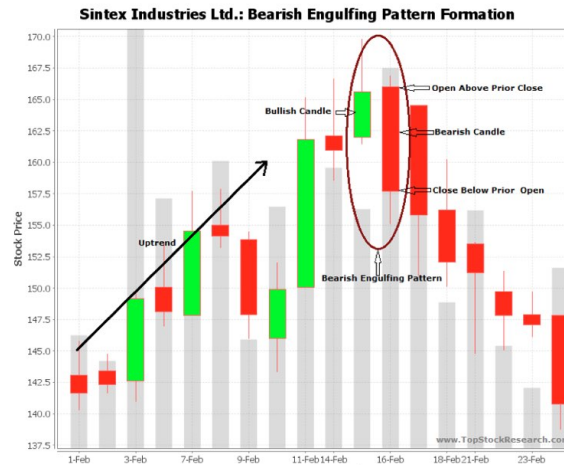
However, if there is a filled candlestick where the close comes out as less than the open will indicate that there is some selling pressure.

Bullish Candlesticks



As mentioned, there are a few different types of candlesticks that you can work with, and the first option will be the bullish candlesticks. Candles that have a larger body towards the top are considered bullish, and they mean that the buyers will be the ones who are in control of the price. When you see this kind of chart, realize that it is likely that the buyers will keep pushing so that the price goes higher. This kind of candlestick is not only going to tell you the price, but it is also able to tell you that the bulls are winning and that they have the power.

Bearish candlesticks



There are also the bearish candles. They will work a bit differently than you will find with the bullish candlesticks and can have you react in a different manner. When you see a bearish candle, it means that the sellers are the ones in control of the price action that goes on in the market and that buying would probably not be a good idea at this time.

When you see a candle that is filled and has a pretty long filled body, it means that your opening was high, but the closing was low. This is one way to tell that the market is bearish right now and it is probably not a good idea to get into the market at this time. You will probably not get a good price for the stocks because the market price is going down and there are not as many buyers interested right now.

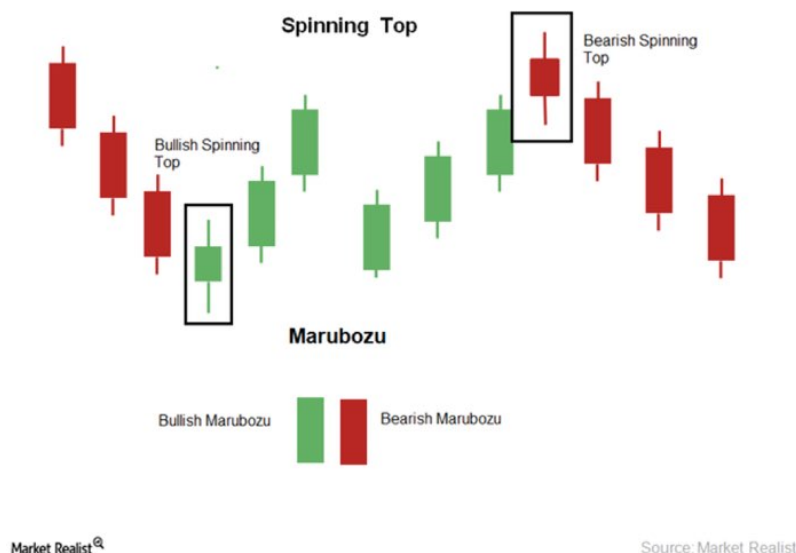
Just by being able to read these candlesticks, you will be able to generate an opinion for how the stock will generally, or the price action. You need to understand which party (the buyer or the seller) is in charge of the price can

help you determine whether now is a good time to purchase the stock or not. When you have a bullish market, the price will keep going up, so it is a good idea to jump in and then sell the stock at a higher price. But if you are in a bearish market, the price is most likely going to go down, and it is not in your best interest to make a purchase.

Indecision candlesticks

There are also some candlesticks that are known as indecision candlesticks. There are two main types of indecision candlesticks including spinning tops and Dojis. Let's take a look at these and determine what they both mean for the market.

Spinning tops



The spinning tops are candles that have the high wicks that are similarly sized and then low wicks that happen to be larger than the bottom and look a bit indecisive. With these candlesticks, the sellers and the buyers have powers that are pretty close to even. No one is really in control over the price of the stock, but there is still a fight that is going on. The volume on these will be lower because the traders want to wait and see whether the buyers or the sellers will be the ones that wend.

You will notice that a trend in the price is often going to change right away after this kind of indecision candle, once the fight has been won by either the sellers or the buyers, so it is worth your time to recognize this kind of price action. You may want to wait a bit before jumping into the market to see which way the market will go. Sometimes it will go well, and the price will go up, but the market could also go the other way, and you could see the price drop.

Dojis

Another type of candlestick pattern that you should watch out for is the Doji. There are actually a few forms and shapes of this, but they are either going to have no body to the candlestick or at least a really small body. When you see that there is a Doji in the chart, it means that there is a fight that is going on between the bulls and the bears and no one is winning yet.

There are some times when the Doji will have a bottom and top wick that are unequal. If the top of the wick ends up being longer, it means that the buyer tried to get the price higher, but they were unsuccessful. They may show that the buyers are starting to lose power and it is possible that the sellers may start to take over. On the other hand, if the bottom wick is longer, this means that the sellers tried to push the price down and they were not successful. This may mean that there will be a takeover of the price action by the bulls.

You can definitely use this to help you see what trends are going on. If one of these candlesticks shows up during a bullish trend, it means that the bulls are wearing out and now the bears are trying to take over control of the price. If this candlestick forms when there is a bearish downward trend, it suggests that now the bears are tired and now the buyers or the bulls will take over the price. This can help you to see when a trend is about to occur in the market and can help you to make some smart decisions.

The candlestick pattern is a great way to predict how the market is going. When the market is going up based on these candlesticks, you will want to purchase and then sell before they go down. When the market is going down based on these candlesticks, you will either want to stay out of the market if you are not already in, or you will want to sell before the price goes down and you lose too much money. Take some time to learn how to make these charts, and you will find that they are a fantastic way for you to monitor the way that the market is going.

CHAPTER 7: THE ABCD PATTERN



As a beginner trader, you may want to consider working with the ABCD pattern because it is basic and easy to trade with. Although it has been around for some time and it is simple, it is still effective, which is why so many traders are still using it. With this strategy, you will do whatever the other traders in the market are doing because you believe that the trend is your friend. Let's take a look at how this one can work.

The ABCD pattern will start out with an upward move that is strong. At this time, the buyers are aggressively buying a stock from point A and making constantly new highs of the day, which is point B. You will want to get into the trade at this point, but do not chase the trade since point B is already an

unusually high price. Plus, at this point, you are not able to say where the stop loss should be and it is never a good idea to trade without setting the stop point.

At point B, the traders who already bought the stock at an earlier time will start to slowly sell their stocks to make some profit, and this will get the price to come down. It is not a good idea to enter into a trade at this time because you will not be able to guess where the pullback will happen. However, if you see that the price isn't coming down from a specific level, such as point C, this means that the stock is working with some potential support. This means that you will be able to plan the trade and then set up the stops that you need so that you make the most profit.

This strategy is pretty basic and can help you to get the results that you would like out of your trading strategy. Let's take a look at some of the steps that you would do with this strategy so that you can start to use it for your own personal gain with day trading.

- When you are looking at your scanner that there is a stock that is surging up from its point A and it has reached a new big high for the day, which is point B, you should take a look. You will want to look to see if the price can make a support that is higher than point A. If it does get that support, that will be your point C. Just make sure that you are not jumping into this trade too early.

- Then you will want to make sure that you are watching the stock at least through the consolidation period. From this information, you will be able to choose the share size that you want to work with as well as the exit and stop strategy.
- When you start to notice that the price is holding support at point C, it is time to enter into the trade at a price that is as close to point C as possible. The anticipation is that it will move up to point D, if not higher.
- For this option, the stop will be the loss of point C. If at any time of the day, the price ends up going lower than point C, it is time to sell the stock and accept the loss that you have. This is why it is so important to purchase the stock close to point C so that you can keep your losses to a minimum.
- If the price of that particular stock continues to go higher, it is time to sell half of your position when it reaches point D. You can then bring the stop higher to the entry point so that you at least break even.
- As soon as the target is hit or you start to see that the price is losing some steam, it is time to sell the rest of your shares. When the price ends up getting to a new low, it means that the buyers are getting exhausted and the trend will move backward.

As you can see, this is a pretty basic strategy that you can use, and as long as you wait to enter the market until a good point is reached and you stick

with your stop points, you will make a profit from it. You do need to watch the stock though because it is possible for the trend to turn too much. And do not purchase the stock too far from point C, or you will miss out on some of the profits that you can use. If you are a beginner and want a chance to get into the market and see how day trading works without having to get into the harder strategies, then the ABCD strategy is a good one to work with.

CHAPTER 8: REVERSAL TRADING



The bottom and top reversal options are two trading strategies that a lot of day traders will rely on. This is because the reversal strategies will have defined exit and entry points, which gives you some clear guidelines about when you should get into the market and when you should leave the market. You will be able to find the best reversal setups using a scanner and indecision candlesticks will help you to set up your entry points and more so that you get the best results with the reversal trading.

When you are working with a reversal strategy, you will notice that there are four important elements that need to be present. These four elements include:

1. There needs to be a minimum of five candlesticks present on a five-minute chart. They can be moving downward or upward, but they need to be present.
2. The stock will have an extreme five-minute Relative Strength Index indicator. If the RSI is above 90 or below 10, it should catch your interest. This RSI will compare the magnitude of recent losses or gains over a specified period of time to measure how fast and how much the price movement was. The values will be on a range from 0 to 100. This can be used to help you recognize a stock that is oversold or overbought. If the RSI is over 90, it shows that the conditions of the stock are overbought and if the RSI is below 10, it means that the conditions are oversold.
3. The stock is being traded near, or at least close, to an important support or resistant level.
4. Once you are seeing a trend that is coming near an end (which can be seen with indecision candles), you could be near a reversal. This is what you should be watching out for, and you need to be ready.

When you work with reversal trading, you will look for an indecision candlestick. These are important because they will indicate that a current trend will change soon. The Doji candlestick will really help to show this. For example, if you have a candle that has a top tail, you can figure out that during this period, the price went up, but the market was not able to hold at this level, so the stock was sold off. It will depict the battle where the buyer

lost their push up. Soon the seller will be able to control the price, and this will push it back down.

This can be true going the other way as well. When the candle has a long lower wick, you will be able to guess that at some point during this period, the price moved down, was not able to hold at these levels, and then was bought up. With this battle, the sellers lost with their push down, and it is likely that the buyers will push the price back up again.

During a reversal trading strategy, you will want to look for these indecision candlesticks because they will show that the current trade will change soon. You want to make sure that what you are showing is clearly going to be a reverse because it is never a good idea to be on the wrong side of the next reversal trade. This means that when a stock is not selling well, you do not want to make a purchase assuming that it will buy back up. When the stocks are dropping, it is best to wait until you can confirm that there is a reversal. A good way to see this is when you see that a Doji or indecision candle is forming.

You can also look at the RSI to see if it is above 90 or below 10. When you see this, you will want to look for the actual entry near a strong intraday support (if you are working with a bottom reversal), or a resistance level (if you are working for a top reversal).

Let's take a look at the bottom reversal first. In this one, when you have a long line of candles next to each other that are making new lows, the first

candle that shows up that makes a new high near an important support level will be the most important. For many traders, this will be the entry point. You will still be able to get the stock for a low price due to the history of it, but since there was one candlestick that went up, it is likely that the trend will change and you could sell at a much higher price when the trend reverses.

Once you are working with one of these bottom trades, your exit indicators will be pretty simple. If the stock goes up and then moves back down, it is a good idea to stop out and take a loss. If you purchase the stock hoping that it will go higher and the price goes sideways, this is a sign that the price will go down again and will keep on dropping, so it is best to get out of the market. If you get into the market and the price stays flat for even a few minutes, it is time to get out, regardless of what happens next. And then if the price goes up, you know that you will make a profit and can watch out for some of the other indicators for when you should get out to still make a profit.

In reversal strategies, one of the biggest things that you need to do is watch the stocks that are going up or down, while also looking for possible resistant and support levels and areas that will result in a good opportunity to trade. This is a good idea because it makes it harder to be impulsive and reduces the amount of times that you rush into the trade. Rather, you should always wait for times when there is stagnation in the market before joining into the trade.

To summarize the strategy that you need to use for the bottom reversal strategy includes:

- Set up a scanner that will let you know when four or more candlesticks start to go downward extremely. You can then take a look at this stock and review the daily levels of support and resistance near the stock to see if it will be any good.
- You need to wait for the confirmation of a few things. First, you want to have the formation of a bullish Doji or at least an indecision candle. Then you want to make sure that the stock is being traded near or at a significant intraday support level. And finally, you want the RSI to be lower than 10.
- You will continue to watch the stock, and when it makes a new high at 1 or 5-minutes, it is time to buy the stock.
- The stop loss will be the low of the previous red candle or at least the low of the day.
- The profit target for this is either going to be the next level of support, the Volume Weighted Average price, or the stock reaches a new low at the five-minute, which shows that the seller is starting to gain control again.

You can also choose to work with the top reversal. This strategy will be similar to what you can find with the bottom reversal option, but you will work on the short selling side. The steps that you need to follow to make this one work well for you include:

Set up a scanner that will highlight any stock that has at least four candlesticks next to each other that are moving up. When this hits the scanner, take a look at the daily level and the volume of your resistance and support near the stock to see if it will work.

- You will then want to wait for a confirmation of the top reversal strategy. This can include the formation of a bearish indecision candle, the stock being traded near an important resistance level, or it has an RSI that is more than 90.

- When the stock reaches a new low at the five-minute part, this shows that there is a sign of weakness. It is time to short sell the stocks that you already own if you have some shares available.

- The stop for this will be the high of the previous candlestick, or you can go with the high of the day.

- The profit target will either be when the stock makes a new five-minute high or when it reaches a new support level.

There are some day traders that will base their whole strategy on using reversal trades, and they can be very successful with them. These strategies are pretty secure, once you learn how to use them and they have a risk to reward ratio that is good. Plus, each day that you use this strategy you are sure to find some stocks that will work well for these trades. If you are uncertain about what kind of trading to go with on a particular day, it may be time to consider working with a reversal strategy and seeing how it works for your needs.

CHAPTER 9: MOVING AVERAGE TREND TRADING



The next strategy that we will take a look at is the moving average trend trading. There are some traders who will use the moving averages as a way to pick out a potential entry and exit points for the stocks they are trading. There are many stocks that will start with an upside or a downside trend once they have started their morning trend and you will be able to see their moving averages in the 1-minute and 5-minute charts as a type of moving resistance or support line. This can be a benefit for you because you can ride the trend with the moving average.

The moving average trend will sound complicated to work with, but the steps are pretty simple to work with and include:

- When you are looking at a Stock in Play, and you see that there is a trend that is starting to form around a moving average, it is time to consider trend trading. You will want to take a look at the stocks' trading data from the day before to see how the stock responded to those moving averages.
- Once you see which moving average is the most suitable to the behavior of your trade, it is time to buy the stock. Of course, you should wait to confirm the moving average is the support and you always purchase close to the moving average line as you can. Picking out the stop is pretty simple. You should place the stop about five to ten cents below this moving average line. If you are using a candlestick chart, you will want to place the start close to the moving average for the long positions.
- Now you will just ride this trend until the moving average breaks.
- It is never a good idea to use trailing stops with this option, and this strategy will require your full attention. Use your own eyes, and not some scanner or other tools to monitor how the trend is doing.
- If the stock starts to move really high from your moving average, this means that you are making a nice profit. It is sometimes a good idea to take your half-position rather than going all the way to the break. This is at least

going to provide you a profit, and sometimes the moving trend will go down before your break. If this happens, you could lose out on all of the profit. If you sell at your half=position, at last, you made some profit.

This is a strategy that some traders like to do, but many beginners will avoid because it leaves you exposed to the market for a longer period of time. Some of these trending trades can last for a few hours or more, and for some day traders, this is just too long to trust the market. Most day traders like to go much faster, getting the profit in a few minutes, but if you are interested in trading over a few hours, it could be the best option for you.

Some beginners like this option because it helps them to get familiar with the trading and it does not require decision making that is quite as fast as the other options. You also will not have to rely on Hotkeys when starting. You can use the trending strategy to recognize your stop loss and your entry points easier than some of the other methods as well, something that is especially important for those traders who are stuck paying higher retail commissions and who are not able to get in and out of their trades without paying a big fee. Since the moving average trend strategy has an exit and entry point that are easy to see, it is easier to get a good profit with only two orders, which can save some traders money.

CHAPTER 10: RESISTANCE TRADING



Support and resistance trading are really popular, and you will probably find a lot of traders who decide to go with this kind of strategy to help them do well. In these cases, support will be the price level when buying is so strong that it can reverse or interrupt the current downtrend that is going on. When your current downtrend ends up hitting a new support level, it will bounce. The support will then be shown on a chart using a horizontal line that will connect at least two bottoms.

On the other hand, the resistance will be the opposite. This is the price level where the selling position is so strong that it can reverse or interrupt the uptrend. When your uptrend hits that resistance level, the trend will stop and sometimes it will even tumble down. Resistance can be represented on your chart by a horizontal line that will connect at least two tops.

It is possible to get minor resistance or support. These will cause the trend to pause. But when you are working with a support or a resistance that is considered major, it can make the trend reverse. Traders who use this strategy will buy at the support and then sell at the resistance, often causing the strategy to be more effective because of the way they are behaving.

Finding the resistant or support lines on your daily charts can be difficult, and there will be some times when it is hard to draw a line that is clear. You do not have to draw anything on the chart if you cannot find it that day because if you are missing out on the line, it is likely that others would not see them either. When this happens, you may want to consider another strategy for the day.

When you are ready to draw some of your own resistant or support lines on your daily charts, here are some of the tips that you can use to make it easier:

- You will usually start to see indecision candles in the area of resistance or support because this is where the sellers and the buyers are closely fighting against each other.

- It is common to see whole dollars, and half-dollars will act as the resistance or support level, especially when you are working with stocks that are \$10 or less. If you are not able to find the resistance or support line that is near these numbers on your daily chart, remember that these numbers can be like an invisible line.

- When you are drawing the lines, you need to make sure that you are looking at data that is recent to get the best results.

- The more of the line that touches onto an extreme price, the more that the line is a good option for your resistance or your support and it will have some more value. You will really want to emphasize this type of line.

- You only want to consider the resistance or support lines that are in the current price range. So if the price of the stock is at \$20 right now, it is not worth your time to look for these lines in the region of when the stock was \$40. It is not that likely that the stock will get up to that area again so stick with the range where it is right now.

- Remember that these lines are not going to be an exact number and they are more of an area. So, if you find an area that is around \$19.69 for a support line, you will see the movement to be near that number, but not exactly that number. It is usually fine to see the area being between five to ten cents of the number that you find.

- The price that you are working with needs to have a clear bounce from that level. If you cannot determine if the price has bounced at that level, it is probably not the resistance or support level that you want. Resistance or support levels that are important will stand out and be really noticeable, so if you are questioning one of them, they are not the right one.

- When it comes to day trading, it is best to draw these lines across the extreme prices on daily levels rather than across any areas where many of these bars have stopped.

When you first get started with these lines, you will find that drawing them will be pretty tricky. The good news is that when you get started and try it a few times, you will get the hang of it and see that it is not too hard.

Once you have been able to draw these resistance and support lines, it is time to work on this strategy to decide when it is time to purchase and sell the stocks that you are working with. To get started with this trading strategy, follow these easy steps to help you get started.

- In the morning, make your watchlist for the day. Look at the charts and then use the steps above to pick out your areas of resistance and support.

- Now watch the price action in those areas on your five-minute chart. If you find that an indecision candle is forming near that area, it is a good confirmation of that area, and you can enter the trade. You will want to make a purchase as close to the support level as possible because this will help you to minimize your risk.
- You will then decide to withdraw and take out a profit when you reach the next support or the next resistance level.
- You will want to keep the trade open so that you can hit your target for profit or until you reach a new resistance or support level.
- Some traders will sell at half-positions near the profit target before moving the stop up to the entry point to break-even.
- If you are looking at the charts and there are no obvious resistance or support levels that you can work with next, it is time to consider closing your trade. It is best to do this at the nearest round-dollar or half-dollar levels.

There are a lot of stocks that will work with this kind of trading, and it can be a great one to help you to figure out the best time to enter the market and when to end. You will need to have some practice on how to draw your own resistance and support lines, but once you have that part down, it is really easy to work with this kind of strategy to see results.

CHAPTER 11: OPENING RANGE BREAKOUT



Now we will take a look at another trading strategy that is pretty well known and it is called the opening range breakout, or ORB, strategy. This is a good strategy because it will signal an entry point, but it does not tell you the profit target. You will be able to pick out the best target for the profit based on some of the other strategies that we have talked about in this guidebook or by looking at some of the charts that are available.

The ORB will be used as an entry signal only, but to finish the trade properly, you need to make sure that you also define the stop loss the exit, and the proper entry as well.

Right when the markets open, you will notice that the Stocks in Play will experience a very violent price action because of all the buy and sell orders that flood into the market right away in the morning. This trading will usually show up during the five minutes of the market day because of the loss or the profit that occurred for people who held their positions overnight. There are also going to be a lot of new traders and investors who want to get into the market and will want to do so right away in the morning.

There are some investors who will see that their position went down during the night and they will panic so they will sell off their stocks. There are also a lot of new investors who will see that a stock is low in price and will jump in right in the morning before the price goes up. Both of these will determine the price of the stocks and how they will do during the day.

As an investor, you will want to give this opening range a minimum of five minutes before you choose to invest. It is hard to figure out whether the buyers or the sellers will win out in the market when there is so much change going on in the market. It is best to wait at least five minutes before you make any trades with this strategy, but there are some traders who will wait up to an hour so that they have a better chance at identifying the balance of power that is available between the sellers and buyers.

Once the opening is done, the trader can work on their trade plan based on the thirty or sixty-minute breakout. There are some that will do even

smaller time frames than this, such as a fifteen-minute breakout. The longer the time frame that you do with this, the less volatility that you will be able to find in the market and it will change what you are doing.

Just like with many of the setups that you are working with, this ORB strategy will work the best with either large or mid-cap stocks, ones that are not going to have big price swings throughout the day. You do not want to go with this strategy when you have low float stocks. If possible, you will want to pick out a stock that will be able to trade inside a range that is smaller than the ATR, or the Average True Range, of this stock. You will be able to figure out this number by looking at the highs and lows of your candlesticks.

To work with the Opening Range Breakout Strategy, you will want to use the following steps:

- After you have created your watchlist early in the morning, it is time to monitor the stocks for at least the first five minutes of the market opening. You should identify their price action and the opening range. Look to see how many of the shares are being traded at that time and determine if the stock is going up or down. Are there a lot of orders that are going through here or is there a high volume that has just a few large orders with it? It is important to look at the numbers of orders that are being sent in because this really shows how liquid the stock is.

- You need to make sure that you can determine what the ATR is. In this step, you want to make sure that the opening range is much smaller than the ATR so keep that number on hand.

- After the first five minutes of the market are done, you may notice that the stock may still be traded in that opening range for a little bit longer. However, if you notice that the stock starts to break out of the opening range, it is time to enter into the trade. You will want to enter into the trade going in the direction of the breakout. You will want to go long for a breakout that is upward, and you will want to go short for a move that is downward.

- You will want to do the stop loss below the VWAP for your long position and then have a break above the VWAP for a short position.

- You will want to make sure that you pick out a good profit target as well. You will first need to take a look at the daily levels throughout the day and then identify it in the pre-market. You can also look at the close from the previous day and the moving averages that are on your daily chart.

- If there isn't a good technical level for your profit target and your exit, you will want to look for some signs of weakness in the stock, if you are long. If you are doing a short position, you will want to exit when there is a strength in the stock. For example, if the price reaches a new low, this means that it is reaching a weakness and if you are long, you will want to look at selling your stock. If you take a short position and the stock gets to a new high,

then it is a good sign of a strength, and you may want to cover that position to help you out.

This is an example for working with five minutes ORB, but it is possible to use the same ideas when you are working with fifteen or thirty-minute opening range breakouts depending on what you want to do with the market.

This is a great option to go with that will ensure that you are not going to be fooled by the changes that occur right at the beginning of the market, but you can still get a good look at how the market will go for the day. Make sure that with the ORB, you are not supposed to trade during the first five minutes or more in the morning because the whole market is just too volatile, but you can still use this information to help you get started on the right foot and can give you a way to make a lot of money with your trading strategy.

CHAPTER 12: RED-TO-GREEN TRADING



If you are looking for another easy to work with trading strategies, the red to green option is a good one to work with. This one will rely on the information from the previous day close to help you figure out where the stock will go and what decisions you need to make.

While looking at this information, if you notice that the current price of the stock is higher than it was on the previous stay, this means that the market is moving from what is called a green day to a red day. This means that the

percentage that the price has changed will now be negative, which will be shown as red in most of the platforms that you look at. This is known as a green to red move.

On the other hand, if the price is lower than what you found on the previous day, this means that the market is moving from a red day to a green day. This means that the percentage that the price has changed will be positive now, which will be shown as green in color on most platforms. This will be considered a red to green move.

You will find that this will be a strategy that is pretty much the same whether you are working with green to red and for red to green, except for the direction that the trade is going or whether it is long or short. So, to keep things simple here, we will just stick with one of them and use the same rules for both of them.

To summarize the strategy that you would like to use with trading the red to green strategy, you would go with the following steps:

- When you are creating your watchlist for the day, you will want to take a look at the previous day close and then monitor the price action at that time.
- If you see that the stock is moving towards where it was at the previous day close with a high volume, it is time to consider going long, using the profit target that occurred on the close of the previous day.

- The stop loss that you will use will be the nearest technical level. This means that if you buy near the VWAP, the stop loss will be when there is a break of the VWAP. If you are buying near a moving average or an important support level, you will want to place the stop loss near the break of the support level or the moving average.

- It is a good idea to sell at the profit target. If the price ends up moving in your favor, it is time to consider bringing the stop loss up the break-even point and then make sure to not let this price go against you. When you are done with that, the red to green move should start working right away.

You will be able to use an approach in a similar way if you want to work on the green to red strategy because they work pretty much the same way.

CHAPTER 13: SOME OTHER STRATEGIES THAT WILL MAKE YOU SUCCESSFUL

So far this guidebook has spent quite a bit of time talking about a lot of great day trading strategies that you can work with. Each of them is an easy strategy that will help the trader get started, as long as they can pick out the stock that works the best for that strategy. You will be able to see success with any of the strategies that we have talked about so far in this guidebook, but you need to learn all of the requirements of that trading strategy and stick with it no matter what. If you can do that, without switching between one strategy and another, you are more likely to see some great results in no time.

Gap up, inside bar, breakout strategy



This kind of trading signal will start with a gap up. If the second or third ten-minute bar then develops to be an inside bar, then you know that you have the setup that you want.

Some traders decide to go with an alternative that includes stocks that have just a partial gapped up, but only do this if they are listed high on the gainer's list. When we are talking about a bar that is partially gapped up, we are talking about the setup having a gap that is higher than it was at close the previous day, but it still comes in below the high of the previous day. This type is still able to provide you with some good signals for the day, especially if you are low on stocks that have the full gap.

With this method, it is best to go with only one or two of those ten-minute bars develop before you get the inside bar. If there are more than these two, it means that the price has already had too much movement and this is not going to be an effective setup. Once you have that inside bar, it is time to

place a buy stop that is right above the high that is inside that bar. The trigger is the breakout above the inside bar.

From this point, you will wait to find when the trade signal is leaving you long. Then if you have the stop in place, it is time to think about where and how you want to exit from the trade. If your stop is hit in this trade, you will just count it as a loss, get out of the trade, and then move on to trying something else.

Gap up, attempt to fill, breakout



This is a great strategy to go with as a beginner because it is so simple and it uses a lot of common sense to help get the work done. As the name suggests, you will be looking for a stock that has gapped up, and that is then trying to fill in this gap. Whether the stock can fill this gap to the high of the previous day all or it can go to the close of the previous day, or it can only partially fill it up does not matter that much. The important thing with this strategy is that the market is trying to fill that gap, at least a little bit.

For this to work, you need to have the price go below your first ten-minute bar. On this method, it is not a good thing to see that first bar filling up the gap. A gradual attempt to fill up this gap after that first bar is better because it shows that the price is going in the right direction, but not too quickly.

When the stock starts to gap up and then works to close that gap, this means that you will be able to find a good amount of traders who are short and who feel that the stock will keep going down. When this stock turns around and moves into the range of your ten-minute bar, there are going to be some of these traders who left them in a position that is not the best. They may have already lost all of the gains that they earned, and they are trying to decide whether the stop they picked will end up making them money or not.

At this point, the breakout will come in. This breakout will be fast-paced, and it will occur at a higher than average volume. The traders that end up getting short squeezed will not be stopped out, and some of them will re-enter the market with a long position, which helps this breakout even more.

Gainer or gap up, afternoon breakout



This is another simple option that you can choose to go with. Just like with some of the other strategies, you will scan the gainer and the gap, except, you will do so in the late morning or early on in the afternoon. With this scan, you will look for some simple patterns, specifically the basing and consolidating type of patterns. You want to be able to find a strong rise in the price throughout the morning, and then the price needs to be able to settle to a less volatile period later on in the morning.

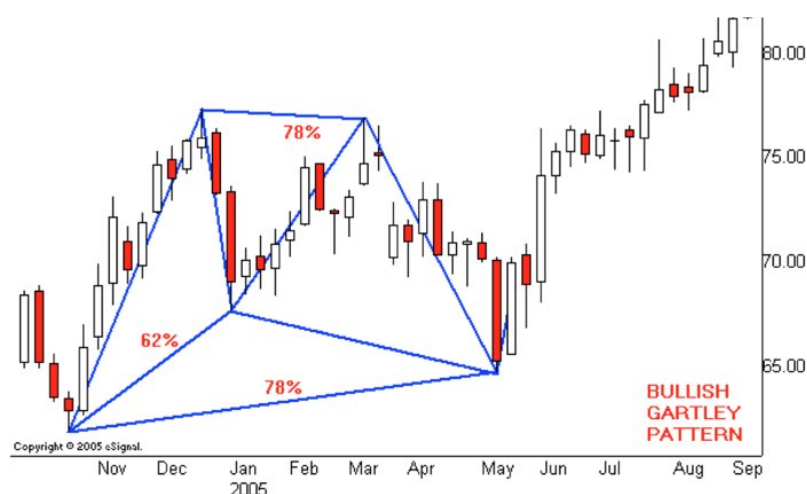
Often the stocks that have a really strong performance in the morning with a higher than average volume will often make a high that is a bit more than average before settling back slowly and just relaxing for a bit. They may look like they aren't going anywhere and this is the kind of stock that you are looking for. If you see that the stock is inching back up to the resistance, it is time to put in your buy stop order and wait around for the breakout that might come.

Of course, with this method, there is a few stocks that are not going to make it to the starting line. This is not a big deal because you can always switch out later and try it again with another stock. However, there will be some

stocks that will explode up quickly and can help you to make a lot of money in a short amount of time.

If you have been working with trading or some time, then this is a strategy that you may have seen in the past, and you may not think that it will work that well for you. But you do not always need to have a complicated formula or strategy to make money with day trading. Sometimes the simple options, like this strategy, will be plenty to help you get some results.

Fibonacci retracement pattern



Here we will take a look at a thirty-minute chart. On this chart, you will want to look for some stocks that have reached a higher high than it has over the previous two days. You want to have a 15 sma cross above the 35 sma on that day. What you are looking for is the price to give you a retracement back to 38 to 62 percent on the following morning. You will

recognize this part by looking at the 30-minute chart and seeing if there is an inverted U or an M pattern.

Once the price pulls back to this retracement level on the next morning, then you will want to look for the price to form a rising bar on your MACD histogram. Remember that the numbers do not need to be perfect. Sticking near the 38 and 62 percent is a good indicator, but if it goes a little below or above these numbers, you will be fine. The main point here is that you are waiting to see a good retracement with movement back towards where the impulse move came from. Once you can find this kind of setup on your chart, it is time to have a breakout trigger on your ten-minute chart.

At this time, you will want to switch over to your ten-minute chart. While looking at this, you will want to wait for a breakout of the high of your thirty-minute bar that was formed with this setup. You will then be able to enter the market and wait for the breakout to occur and for you to make a profit.

Gap down, fill gap, inside bar, breakout



To some people, it may seem like a bad idea to purchase a stock that is gapped down, but if these stocks have met some specific criteria, a short squeeze action can help to send up these stocks during the day and can help you to make a profit.

This option is easier than it seems. You will want to bring out your ten-minute charts. If you see that a stock has a gap down that fills in the gap and then the second or the third ten-minute bar forms as your inside bar, you know that you have a setup that you can work with. You will want to place your buy stop above the high of this particular inside bar. The trigger to make a purchase is when a breakout occurs above the high of that inside bar. You can place the stop order below that low of the inside bar, or you can choose another area to make your losses as low as possible.

Some other methods to use

But there are still so many other strategies that you will be able to use to see results. You will be able to use these in many cases based on what kind you feel the most comfortable with and what stocks are available in the market. Some of the other trading strategies that you can choose to go with include:

- News trading: this is where you will spend some time following the news to see what is going on with the market. Any time that there is a major news event, you will find that it can affect the stock market. Of course, you want to really look through the news; if the news is front page, you are already too late the price of the stock is already going up. However, as you get used to reading through the news and looking for the right hints, you will be able to see when a major trend is about to happen and then you can purchase or sell your stock based on what will benefit you the most.
- Range trading: this is a strategy that you can use a lot when you have the time and patience to do some in-depth research. With this one, you will follow a stock for some time and then figure out what the normal high and low range of that stock are during the day. You would then make sure that you do your trading within these limits.
- Pairs trading: as you can guess, this strategy will need you to work in pairs. You will choose a category that you want to trade in, and then you will go short on the stock that is considered weak and then long on the stock that is considered strong. When you make these trades at the same time, it is considered easier to make profits in the process.

- Contrarian trading: earlier we talked about a strategy where you were going to take the same actions of the market. If the market was going up, you were going to make a purchase, and if the market is going down, you will sell your stocks. With this strategy, you will trade against what the market is suggesting. So when the market is going up, you will sell your stock, and when the market is going down, you will make a profit. This one is hard for some day traders to go with because it does go against what they are used to with trading, but it can work if done properly.

- Chart patterns: another tool that can be really useful when you are day trading is the chart pattern. It is a good option when you want to be able to find your entry and exit points on the investment. If you use some technical indicators like the commodity-channel index, the relative-strength index, or the rate of change, you will be able to improve how reliable these chart patterns are. You can get a chart pattern from a variety of tools, even from your own platform, to help you figure out this information. You would only need to put the information on the chart to get some of the information that you need.

- Technical indicators: if you like to have a lot of information before you make your decisions with day trading, then technical indicators will be the best option for you. These technical indicators will be important to day traders because they can help show trends in the market that may be hard to see on their own. Looking at these indicators and making sure that you can interpret them the proper way will ensure that you can make a profit.

As you can see, there are a lot of different trading strategies. Many traders have worked over the years to create strategies that can help them to earn a profit with their stocks, and with all of the different types of stocks that are available, you are sure to find one that will work with the strategy that you would prefer. As a beginner, it is up to you to learn some more about these strategies and then pick out the one that you would like to use. With the right strategy and the right stock, you will be able to earn a good profit in no time with day trading.

CHAPTER 14: CREATING YOUR OWN DAY TRADING STRATEGY

As you start to get more into day trading, you may decide to develop your own strategy. There are a lot of great trading strategies that are out there, and we have discussed quite a few of them so far, but there may be some market conditions or other situations where you need to be able to develop your own strategy. Or, after trying out a few different things, you end up finding a new strategy, or a combination of strategies, that ends up working out the best.

Over time, it is important that you find your own place inside the market. As you go through, you may even find that you would rather be more like a swing trader rather than a day trader just because of the different methods that are available. The good news is, there is a market for any kind of trader, and there are a million types of strategies that you can use based on your own personal preferences along the way.

Before you jump into the market as a beginner with your own trading strategy, it is important that you start out by picking one of the strategies that are in this guidebook (or another proven strategy that you have

researched). You need to have some time to try out a strategy and tread through the market a bit before you start coming up with your own strategy. Even if you have invested in the stock market before, you will find that working with day trading is completely different compared to some of the other methods available, and you do not want to pick a strategy that may have worked with one of your other trades, but will make you fail miserably with day trading.

It is all about spending some time in the market and getting familiar with the market. You will want to get familiar with how the day trading market works, how to recognize good stocks and so on before you make a good strategy that can help you. After spending some time in the market, working with one or two strategies that you like, you will be able to learn the patterns that you like and what to watch out for, and it becomes so much easier to make a strategy that will actually work.

But no matter where you are as a trader, it is so important that every trader has a strategy of some sort to help them get started. It is so easy for beginners to just pick out a stock and then start trading, without having a plan in place at all. This is a dangerous thing to work with. It pretty much leaves the decisions up to your emotions, and we all know how dangerous this can be when you are first starting out. You should never leave your trades up to the emotions; this will make you stay in the market too long or leave the market too early, and you will end up losing money.

In addition, you need to pick one strategy, whether it is one from this guidebook or one that you made up on your own, and then you need to stick

with that strategy. Learn all of the rules that go with that strategy, how to make that strategy work for you, and exactly how you should behave at different times in the market with that strategy. Even if it ends up leading you to a bad trade (remember that any type of strategy and even the best traders will end up with a bad trade on occasion), you will stick it out until the trade is done. You can always switch strategies in between trades, but it is never a good idea to switch your strategy once you are already in the market.

Switching strategies can seem tempting when you are a beginner in the market. You may see that things are going south or may realize once you are in the market that you should have done a different strategy from the beginning. But as you look through some of the strategies that are in this guidebook, you probably notice that they are a bit different, and they need some different requirements before you can get in and out of the trade. Switching in the middle is not going to work and will lead to an automatic loss.

The most important thing that you can remember when you become a day trader is that all traders will fail at some point. Many beginners will fail because they do not take the time to learn how to properly day trade or they let their emotions get in the way of making smart decisions. But even advanced traders will have times when they will fail and lose money as well. The market is not always the most reliable thing in the world. Even when you are used to reading the charts and looking at the market, there will be times when it does not act as expected and a trader will lose out. Or the advanced trader may choose to try out a new strategy, and it does not work that well for them.

There will be times when you will lose money, and this can be hard to handle for a lot of beginners. This is also why you need to consider how much you can actually afford to lose on a trade before you enter the market. You do not want to go all out on your first trade because it is likely you will fail and lose that money or maybe more depending on the trade.

If you are worried about getting started in the market or you want to mess around and try out a few of the strategies ahead of time to see how they work, especially if you are using one of your own strategies, then you should consider working with a simulator. Sometimes you will be able to get one of these from your broker to try out and experiment with the market, and sometimes you may have to pay a bit from another site to use this simulator. However, this can be a valuable tool that will help you to try out different things, make changes, and get a little familiarity in the market before you invest your actual money. As a beginner, if you have access to one of these simulators, it is definitely worth your time to give it a try.

Picking your trade based on the time of day

Before we move on, we will take a look at which types of strategies seem to work the best at different times of the day. As you get into the market, you will notice that each time period of the day will be different and there are some patterns that seem to show up over time with them. We will work with three times of day, the open, the mid-day, and the close. If you want to be successful with day trading, it is not a good idea to use the same strategy at

all three times of the day because these strategies will not be successful at all times of the day. The best traders will figure out what time of day they get the most profitable trades and then they will make some adjustments to their strategies and their trading to fit them into these profitable times.

First, let's talk about the open. This time period will last about an hour and a half, starting at 9:30 in the morning on New York Time. This is a busy time of the day because people are joining the market for the first time or they are making adjustments based on how their stocks had done overnight. Because this time is so busy, it can also be a really profitable time period if you play the game right. It is a good idea to increase the size of your trades during this time and do more of them because you are more likely to make some good money during this time. The best strategies to use during the open will be the VWAP trades and the Bull Flag Momentum.

Next session is the mid-day session, and this will start at 11 in the morning and go for about four hours. This is a slow time in the market, and it is considered one of the more dangerous times to trade during the day. There is not going to be much liquidity or volume in the market. Even a smaller order will make a stock move quite a bit during this time, so you really need to watch the market if you are holding onto your stocks. It is more likely that you will be stopped with unexpected and strange moves during this period.

It is common for many traders, both beginners and those who are more advanced, to have a lot of trouble during the mid-day. Many decide that it is not the best idea to work in the market during this time. But if you do

decide to trade, it is important to keep the stops tight and also to lower your share size. You should also be really picky about the risk and reward ratio during this time. You will find that new traders will often do their overtrading during this time, and it may be best to simply avoid trading during this time period altogether.

If you do decide to trade during the mid-day, it is best to watch the stocks as closely as possible, get some things ready for close, and always be very careful about any trading decisions that you try to do. You will find that support or resistance trades, moving average, VWAP, and reversal strategies work well during the mid-day.

And finally, there is the close, which starts at 3 in the afternoon and goes for about an hour. These stocks are considered more directional, so it is best to stick with those that are going either down or up during this last hour. It is possible to raise the tier size compared to what it was at in mid-day, but you do not want to go as high as you were at open. You will find that the prices at closing are often going to reflect what the traders on Wall Street think the value of the stocks is. These traders have stayed out of the market during the day, but they have been closely watching things so that they can get in and dominate what happens during the last little bit of trading.

It is also common to see that many market professionals will sell their stocks at this time and take the profits because they do not want to hold onto the trades overnight. As a day trader, you will be one of these professionals because you need to sell all of your stocks on the same day to be a day trader.

If you notice that the stock starts to move higher during this last hour, this means that the professionals are considered bullish on that stock. However, if you see that the stock starts to move lower in that last hour, it means that the professionals in the market are considered bearish. It is best during this last hour to work with trades that go with these professionals, rather than doing trades that go against them. When you decide to trade in the closing hour, you will want to use the moving average trades, support and resistance trades, or VWAP to get the best results.

As a beginner trader, you may find that you will profit during the open and then end up with a lot of losses during the rest of the day. You do not want to be one of them because this can wipe out all of the profits that you earned earlier. A good rule of thumb that you can stick with to keep things conservative with your losses is that you should never lose more than 30 percent of what you made in the open during the rest of the day. If you reach that 30 percent, you will stop trading for the day to protect your assets.

CHAPTER 15: COMPLETING THE SUCCESSFUL TRADE

Now that we have taken some time to look at the various parts of day trading and some of the good strategies that you can use, it is time to look at exactly how to get done with the trade. This chapter is going to show you all the steps, from start to finish, that you can utilize to get the most out of your trading. It will use some of the things that we had discussed earlier on in this guidebook and bring them all together to give the best results. So, let's take a look at the different steps that you need to take to complete a successful trade.

Build your watchlist

The first thing that you should do when you get up in the morning is work on a watchlist. This will help you to limit some of the different options that you have available for day trading into just the ones that you are interested in using.

A good way to create this watchlist is to use your scanner. We talked about these a bit before, but having a good scanner can make a big difference when it comes to picking out the right stocks. You can put in some of the requirements that you are looking for when it comes to a stock, and it will alert you when one of these options become available.

Of course, you do not want to just pick out the stocks that show up on your scanner. These are a good place to start, but you need to actually take a look at these stocks and make sure that they will fit your needs. Some will be worth your time and others are not going to do that well. You need to be the one in control with your investment so while the scanner can give you a good start to your watchlist, you need to take the reigns and pick out what is the best.

Decide which stocks look the best

After you have had some time to make a watchlist and check all of our criteria for the stocks, it is time to decide which one looks the best. You may have a specific strategy that you want to go with, so you pick a stock that goes with that one the best, or you may have some other method.

One thing to remember with this is that you should not trade for at least the first five minutes of the opening and some people wait even a little bit longer than this. There is a lot of commotion that goes on in that first little bit of opening. New investors who are excited to get into the market will make their purchases then, and other traders may buy or sell based on how

their stocks did overnight. It is really hard to predict where the market will go right at opening.

Once the opening session is done, you will be able to go through and pick out the stocks that you want to use. The commotion that goes on during the first bit of opening will help to determine how the rest of the day goes, but you just do not want to get caught up in it since things are kind of a mess during that time.

Set your enter and exit strategy

Before you go through and make a purchase, you need to make sure that you have all the strategies picked out. First, you need to have an enter strategy. This is the point where you will feel comfortable purchasing the stock. You want to keep this as low as possible because that helps to reduce your risk and can ensure profits more readily than a higher price. You should be looking at some of the charts that we discussed to see what a good price for the stock will be that day.

You also need to come up with an exit strategy. It is important to have a stop for losing money and one for earning money. First, let's look at the stop for losing money. There are times when the strategies that you pick or the decisions that you make are not going to turn out how you wanted, and the stock may start to lose money. The point of this stop is to ensure that you can control how much money you will lose in the process. Once the

stock ends up reaching this number, you will withdraw from the market, no matter what the stock does later on.

Without this stop, you could end up with a little bit of trouble. Many new traders see that the stock is going down, and they keep riding it out. They hope that the market will turn around. Sometimes the market will turn around, but then there are times when the market will stay low or keep going down. And without a stop, you could be without a whole bunch of money. Depending on how far the market goes, you may not be able to cover the losses either. It is much better to have that stop in place and then exit the market at a comfortable loss rather than letting things get out of hand. You can always get back into the market later on if things begin to improve.

You also need to have a profit stop. This may seem a little bit silly because of course, you want to be able to earn as much profit as possible. But the day trading market is all over the place, and it is hard to predict. Yes, the market may go way above what you have as a profit stop, but it may go down just as quickly. This stop is there to protect you against those sudden falls that may take all of your profit. You may miss out on a bit of profit in the process, but it ensures that you are not going to lose out on everything.

Purchase your stocks

After taking some time to create a watchlist of stocks to go with and you have decided which one is best, it is time to make the purchase. Make sure

that you use some of the criteria that we discussed earlier in this guidebook for picking out the right stock and determining how many of each stock you would like to purchase.

If you are working with a broker, you will simply need to submit an order to them to get started. This order will include information like which stocks you want to purchase, how many shares you would like to purchase, how much you want to spend on the stocks, and then your exit points for profit and to prevent loss. Your broker will be able to get this information into the system for you and take care of a lot of the work.

Some traders choose to do some of the work on their own, and that is fine too. Make sure that you have a good platform that will let you do all of this quickly. If the platform is slow or a mistake is made, it could really ruin your whole day in terms of how much you can make.

Watch the market

Day trading is much different than other types of stock trading. You may be used to hearing about long-term stock trading where you would put the money in and then leave it there for many years, maybe for retirement or something else. This can be successful for some people, but when it comes to day trading, you will be required to make decisions quickly and to buy and sell your stocks all on the same day. How do you expect to do this if you are not watching what the market does?

The market is pretty steady for the most part if you are looking at the long-term. Most stocks will see some little fluctuations and downturns, but for the most part, good stocks will keep on a steady pattern upwards. However, if you look at the daily trends of these stocks, you will see that there is a lot of up and down movement throughout the day. This is pretty normal for a stock and is how a day trader can make money so quickly.

It is your job as a day trader to watch these daily ups and downs. This will help you to determine which stocks to purchase in the first place and can help you to determine the best time to sell your stocks and make a good profit. When you are watching these stocks, you will better be able to determine when a downturn will occur and can get your money out of there before you lose everything. Once you put your money on the market, make sure that you are constantly watching the stock to see that it behaves in the way that you expect.

Sell the stocks at the predetermined points

Earlier you were supposed to set up your enter and your exit strategies. These are important numbers because they help you to reduce some of the risks that you are dealing with and will ensure that you are not going to lose more money than you are comfortable with. It is so important, regardless of what the market is doing at the time, that you follow these enter and exit points. If you ignore them, you will probably get a big loss on the books.

It is a good idea to listen to your exit point not only when the market is going down, but also when the market is going up. Some people understand why they should follow the exit strategy when the market is going down; they do not want to end up losing too much money in the market. But it is a bit harder on them when the market is going up. They may have placed a stop for how much profit they wanted to make, but then they see the market still goes up, and they do not want to get out at that time.

While it may be hard, make sure that you are listening to your exit strategy, even when the market is going up. Sure, the market may go past that point, but then it may hit a sharp downturn, and you could lose all of that profit. This is another method in place to ensure that your investment stays safe. If the market continues to do well and keeps going up, you will be able to jump back in later on.

Reflect on what you did right or wrong

After you are done with one trade, whether you earned a profit or you lost some money, it is a good idea to take a few minutes to think about how the transaction went. There are always things that you can learn along the way, and it is a good idea to reflect on these before you move on to your next trade. Plus, this will prevent you from jumping from one trade to another too quickly and making rash decisions.

One of the best things that you can do is write down this information. This may take a little bit longer, but the extra information you will have at your

disposal will be so worth it. Over time, you will be able to write down a lot of information about your trading endeavors, and you can use that information later on if you get stuck about what to do on a particular trade. You are never going to be able to remember all of the trades that you will do with day trading and there is nothing better than real experience so take some time to reflect on the different things that you did on each trade (or at least after most trades) so that you can always have that information ready.

Start with another trade

If there is enough time during the day, such as you did a quick trade during the open of the day, then go ahead and go through these steps again. Day trading is all about doing a lot of quick trades all day long and since many of them can be done in just a few minutes, or maybe an hour or less, you have plenty of time to do more than one trade in the same day if you want. Just make sure that you are looking through the options, going through the steps above, and still taking the same precautions later on in the day as you did when you first got started.

One thing to note though is if you had a really bad stock in the morning, one that did not go your way, it might be a good idea to stay out of the market for the rest of the day and just do some practicing. This is especially true when you are first getting started as a beginner. Those losses can hit you hard, and you may find that your emotions will take over, without you even realizing it.

There are a lot of traders who end up in trouble because they got into a second trade too quickly. They may have been upset that they lost all that money, and now they are making decisions not based on facts and their research, but rather they are making decisions based on their emotions and the idea that they want to earn that money back. This leads you to make rash choices, and you will end up losing out on even more money in the process. If one of those big losses does occur, just take a break for the day and give yourself some time to think clearly. You can always get back in the market the next day.

Getting started in day trading can be an exciting time. It allows you to make a good investment and really get to know the market in a way that even other stock market investors do not. When you are ready to get started with day trading, and you want to actually make sure that your actions are profitable, make sure to follow the steps in this chapter and in the rest of the guidebook to help you get started.

CHAPTER 16: EASY DAY TRADING TIPS TO HELP YOU SUCCEED

When you are ready to get started with day trading, it is important that you are prepared. This is not an investment option that has a lot of room for mistakes along the way. You have to make your purchases and your sales all in one day, and that means a lot of quick thinking along the way. When you are ready to get started as a day trader, here are some tips and tricks that you can follow to be successful with as many trades as possible with day trading.

Pick the right stocks

Remember that while it is important to manage your risks and pick out a good strategy, you also need to make sure that you are picking out the right stocks. There are thousands of stocks available on the market for you to choose from, but not all of them will work for day trading. And just because you did well with one stock on one day does not mean it will be successful on the succeeding day or later on.

There are a few things that you can do to pick out the stock that will be the best for you. The first thing that you need to do is pick out the strategy that you would like to use; this will often help you to pick out a good stock. You can then use a scanner to help you find stocks that match your requirements. You should take a look at each stock before making the purchase, no matter how much it matches up with the scanner, so ensure that it will match the type of stock that you are looking for.

It does not matter how good of a strategy you pick or how much you work to manage your risk if you do not take the time to pick out a good stock, you will fail with day trading. Always do your research to make sure that you get the perfect stocks to increase your profits.

Stick with your strategy

As a day trader, there are a lot of great strategies that you can choose from to see success. We talked about quite a few of them in this guidebook, and you can even combine a few to help come up with your own strategy. As long as you learn which stocks to do with which strategies and you really learn how to make each of the strategies work properly, you will find that any of them has a good chance of success.

The biggest issue that comes with this is that you end up changing your strategy in the middle of a trade. Each strategy is different and combining them right in the middle of your trade will lead to trouble and will most likely make it so that you lose money along the way.

It is fine to switch strategies in between trades, but when you are in the middle of a trade, you need to stick with the trade that you originally picked. It does not matter if that trade is not working out the way that you would like or if you are losing money. Stick with that strategy until the trade is done and then learn from your mistakes if things do not go the way that you would like.

Keep the emotions out

One of the most important things that you can do when you get into day trading is to make sure that your emotions will stay out of the game. As soon as you let those emotions into the game, they will take over, and you are sure to lose out on any profits along the way.

When you allow your emotions to start coming into play, you are basically losing all of your control to make smart decisions. No one can make good decisions when the emotions are involved, and with all the stress and issues that can come with day trading, those emotions will hit some extremes pretty quickly. This is why it is so important to go through and pick out a winning strategy and to stick with it. This will keep the emotions at bay, and you can make the decisions ahead of time, before the emotions of being in the market come into play.

If you are in a trade and find that your emotions are starting to get in your way, it is time to make some changes. In some cases, you will be able to stick with your stop points and be safe for the rest of the trade. But if you have already gone through and left the stop points behind, it is time to leave the trade, no matter where it is going, and restart. You may even need to take a little time off from day trading, especially after a trade that did not do that well, so that you can regroup and get back to the critical thinking.

Come up with the right stop points

The stop points that you work with will make a big difference in how well your strategy will work. You need to have a stopping point for your profits and for your losses, and you need to decide these stop points before you even enter the market. This helps to keep the emotion out of the game and ensures that you will be able to make smart decisions rather than getting caught up in all of the heat of the moment.

The first stop point that you should consider is the loss stop point. This will be the low point of the exchange, the point where you will just cut your losses and walk out of the market. It does not matter where the market goes after this point, you need to get out of the market as soon as the stock reaches this point and just take the losses. When deciding on this point, you need to pick a point that is no lower than the lowest point for the stock in recent times. You also need to pick a low stop point that will only make you lose an amount that you are comfortable with, or you are adding in more risk than you need.

Another thing that you need to consider is the profit stop point. This is the amount of money that you will take in profit before getting out of the market. It does not matter if the market keeps going up after you get out of the market. You will still need to make sure that you get out of the market and just take your profits. You can always join the market later on and try again, but making a decision on how much profit you will make before getting into the market will keep the emotions out of the game.

Consider working with a broker

If you have never worked in the market or looked at stocks before, it is probably a good idea to work with a broker. The process of day trading can be difficult to work with, and you have to make a lot of decisions quickly since you are doing the whole trade in one day. Your broker will be able to offer advice to you, help you to complete the trades that you want, and so much more.

Of course, you need to make sure that you pick out a good broker. There are a lot of different types of brokers and some of them will be amazing and will offer you advice that helps you to make money, and others will be cheap and ineffective. Do your research and look around and you are sure to find the results that you would like.

Take a break when needed

Losing out on some money can be really hard. Many beginners have some issues with this because they had high hopes of being able to make a lot of money in the process. They may even have spent hours doing research and learning the right strategy to be successful. And then something happened in the market, and things went south, causing them to lose money.

The first thing to remember is that everyone has a bad trade. There are people who have been in the day trading market for years who end up making bad trades. This is just a part of the business. The market does not always behave in the manner that you are hoping, no matter what, and there will be times when you run into a bad trade.

Depending on how the trade went, you may want to consider taking a break before entering again. It is hard to lose money, and if you jump back in too quickly, you could end up making some bad decisions, one that will result in you losing more money. There are no rules or how many times that you have to trade during the day to be a day trader. If you have a bad trade right in the morning and that was the only trade that you did, it is still fine to take a break and start up fresh the next day. It is better to miss out on a few hours of day trading rather than risk it because your emotions are in the way and lose more money in the process.

Write down tips after your trades

We mentioned this one a bit before, but it is always a good idea to write down information and tips when you are done with your trades. As a day

trader, you will do a lot of trades. As you progress through this type of investment, you may do many trades all on the same day depending on how much money you have available and how much you would like to earn in the process. Through all of these trades, you are sure to learn a lot of things and even make a lot of mistakes.

Even as a more experienced day trader, there will be times when you have questions about what you should do. Rather than just guessing, why not take a look at some of the notes that you have taken in the past? Especially in the beginning, you should take some time to write down some notes about your trades. While you may not have time to write down the information after each trade, consider writing down a few notes at the end of the day. Writing about your mistakes and some of the things that you can do to make things better the next time will prove really helpful in the long run.

Day trading is a very lucrative investment, as long as you know what to expect and you can pick out the right options. By following these steps, you will be able to make the smart decisions that can make working in day trading very successful.

CONCLUSION

Thank you for making it through to the end of this book, let's hope it was informative and able to provide you with all of the tools you need to achieve your goals whatever they may be.

The next step is to get started with day trading. It can be a great investment opportunity, and this guidebook will provide you with all of the information and tips that you need to get started and see some success in day trading. Day trading is not something that you should just jump into; it is a stressful option that will require a lot of dedication, research and more to get the profits that you want.

This guidebook provides you with all of the information that you need to get started in day trading. It will start out with some of the basics of day trading and the personality traits that you need to be a successful day trader. You also will learn how to manage your risks and how to buy the best stocks before learning what tools and platforms are needed by expert traders to get the positive results.

After this guidebook went through some of the basics to help you make your decision about whether day trading was the best option for you or not, it will spend time talking about some of the best day trading strategies that will help you get amazing results. There are so many different strategies that are available for you to choose from. Any of them, from the reversal trading to resistance trading and more, can be successful as long as you learn the rules that go with them and stick with those rules, without making changes along the way.

Getting started with day trading can take some time, and it takes a lot of concentration. Make sure to read through this guidebook to learn some of the basics that you need to know about day trading and to help you pick out the strategies that you need to help you enter the market. With the tips and tricks in this guidebook, you will be ahead of the game to help you earn a great profit through day trading.

Finally, if you found this book useful in any way, a review on Amazon is always appreciated!

OPTIONS TRADING

Strategy Guide for Beginners

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INTRODUCTION

Congratulations on downloading this book and thank you for doing so.

The following chapters will discuss everything that you need to know in order to get started with options trading. There are a lot of different options that you can choose from when it comes to picking out a good investment, but you need to make sure that you are picking the one that will help you to earn a good amount of money without having as much risk. The best choice that you can make when it comes to a good investment strategy is to work with options trading.

This guidebook is going to take some time to look at options trading and all the different parts that come with it. We will start out with a good explanation of options trading and how this trading method is going to work. We will also look at some of the benefits of choosing options trading as your investment vehicle and why it is better than some of the other options.

The majority of this guidebook is going to be devoted to some of the best strategies that you can use when you decide to invest in options. It is hard to invest in options and do well if you are not familiar with some of the

strategies. We will take a look at some of these strategies, as well as provide real examples of how they have been used by traders to make money. This will help you to learn when is the best time to pick each strategy and how to choose the stocks to go with them. This guidebook will end with some worksheets that will help you to get started and make informed decisions, no matter which options strategy you choose to go with.

Options can be a great investment opportunity as long as you understand how they work and which strategy is going to be the best one for you. When you are ready to earn a good return on your investment and make some good money, make sure to check out this guidebook to help you get started.

There are plenty of books on this subject on the market, thanks again for choosing this one! Every effort was made to ensure it is full of as much useful information as possible, please enjoy!

CHAPTER 1: UNDERSTANDING YOUR OPTIONS IN STOCKS

Many people have considered trading in the stock market. They like the idea that there are a lot of different options for them to choose from in this market and that each day of trading can bring them something new. You can choose to put your retirement into the stock market and let it grow over the long term, you can do day trading and potentially make lots of little trades throughout the day, or you can even work with options.

A stock or share in a company is a unit of ownership in that company. Many companies offer these shares to investors because it helps them to raise capital to keep the business growing. These shares are then listed as well as traded on the stock exchange.

When you look at the stock exchange, there are going to be many high-profile shares that have a huge volume in trades, and it is possible that they will have derivatives that come with them. A derivative is a contract between two or more parties in which the contract derives its value from an underlying security, such as an index or a stock. The derivatives that are traded on the stock market include Futures and Options.

Futures contracts are relatively easier to understand when you are comparing them to options, but they have less flexibility and do carry on some more risk. For this book, we are going to take some time to discuss options and how you can use them to trade on the stock market.

An option is considered a type of contract that will be sold by one party to a second party. The buyer will get the option, which means the right but not the obligations, to either buy or sell the stock that is in the option at a pre-determined price. These options are not able to exist for ever, and each option has some expiration date. This means that the buyer of the option will have the right to exercise their option only before the expiration of the option, or they can exercise that option at any time until the expiration, depending on which type of option they are working on.

One thing to note before moving on. It is possible for derivatives to be based on a variety of underlying securities, such as commodities. However, we are going to just focus on options trading that has been based on indices and stocks, to keep things a bit easier for now.

The Call and Put Options

First, we will start with the call option. You can think about this like a deposit for a future purpose. For example, you may be a land developer who wants the right to purchase a lot that is vacant at some point in the

future, but you only want to use that right if some zoning laws get put into place that would help you out. The land developer would be able to purchase a call option from the landowner that allows them to purchase the lot at a particular price sometime in the next few years.

Now, the landowner does not have to grant this kind of contract for free. The developer will need to add a down payment to lock that right in place; this down payment is known as the premium and is the cost of the options contract.

For this one, let's say that the premium on this contract is \$6000 that will be paid to the landowners. After two years, the zoning laws have been approved, and the developer will be able to exercise the option to purchase the land for the agreed upon price. This can be very beneficial to the developer because after the zoning laws went through, the value of the land may double, but the developer will only pay the amount that was originally agreed upon.

However, the developer has a way to get out of the contract as well. Let's say that the options contract was for three years and the zoning laws didn't go through until after four years. Unless the landowner and the developer had made other agreements, the options contract has passed and the developer has lost the rights to the land. They will either pay the market price for the land or they will walk away and not purchase the price at all. In this case, if the developer doesn't purchase the land, the landowner would get to keep that \$6000.

The second thing is to use a put option. This is seen as an insurance policy with the stock market. Going back to a land developer, let's say that they own a lot of stocks and they are worried that within the next few years, there is going to be an issue with a recession in the economy. The developer wants to be sure that if this recession does hit, they will not lose over 10 percent of the value of their stocks.

If the stock exchange is trading at 2500, the developer will be able to purchase what is known as a put option, which gives them the right to sell their stocks at 2250 at any point within the next few years. So, if the market ends up crashing down twenty percent in the next six months, they will be able to still sell for the 2250, even though the market may have it down to 2000 instead. Even if the market ends up dropping down to zero (which isn't likely), the developer will only lose up to ten percent of their portfolio.

These examples are used to demonstrate some important points for working with options. First, any time that you purchase an option, you have a right, but are not obligated, to do something. You do have the choice to let the expiration go by, and then the option is going to become worthless. However, if you let the expiration fade, you will lose all of your investment, or the option premium. The second thing is that an option is just a contract that will deal with the asset that you want. Because of this, options are considered derivatives.

The Types of Options

While there are technically many types of options that you can choose to work with, we are going to focus on the two main categories that they usually fall into. The two main types of options include:

- Call options: these are the options that will give the buyer the right to buy the underlying security at a fixed price.
- Put options: these options give the buyer the right to sell the underlying security at a fixed price.

The thing that you need to keep track of here is that when working with a call option, the buyer of this option will only be able to profit off that option when the value of its underlying stock goes up. When working with a put option, the buyer of this option is only going to see a profit when the value of the underlying stock ends up going down.

There are also two conventions that will be used when it comes to the options that you are using. If you are planning on just trading options in America, that is the only type of expiration that you will have to deal with. Some people like to work with international options as well, so it is a good idea to learn how both of these methods work:

- The European style expiry: the call options and the put options are denoted with the CE and PE. With this kind of expiry, your options are only exercised at the time specified for the expiry.
- The American style expiry: the call options and the put options are denoted with CA and PA in this method. For this kind of expiry, the options

are going to be exercised at any time between when the option was purchased and when the expiry occurs.

The method that you are going to use will depend on what is considered the norm in the country where you are trading and where the stocks come from. For example, if you are trading options on the India NSE, you will want to follow the European style of expiry for results.

Working with the Right Strategy

Options trading may seem a little bit complicated when you first get started. You want to make sure that you are picking out the right types of stocks and that you make good predictions that will help you see success in the future. But the way that you do this can pose the challenge. There are a lot of different stocks and a lot of different market conditions, so figuring out the one that is right for you can take some time.

The best thing that you can do is pick out the right strategy. This guidebook will discuss some of the best strategies that you can use for options trading. The strategy that you pick will really make things easier on your trade. Each of the strategies that we will discuss in this guidebook will have certain requirements that you need to follow to pick out the stocks that will work with them. These strategies also help you to choose what market conditions you should work with as well, so it can really make things easier to deal with.

It is fine to mix and match your strategies over time. Each option trade that you do can have different requirements, so you do not have to be stuck doing the same thing all of the time. If you notice that there is a stock that would work better with a trading strategy you don't usually work with, or the market conditions are changing and you think a new strategy is going to work the best, then you should go with that. You need to stick with the same strategy while you are inside the same trade, but when you go from one trade to another, it is just fine to switch things up a bit as needed.

ITM, OTM, and ATM Options

In the money (ITM), out of the money (OTM), and at the money (ATM) are three of the acronyms that you will hear about quite a bit when you are working with options trading. Let's take a look at what each of these means to help you to understand how they work in trading.

ITM options are any that have an intrinsic value. If you exercise these options at that point, they are going to make you some money. Any call option that has a strike price less than the market price of the underlying stock it is considered an ITM option. On the other hand, any put option that has its strike price greater than the market price of the underlying stock will be considered an ITM option. The intrinsic value of any ITM option is going to be the positive difference between its strike price and the stock's market price.

To make it simple, when the price of the stock rises and crosses a particular strike price of its call option, then this option is going to become an ITM. Then when the price of the stock falls below the strike price of its put option, this option is going to become an ITM as well.

The OTM options are the opposite of the ITM options that we just discussed. These options are not going to have an intrinsic value. When they expire, all of the OTM options are going to be worthless. Any of the call options that have a strike price that ends up higher than the stock's market price and any put option that has a strike price that is lower than the stock's market price will be considered an OTM.

ATM options are going to be a bit different than the other two. These are going to be options where the strike price is the same as the market price of the stock. These ATM options can turn either into an ITM option or into an OTM option based on how the market prices end up changing over time.

Terms You Should Know

There are a lot of things that you are able to do when it comes to working with options, and it is likely that you will see a ton of terms as you get into the market. It is important to know what these terms all mean before you get into the market, or you will end up missing out on some important things that can help you make decisions. Some of the best terms that you should know when you are ready to join the options trading market include:

- The strike price (SP): every contract for options will have a strike price associated with it. This is the fixed reference price against which settlement takes place at the time the option is exercised or when the option expires. Of any of the given index or stock that is traded, there are going to be various options contracts that correspond with various strike prices. These prices are determined ahead of time by the stock exchange where the stock is traded.
- The lot size: the lot size specifies the fixed number of units of the security that your options contract is covering. The regulatory body of the stock determines this lot size, and it is possible that the lot size can change based on the stock you are using.
- Premium: this is just the amount of money that the buyer of the option is going to pay per share when they are purchasing the option. So, the total cost of these contracts will be the premium multiplied by the lot size that you choose.
- Expiry date: every option that you work with is going to have an expiry date. This will vary depending on the contract, and it is possible that the expiry date could happen weekly, monthly, or even quarterly. You will know what the expiry date is when you purchase the options contract.

Understanding how each of these works can make a big difference on the experience that you have when it comes to working with options trading. Now that we know a bit of the basics, let's get into some of the other things that you need to work with in order to make money with options trading.

CHAPTER 2: TOP REASONS TO TRADE IN OPTIONS

When it comes to working with an investment, you want to make sure that you are working with a choice that will make you money. No one wants to get into an investment that will have them lose all their money. But part of the point of an investment is that it does carry some risk. Hopefully you are able to pick out an investment that has a much higher reward than risk to it so that you can earn money.

There are a variety of options that you can choose when it comes to your choice in investments. You can choose to do real estate, to put the money in retirement, trade on the stock market, and even start your own business. With all of these other options to choose from, why would you want to choose options as your investment vehicle? Here are some of the benefits of choosing options trading over some of the other investment options when you are ready to put your money to work for you.

Limit Your Risk

A good reason to go with buying options is that you will be able to limit your risk down to just the amount of money that you pay for the premium. With other investment options, you could end up losing a lot of money, even money that you did not invest to begin with, but this does not happen when you are working with options.

Let's say that you saw that the prices of cows were about to go up. You could pay some money upfront and enter into a contract with someone else to sell your five cows for \$2000. At this point, since you are working with an options contract, you did not buy the cows upfront.

On the other hand, if you had gone up to the other person and purchased those cows straight up for a cost of \$10,000, you could end up in trouble. For this example, the price of the cows may end up falling by \$500, rather than going up by \$500, and you would end up losing \$2500 in the process. Since you went into the options contract though, you would stand to lose no more than \$250 if the prices were to fall afterwards. You still stand to lose some money, but it is a lot less than you would have lost otherwise.

Better Leverage for the Money

You will find that when you are working with options, it can provide you with some good leveraging power. A trader will be able to buy an option position that will imitate their stock position quite a bit, but it will end up saving them a lot of money in the process.

Let's say that you saw that there was an opportunity to make a profitable trade, you were only able to spare about \$1000 to purchase the stock, but you didn't know that options were available. If we were still talking about the cows from before, you would not be able to purchase even one cow for the money (remember that they are about \$2000 each without the options contract), and so you would completely miss out on the possibility to make a profit.

But, if you decided to purchase with an options contract, rather than purchasing the underlying asset outright, the dynamics have completely changed. This could result in an investment of just \$250 to get started. The premium on the options contract is a fraction of the total cost, allowing you to get in on the trade for a lot less money. If you look into options contracts, you will be able to make more purchases, and potentially more money, compared to some of the other stock choices you can make.

Higher Percentage of Returns

As mentioned, an options trader is only going to pay a fraction of the value of the asset just to have some control over that asset. This will allow the trader to earn more money than what they would be able to earn when they purchase the asset upfront and then try to sell it. Let's take a look at an example of how this can work.

Going back to the idea of the cows, the market price at the beginning of this trade is \$2000. For a regular cattle trader, one who doesn't know anything

about options, had the \$2000 in hand and believed that the price of the cattle is going to go up, he would only have the opportunity to purchase one cow. If the price of the cows goes up to \$2500, this trader will only be able to make a profit of \$500. This isn't bad, but since there is a big risk with this option, it is not always the best.

On the other hand, a trader who knows a bit about options will be able to do things a bit different. If you had \$2000, you could choose to purchase eight options contracts, with a premium of \$50. This means that you now have the purchasing rights for a total of 40 cows rather than the 1 cow the other trader had.

With the same profit of \$500 per cow, your profit would be \$18,000 (this includes the \$500 per cow minus the \$2000 you spent in the beginning to purchase the contracts). You earned thousands of dollars more compared to the original trader, but you used the same amount of money to get started.

Helps to Hedge Intraday or Futures Trades

It is common for traders to purchase or short-sell Futures contracts because they expect them to move in one direction or another. Intraday traders may do the same thing, because they will purchase a large number of shares in the hopes that they are going to move down or up during that day. If the trader ends up picking the wrong direction on the Futures or the intraday trades, they may end up losing a lot of weight. Unless you put in a stop-

loss, it is possible for you to lose an unlimited amount of money in the process.

You may not be complaining when this goes the right way and you earn unlimited profits, but if you go with one of these trades and you don't hedge your position, you are going to complain when you start losing a lot of money. If you have an understanding on how trading options works, you could buy call or put options to help insure that you are not going to end up with an unlimited loss. The right options choice is going to help control your loss the moment that the intraday or futures positions starts going against what you wanted.

While there are a lot of great investment choices that you can make, none of them are going to limit your risk as much as options while still providing you with a great potential to make money in the process. This is a great investment for anyone, whether they are just getting started with investing or they have been in the market for a long time.

CHAPTER 3: BEGINNER MISTAKES AND HOW TO AVOID THEM

As a beginner, you have a large learning curve that you need to work with before you are able to profit on a consistent basis with options. It may sound pretty simple from some of the examples that we have provided so far, but you do need to take the time to learn as much about options as possible and to get the most out of your investment.

Learning what mistakes other beginners make and how to avoid them can make all the difference in how successful you can be with options trading. Let's take a look at some of the common mistakes that happen with options and how you can avoid them to earn as much as possible.

Buying Options Without Hedging

This is a big mistake that a lot of beginners will make, and it can end up costing you a lot of money. Buying a naked option means that you are purchasing an option without any protective trades in order to cover your investment, in case it goes the wrong way and ends up hurting your profits.

It is really hard to predict how the stock is going to move over the short-term, and there are going to be times when you are not accurate. If you keep on purchasing naked options, you are basically hoping to get lucky each time, and you are hoping that you will not lose more than you gain over the long term.

In order to make a good profit after purchasing a naked option, there are a few things that need to happen including:

- The trader needs to be able to predict the direction the stock will move accurately.
- The movement of that stock needs to be fast enough so that the position of the trader can close before its gains get overrun with time-decay.
- The rise of the options premium price needs to compensate for any drops that may happen from the time that the option was purchased.
- The trader needs to be able to exit the trade before the reversal of the stock price happens.

As you can see, there are going to be times when it is a challenge for all of these things to occur and fall into place. This is why it is common for naked-options traders to lose money, even if they were able to correctly guess the way the stock would move. There are still many traders who assume that if they keep following the same steps, they will end up with good results in the long run. The best way to make an income from options is to never purchase a naked option, unless you are doing it to hedge another position, because the risk is too big.

Underestimating Your Time-Decay

Another mistake that you may make as a beginner is that you underestimate your time-decay. This can be one of the worst parts of being an options trade if you are not able to exit the trade fast enough.

As a call options buyer, you may notice that sometimes, even when the price of the stock is increasing on a daily basis, the call option's price is not rising or falling. As a put options buyer, you can sometimes notice that your put options price is not increasing, even if there is a fall in the price of your stock. This can be a bit confusing to someone who is just starting out as an options trader.

These problems are going to occur in the market when the increase or the decrease of the stock's price is just not going at a rate fast enough to outstrip the rate at which the options time-value is eroding each day. This means that with the strategy that you employ for trading, you should have some method of minimizing or at least countering the effect of time-decay. There are even some strategies that will use time-decay in their favor to ensure that the trader gets a profitable trade.

The spread-based strategies that we will discuss later in this book will really take a look at how to do this so you don't end up losing money, even if you made some good predictions along the way.

Buying an Option with High Volatility.

Another mistake that you can make is to purchase options in a time of high volatility. During these times, option premiums will often get overpriced, and if you purchase an option, you could still lose. There are times when the stock can move sharply in line with what you are expecting; a large drop in the implied volatility could make the price of the option fall quite a bit, resulting in you losing money.

You want to make sure that you are purchasing options when the price is not so volatile. This will ensure that the price of the option or the stock doesn't go down further than you were expecting and that you will not pay too much for your options premium.

Not Cutting Out On Your Losses When Needed

A good saying that you should stick with when it comes to options trading is to cut your losses short and let the winners run. Even those who have been working in options trading will find that one of their trades has gone badly on occasion. The difference between the novice and a more experienced trader is that the experienced trader knows when they have lost and when they should get out of the market. Many beginners keep holding on to trades that are losing in the hopes that these options will bounce back and they will make money.

The issue with this is that when they hold onto these options, they hold onto them a lot longer and lose a big chunk of their capital. Rather than losing a lot of money, an experienced trader will know when to admit that they were wrong, and they will pull out early when the losses are low. Then they will still have some capital leftover in order to spend on another options contract.

Being able to cut your losses in time is crucial, especially if you are working with a directional strategy and you make the wrong call. The most practical thing that you can do is exit your losing position once you notice that it is moving against your expectations and it erodes over two to three percent of the total capital you want to earn.

If you are someone who likes to use the spread-based strategies, the losses that you have will always be more limited when you have made a wrong call. However, no matter what strategy you are using, once you notice that your trade is not going to profit you well, it is time to cut off the losses and choose to reinvest in a different position that can bring in better profits.

Adding Too Many Eggs into the Same Basket

As mentioned, there are going to be times when you will make a bad trade, no matter how much time you have spent in the options market. An experienced trader knows that they should never place all of their bets on a

single trade. If you do this and the trade goes wrong, it means that you are going to lose a lot of your capital all in one place.

Professional traders know that they should spread out their risks across at least a few different trades so they won't lose all their money in one place. It is best to keep no more than five percent of your available capital in one trade in order to keep things safe. So, if you have \$10,000 to invest total, it is best to never enter into a trade where you will risk losing over \$500 if things go wrong. If you are able to follow this practice, it will ensure that losing on occasion is something that can happen without you eating up all of your cash reserves. If you do not follow this advice, you can easily place too much of your money into one trade, and if it goes wrong, you will lose a lot of your capital.

Using Brokers Who Charge Too Much

When you are investing, it is important to cut down your costs as much as possible. While you do not want to be cheap and cut corners, there are some brokers who will charge way more for their services compared to others. You can choose to go with another option that will save you some money.

You do need to do some research ahead of time. Just because a broker charges less doesn't mean that they are the best ones for you. There are many brokers who will charge you a fair rate, but make sure that you look at some of the features that each one offers and pick one that will provide you with the results that you would like.

As you can see, there are some common mistakes that beginners can make that will cost them a lot of money on options trading. But when you learn about these mistakes and how to avoid them, you have a head start to making money with your options trading.

CHAPTER 4: THE SIX BEST STRATEGIES TO USE IN OPTIONS TRADING

There are a lot of benefits to working in options trading. You can make a lot of profit and even limit your losses if you know how to make the market work for you. The best thing that you can do is pick out the right strategy to help you no matter how the market is moving. Later in this guidebook, we are going to take an in-depth look at each of these strategies, as well as take a look at a case study of how each one works so you can really get that strategy down. For now, we are going to look at some of the basics of each strategy, so you can get a feel for how they are all different and you can choose which strategy you think will work the best for you.

First is the bull put spread. This is considered a directional and a credit spread. One advantage that you will find is that it is able to work against the time decay issue, so you won't lose money from that. You would choose to work with the bull put spread any time that you expect a stock to either fall, stay stagnant, or fall just a little bit (if at all) during the near future. The risk on this one is pretty low, so it is often a good strategy for beginners to get started with.

You can also choose to work with the bear call spread. This is another strategy that is directional, a credit spread, and gives you the advantage of working against the issue of time decay. You would choose to go with the bear call spread any time that you expect a fall, stagnant, or rise just a bit over the short term. This one is another low-risk strategy that can help you to get used to the market and see some results.

The bull call spread is the next strategy for options trading on our list. This one is a bit different than the other two in that it is a debit spread, and you will have to still work against the issue of time decay with it. It is still a directional choice, though, which is something you may be familiar with if you have used some of the other strategies. You will want to work with the bull call spread any time that you expect your stock is going to rise moderately over the short term. The risk that you will face when working with the bull call spread is considered to be moderate.

The bear put spread is one that is similar to the bull call spread, but it works in the opposite way. This is another debit spread, and it will not help you to fight against the issue of time decay, so you will have to limit the amount of time that you are holding onto the option. It is still considered one of the directional strategies, though. This is the strategy that you will work with any time that you think your chosen stock is going to fall moderately within a short amount of time. The risk that comes with this strategy is considered moderate, so a bit riskier than the first two we talked about, but not too bad for a beginner to work with.

Next on the list is the iron condor strategy. This one is considered a credit spread. You will still get the advantage against the time decay issue, but it is considered a non-directional strategy because you are betting against both directions rather than just one. You would choose to work with this strategy when you have a stock that is either stable and not moving all that much, or you have one that goes up and down, but those movements stay within a specified range and you think the stock will stay there for the short term. The risk on the iron condor strategy is considered low.

And finally, you can also choose to work with the long straddle or strangle. This is a debit spread that is also non-directional, just like the iron condor. It does have the disadvantage of not being able to work against the time decay issue. You would choose this strategy any time that the market, or at least the stock you are working with, is going to be really volatile for a short amount of time. It is used by traders who see a high probability of imminent sharp rise and fall in the stock price. This method can be used to catch both of them if you are not sure which way the market will go. The risk on this one is pretty high; if the market doesn't get as volatile as you predicted, you could lose a lot of money. However, there is the potential for unlimited profits, so if there is going to be a big change in the market soon, this may be the right one to go with.

Remember that when you are picking out the strategy that you want to use, the directional debit strategies are going to help you to get a fast and bigger return. They have a good risk to reward ratio, and they have the issue of time decay that is working with them. This is why most professional traders stay away from the debit spreads in most cases, even though these may look like good options to work with.

For the most part, it is not a good idea to use the long straddle/strangle position, especially as a beginner. There are not that many times when the market is going to behave the way that you want for this strategy to work. In addition, if you are in this kind of strategy and you get the expected directional move to occur, you need to square off your position as quickly as possible because you are working against the time decay. This time decay is accelerated in the long straddle/strangle because it occurs on both ends of the playing field. Getting out of the position as soon as possible after you make a profit can help

As a beginner, you may find that using the credit based strategies (not the selling strategies) will give you the best luck. They will give smaller returns compared to some of the other strategies, but the returns are more consistent than you can find with other choices. This can help you to earn a steady stream of income over the long term without very much risk. This is because time and probability often favor these kinds of strategies over the others. It is at least worth your time to consider starting out with these strategies to learn the market and to stay safe.

If you are looking for the strategy that is going to be the most consistent when it comes to generating income, you will want to work with the Iron Condor. This is because in addition to getting the same benefits as the other credit spreads when it comes to time decay and probability, it is also considered a neutral position. The stock can go up and down with this strategy, and you still have the potential to make a profit, as long as your strike points are in the right place.

As you can see, there are a number of different strategies that you can use when you decide to work in options trading. Each of them is a bit different, and the situations when you use each will vary as well. Knowing how each one works and how they can be used in the market will help you to make smart and informed decisions along the way and will increase the amount of profit that you can make overall.

CHAPTER 5: THE BULL PUT SPREAD

There are a lot of different strategies that you are able to utilize when it comes to working in options trading. The first strategy that we will take a look at is the bull put spread. This is considered a directional strategy that you will want to use when a stock is showing signs of reaching its support level and is unlikely to fall down further. When the stock reaches this stage, it is either starting to trade flat, which means that it isn't moving much in either direction, or it is going to rise again.

If you would like to work with a bull put strategy, some of the things that you will need to do include:

Select the stock or the index that fits the criteria for trading on this strategy. This is going to be based on your medium or short-term outlook for that stock.

You will then sell one OTM put option of this stock. Buy one OTM put option that has the same expiry date and the same underlying stock as the

put option that you did in the second step, but you will pick a lower strike price.

Once you are done with the above steps, you should make sure to monitor your position the whole time and then close both the options at the same time once the trade has made a good profit. Alternately, you can choose to hold onto the trade until both of the options reach their expiration, which can help you to get the maximum profit. You will only want to go to the expiration day if you feel confident that the stock does not have any threat of following below the strike price of your higher strike put option ahead of time.

When should I use this strategy?

The first question that you may have about this strategy is when you would choose to use this kind of strategy. You will want to use this kind of spread when you believe that your underlying stock has gotten to a strong support level and there isn't much of a chance that the stock will go down much from that level, at least before the chosen expiration date.

A good time to choose this kind of trade is when the stock has just gone through some expected correction or a profit booking. For example, it may be a strong stock that underwent a decline of about five percent, and then it started to show that it was stabilizing again at the lower level. You do need to make sure that the buying volume and the number of buyers is the same or increasing so that the stock is likely to go back up rather than down. Or

you can pick to start trading when a stock is slowly climbing up and it doesn't seem likely that it is going to fall back down in the near-term.

For this strategy, it is preferable for you to trade options that are historically low in volatility. This is a credit spread strategy that will exploit the time-decay. when working with low-volatility stocks, a price fall is only going to be small and this makes it unlikely to overcome the time-decay of the options. Basically, this keeps the trade pretty profitable, even if the stock doesn't move with your expectations. This strategy can sometimes work for the higher-volatility stocks as well if the opportunity presents itself, but this is not always the best choice to go with.

Advantages and disadvantages

The biggest advantage of using the bull put spread strategy is that it will make sure that the time-decay will work in your favor. Even if your stock doesn't go up after it hits the support level and it stays pretty stagnant, you will be able to get some kind of gain because of the time-decay. in addition, if you use this strategy in times of high volatility in the market, any drop is going to act like a catalyst in making the trade profitable at a faster rate.

The biggest disadvantage of using this kind of strategy is that the maximum amount of profit that you are able to earn is less than the potential that you could use if the stock doesn't go the way that you would like and your positions get into losses.

A Case Study for the Bull Put Spread Trade

We are going to take a look here at an actual trade that was done successfully to show you how this strategy works. we are going to enter the market on April of 2017 and use the stock known as Biocon Limited as our underlying stock.

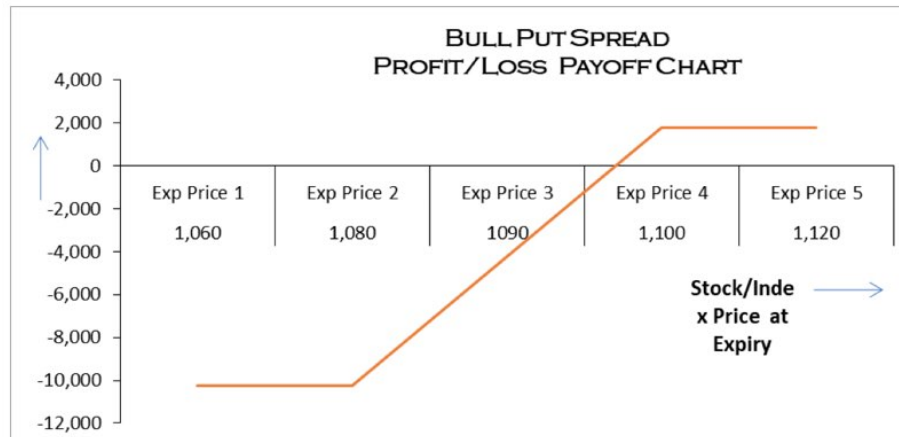
First, we took some time to determine the optimum strike prices to trade on. To do this, we need to determine a put option to sell that had a delta that was no more than -0.25. this means that the trade had the right balance of probability and potential profit and it implies that right now there is only a 25 percent chance of the option ending ITM at expiry. What all this means is that this option is going to give us a 75 percent chance or more of success when a decent premium is collected.

The next step that you need to do is sell the OTM put option. You can then buy a lower-strike OTM put option of the same stock using the same expiry date. For the first part, you would see that the Biocon 1100 put option in April was sold for about \$4.70. Then for the second part, the Biocon 1080 put option was bought for \$1.75 to complete this part of the trade.

Summary Table		
Stock or Index Traded	Biocon	
Lot size for option	600	
Option 1 (Higher-strike OTM Put : Sell)	Strike Price	1,100.00
	Premium Received	4.70
Option 2 (Lower-strike OTM Put : Buy)	Strike Price	1,080.00
	Premium Paid	1.75
Difference Between any 2 Consecutive Strikes-prices		20.00
Potential Max Profit		1,770.00
Potential Max Loss		- 10,230.00
Condition for meeting max profit	Stock/Index price at expiry $\geq$	1,100
Condition for meeting max loss	Stock/Index price at expiry $\leq$	1,080
Break-even	Stock/Index Price at expiry =	1,097

This tabulation is going to show you how much profit you can potentially make if the Biocon stayed over the 1100. At the end of the day, the maximum amount is \$1770. In addition, it shows the maximum amount that you are able to lose even if the stock went below the lower-strike price, which is \$10,230. The point for breaking even, which means the point above which the trade would still provide you with a profit is \$1097.05. Historically for this option, the delta values of the options you are trading will have less than 20 percent chance of ending in a loss, which fits into the amount that we wanted earlier.

This chart below is going to be the profit and loss payoff diagram is going to show the profits and losses that you can get as they are plotted against the five different expiry prices for this stock.



Results of this trade

Despite the fact that this stock is showing some fluctuations from one day to another, it still ended up at 1123 at the end of the day. Therefore, both of the options expired worthless as OTM options that resulted in an overall profit for this trade.

This trade yielded a profit of \$1770. This was also the maximum that the trader could potentially make off the trade and was equal to the new premium that was received when the trader entered the trade. Since both of the options ended up expiring at \$0, the trader realized maximum returns.

The ratio of the net profit or loss to the sum invested in the trade will help you to figure out your return on investment, or the amount of profit that you earned on this trade. In this example, a sum of \$86,000 was blocked off by the broker as the margin to sell the 1100 Biocon put option that was sold for

a total of \$2820 and the trader paid \$1050 for the purchasing power of the lower-strike put option. This means that the total investment for this trade ended up being \$87,050 and the profit was \$1770.

With these numbers, the profit ration ends up being 0.02, or about two percent. This is not a bad return on investment given that this particular trade only lasted six hours. The longer you are going to hold onto the option, the higher the risk is going to be to you, so you would probably want to go with a return on investment that is a little bit higher. But for this short of a time, you made some money and that is not too bad!

CHAPTER 6: THE IRON CONDOR

The other strategy that we talked about were directional strategies but the iron condor is going to be a non-directional strategy. This one is going to limit your profit a bit but it's probability of success is pretty high for the traders that are able to trade it well. When you are working with an Iron Condor trade, no matter which way the stock or the index ends up moving, the trader is going to become profitable as long as the movement stays inside the boundaries that the trader sets, at the time of expiry. Out of all the strategies that we are going to discuss in this guidebook, this one has the highest potential to give you profits and it has the least amount of risk as well.

You will use the iron condor to trade on stocks with very low volatility. It is not a good idea to go with a stock that moves around quite a bit and has big highs and lows that go all over the place. You will find that this is a credit spread strategy that will be viewed as a combination of the bear call spread (which we talk about in the following chapter) and the bull put spread.

You can consider the iron condor as a type of evergreen strategy, one that a lot of traders are going to use when they find a stable stock. As a trader, if you are able to choose any strategy and you want to go with one that is pretty easy to follow and will give you a higher probability of doing well, then the iron condor is the best option for you to choose.

The iron condor is going to be a little bit more difficult to work with because there are four legs to go with it, rather than the two legs on the other trading strategy. For the first step, you need to go through and find the stock that you would like to work with. Remember that for the iron condor to work, you need to have a stock that is pretty stable and is not going to go up or down too much in the process.

The next step is to sell one deep OTM put option of the stock that you selected. Then buy one OTM put options with the same expiry date and with the same stock that you sold in the first step, but make sure that this one has a lower strike price.

After those steps are done, it is time to sell again. This time you are going to sell a deep OTM but it needs to be a call option. You want this to use the same stock and have the same expiry date as what you used in the last part. And finally, you can buy an OTM call option that has the same stock and the same expiry date as all the other steps, but this one needs to have a slightly higher strike-price.

One thing to note is that there is going to be a difference between the strike prices the two put options need to be the same as the difference between the strikes of the two call options if you want to accurately create this strategy. Throughout the time until the expiry, you will want to monitor how your position is doing. Unless you are certain that your stock is going to keep within the limits that you have placed, you will want to consider exiting out of the trade when the position is making fifty percent or more of the maximum profit that you want out of this trade. If you find that the market goes against your expectations and there is a big directional movement of your stock, it is time to close out all of the positions and wait until that stock has time to stabilize before entering again.

You would choose to go with this strategy any time that your stock is showing a really low amount of volatility. This means that the stock is not moving much or if it is moving within a range that you are able to define easily. For the most part, index options are going to be the best for executing this strategy compared to stock based options since these indexes are often less volatile. If you are working with a market that is pretty stable, you will find that iron condors are the safest option for winning.

The biggest advantage of using the iron condor is that it is considered a neutral position and you are likely to get some kind of profit as long as you execute this strategy the right way, no matter which way your chosen stock or index ends up moving. And since this is a net credit strategy, it will be able to help you work against the issues with time decay.

The biggest disadvantage that you are going to find with the iron condor is that the returns that you will get out of it are quite a bit less than what you can get from a directional strategy. In addition, the maximum loss that you can incur is going to be quite a bit more than the maximum profit that you would be able to gain in this position if you are not careful with the stocks that you are using. However, when looking at the statistics for success with the iron condor, you will notice that the probability of a win is going to be much higher than that of a loss, which helps to make this a great strategy to work with.

Case study with the iron condor strategy

Now it is time to take a look at an example of when the iron condor trade can be successful. For this one, we are going to enter into the trade on the 17th of April and the underlying index that is used is the Nifty 50. This is considered a benchmark index of the National Stock Exchange in India. This is a good one to use with the iron condor because it has a history of stability and doesn't usually move up and down too much.

The reason that we are entering with this strategy is because the Nifty index has just reached a 52-week high and there has been some profit booking. Since that time, it has been trading in a narrow range showing that there is some support for it staying around 9100 and when it reaches 9300, there seems to be some strong resistance. When looking at the near future, it isn't expected that there are going to be some big triggers that would cause a big rise or drop in the price and when looking at the history of the index, it

usually doesn't go up or down more than three percent on average through the money.

This means over the next month, it is not likely that the index is not going to go higher than the 9500 and it is not likely that it will fall below 8900 within the next month. This helps to make the conditions perfect to work with the iron condor.

The first step that you need to take when working on an iron condor trade is to pick out your stock. You want one that doesn't have a lot of movement or at least one that has predictable movement between the same two points. Some of the things that you should also consider when it comes to using the iron condor strategy includes:

- All of the options that you pick should have a minimum of 30 days to expiry so that enough premium can be collected. Because of this, this case study picked an expiry date that was 38 days in the future, so the 25th of May.
- The trade needs to have a high probability of success, at least 70 percent. To make sure that this happens, the 8900 Nifty put option and then the 9500-call option were the points that are chosen. Since this stock has only recently fixed itself and was currency near the 9150 mark, the strikes that were chosen for the call gave some extra room because it was more likely that the index would increase rather than decrease.

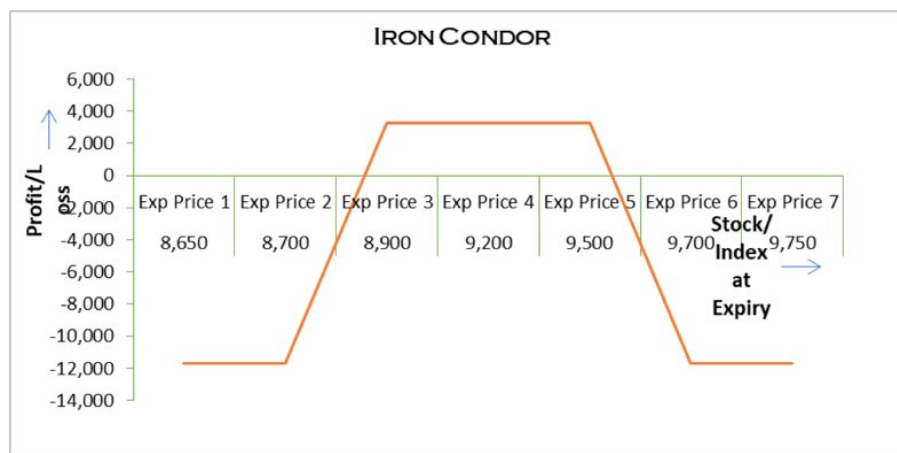
The second thing that you should do is sell one deep OTM put option. The 8900 Nifty put option that expired in May was sold for 42.25. then you need to buy an OTM put option that has a lower strike price compared to your sold option. For this example, we used the 8700 put option, gave it a May expiry, and then bought it for 19.70.

Now you need to work on the next leg. This one is going to ask you to sell a deep OTM call option. In this example, we bought a 9500-call option that would expire in May and we sold it for 23. And finally, you also need to purchase an OTM call option. We bought a 9700-call option for 4.85.

Summary Table			
Stock or Index Traded	Nifty		
Lot size for each option	75		
Option 1 Lower-strike Put Option - Buy	Strike Price	8,700.00	
	Premium Paid	19.70	
Option 2 Higher-strike Put Option - Sell	Strike Price	8,900.00	
	Premium Received	45.25	
Option 3 Lower-strike Call Option - Sell	Strike Price	9,500.00	
	Premium Received	23.00	
Option 4 Higher-strike Call Option - Buy	Strike Price	9,700.00	
	Premium Paid	4.85	
Difference Between any 2 Consecutive Strikes-prices			50.00
Max Profit			₹ 3,278
Max Loss			₹ -11,723
Condition for meeting max profit	Stock price at expiry lies between Strike-Prices of Option 2 and Option 3		
Condition for meeting max loss	Stock Price at expiry > Strike-price of Option4 -OR- Stock Price at expiry < Strike-price of Option 1		
Upper Break-even Price at Expiry	Stock/Index at time of expiry = 9,543.70		
Lower Break-even Price at Expiry	Stock/Index at time of expiry = 8,856.30		

Based on the prices that were present on the individual legs of the positions we chose, the maximum potential profit that can be made will be 3278 and the maximum potential loss that you could get if the stock doesn't go the way that you would like, would be 11,723.

Remember that with the iron condor strategy, there are going to be two points that are the break-even point. The upper one is going to be at 9543.7 and the lower one is going to be 8856.2. The profit and loss diagram below are going to show the profit and loss that you can get based on the different expiry prices for this stock during this trade.



With this example, the position was held for three weeks before the trader closed it. The trader technically had two weeks in order to keep the stocks going before they hit their expiry, but in this case, the trader wanted to be able to exit the trade and free up their capital to work on another trade. In addition, this stock had started to climb up to a new high and there was the possibility that this momentum was going to keep going up and the trader may have lost all of their profit.

During these three weeks, the stock ended up gaining 250 points. Despite this, this trade still provided a profit of thirty percent of the maximum potential profit thanks to the time-day and because of the time exit. The trader was still about to earn 1024 from this trade.

The return of investment on this option was lower. The trader was about to earn about 1.25 percent on their return on investment. Usually the iron condor strategy is going to be more effective than this when it comes to a good return on investment, but during the time of the trade, the stock ended up moving more than was expected. A similar trade using this stock usually will give at least three percent return on investment, but the market was not as steady as it usually is. But the trader decided to get out of the market ahead of time to make sure that the market didn't go outside of their limits and make them lose money in the process.

CHAPTER 7: THE BEAR CALL SPREAD

Next on the list is the bear call spread. This is another directional strategy that will be used by a trader when they believe that their underlying stock has reached its upper resistance level and they do not believe that the underlying stock is going to go up much more at this point. They usually believe that the price point of the stock is going to stay flat and not change or it is going to go back down. Basically, this is going to be the opposite strategy that we talked about earlier with the bull put spread.

Like the bull put spread, the bear call spread is also a credit spread. What this means is the premium that you end up receiving while selling one leg of this trade is going to be greater than any premium that you end up paying for the second leg of the trade. You will end up receiving a net credit to your account when you decide to go with this position.

The first step that you need to take to create your bear call spread is to select the right stock that fits this kind of strategy. You will find that there are a variety of stocks that you can choose from, but you will need to pick based on your outlook for this kind of index.

Next, you will need to sell an OTM call option of the stock that you selected. And third, you should purchase an OTM call option that has the same expiry date and the same underlying stock as your id with your ATM call option, but the second one needs to have a higher strike price.

Once you enter the market, you will want to constantly monitor your position each day. Once you have made a considerable profit, which is about fifty percent of your max profit, it is time to exit your position. Or, once you have started to recognize some of the signs of the market and you are sure that the stock is not going to end up reversing, you could wait until the stock reaches its expiry and then take the maximum amount of profit.

There are some time periods that are better for entering a bear call spread than others. You would want to choose the bear call spread any time that you believe that your chosen stock is not likely to rise in price in the near future and that this stock is probably going to decline from its current price rather than go up. This can happen when the stock from a particular company that had big market expectations posted their results and these were way below the expectations of the market. In addition, the index option could hit a big resistance level and this could cause it to go down a bit.

This method is not going to work that well if the stock is really volatile and it has the potential to rise quite a bit over the short term. You want to pick out some options that are not likely to go up any more. You would then be

able to use the bear call spread and make some profit whether the stock stays stagnant or the price goes down.

The maximum profit that you will be able to make with the bear call spread is when at the time of expiry, the stock price is trading below the strike price of the call option that was sold. To get the maximum profit, you will need to take the premium received on selling the lower-strike call option and minus the premium paid for purchasing the higher-strike call option. Then you can multiply both of these by the lot size.

The biggest loss that you would incur with this kind of spread is when at the time of expiry, the stock price is trading above the strike price call option you bought with the higher-strike price. This is why you want to make sure that you are picking out stocks that are going to go down or remain steady. If the stock goes up with this option, you will end up losing money in the process. This is why this strategy is a good one to choose if you think that the market is about to go down or you want to work with a stock that is not really increasing at the time.

The biggest advantage of working with the bear call spread is that it is going to ensure that the time-decay is going to work in your favor. As long as you go with a stock that is able to stay below your lower strike-price when the expiry happens, you will get the benefit of keeping your entire credit that you received when you entered into this position and you have the potential to make a good profit.

However, there is a disadvantage of working with this strategy. With this position, if you see that there is the possibility that the stock will make a big movement that goes against your expectations. This means that the stock starts rising in price quickly rather than remaining stagnant or going down like you had predicted. If this does happen, the maximum amount that you could lose can be a lot more than the maximum profit that you might have been able to gain with this strategy so there is some risk.

Case study of the bear call spread

Here we are going to look at a case study of a trade that was done in May of 2017 for this strategy. The stock that was used for this option trade is the Nifty 50 and the type of exchange that was used was the NSE in India. The Nifty 50 is a good option to go with because it is considered a benchmark index on the Indian NSA. It is a diversified 50 stock index and will account for 12 sectors of the economy in India. It has some good stability and the volatility that occurs with it daily is not that high.

The market at this time had gone through a long bull run and it was about to run out of steam. The Nifty stock was showing signs of meeting some resistance when it reached the 9500 mark and it wasn't likely to cross over that barrier any time soon. This made it the perfect stock to work with the bear call spread, making sure that your resistance point was 9500.

The first step that you should take is to determine your options with the optimum strike-prices to trade. Since we found the resistance level to be

bear the 9500 mark with this strategy, it was decided to sell an OTM option that was four strikes away from the spot price of Nifty. Since the spot price of this stock was at 9500 at the time of trading, the 9700 Nifty call options with a month expiry (so ending in June for this one) was picked to be written and to complete the second leg of the trade, the 9900 Nifty Call was selected.

With the help of a calculator in order to check the deltas, you would find that the delta of the lower-strike call is about 0.31. This implies that you are running the risk of 31 percent of the 9700 Nifty call reaching ITM at expiry time. This is a bit high for the risks than you should do, but since this index seems to have peaked, the risk was taken.

Now it is time to sell the OTM call option. The Nifty 9700 call option that was set to expire at the end of June was written for \$46 to complete the first part of the trade. Then on the third step, the Nifty 9900 call option to expire at the end of June was bought for \$9.80 to complete the second leg of the trade. Here is a chart to show what happened with this kind of trade.:

Summary Table			
Stock or Index Traded	Nifty		
Lot size for each option	75		
Option 1 Lower-strike Call Option : Sell	Strike Price	9700.00	
	Premium Received	46.00	
Option 2 Higher-strike Call Option : Buy	Strike Price	9900.00	
	Premium Paid	9.80	
Difference Between any 2 Consecutive Strikes-prices			50.00
Max Profit			₹ 2,715
Max Loss			₹ -12,285
Condition for maximum profit	Stock/Index price at time of expiry < 9700		
Condition for maximum loss	Stock/Index price at time of expiry > 9900		
Break-even	Stock/Index at time of Expiry = 9,736.20		

This table shows that the maximum profit you are able to make will be about \$2,715 if the Nifty stock stays at or below the 9700 when the expiration occurs. However, the maximum loss that you could happen if the stock goes above the 9900 is 12,285. The break even point that you would use here is the 9736.2 and as long as your index ends up over this point at the end of the trade, you would end up making a profit.

Here s a profit and loss payoff diagram that will show the profit and loss that you could earn plotted against five different prices for the index at expiration.



Results of the trade

With this case study, the Nifty stock did not go the way that the trader had hoped. Instead of moving down to 9500, it broke this resistance level and went up to 9700. Then the trading slowed down and it traded between the 9600 and 9700 range. Within a week, the 9700 call that sold for 46 had touched 80 before the premium came down to 70.

This trade position was left in a net loss for the following two weeks because of this development. However, this stock was not able to sustain itself over the 9700 level and within three weeks, the time-decay brought in some erosion to your options. Three weeks into this four-week trend, the Nifty stock came down by about 25 points on its opening, and it was traded at the 9620. Because of this, the trader was able to exit the trade and make a profit.

With this one, the trader was able to earn a profit of 1087.50 if they exited at the three-week mark rather than waiting. There was some possibility of earning more profit by keeping the options for a bit longer and until the end of the month. But since the stock did go up unexpectedly, it is possible for

this to happen again and it is smart for the trader to choose to exit the market early and take some profit rather than running the risk of the stock going back up again and them losing all of their profit.

The return on investment in this option ends up being about 2.7 percent over the three weeks. This is not very high, but considering that the stock went against the expectations of the trader, it was better than the loss that they could have encountered. This still ended up being a profitable trade for the trader, despite things going up and against the wishes of the trader. In this one, the brokerages were not that high so they have not been included into the calculations that we did to make things a little bit easier. You will have to pay a few fees for entering into these trades, but they are not too high and if you make good decisions with this trade, you will be able to cover them easily.

CHAPTER 8: THE BULL CALL SPREAD

Now we are going to take a look at the bull call spread. This is another directional strategy that you are able to use any time that you have a positive outlook on your stock and you think that it is going to have a moderate rise in the short-term. As you will find with any of the other strategies that are spread based, both the potential losses and profits are going to be capped when using the bull call spread. However, the best advantage of using this spread is that the maximum amount of profit that you will be able to gain from this strategy will exceed the maximum amount of loss that you may incur.

The bull call spread is a bit different than the other strategies that we looked at because it is considered a debit spread. This means that you must pay what is known as a net debit to enter the position. This spread, as well as the bear put spread that we will talk about next, are the two strategies that you can choose that provide a high percentage of returns because they can be used to capitalize the momentum of the market while still making sure that the risk is as low as possible.

So, let's take a look at how you can get started with this strategy. First, you will want to pick out the stock that will meet all the criteria that you need to trade successfully with this strategy. Once you have chosen the strategy, you need to make a purchase of one slightly OTM call option.

Next, you need to sell one OTM call option, but make sure that this call option has a strike price that is about one or two strikes higher than the option that you originally purchased. Both need to have the same expiry date and they need to be using the same stock.

After you have made both of the purchases that you would like, you need to make sure that you monitor your position and watch what the market is doing. It is a good idea to close up the position as soon as the trade has provided you with a good amount of profit. This is going to be when the profit reaches about 30 to 40 percent of the maximum amount that you can make on this trade.

You may be wondering when you should choose to use this kind of strategy when it comes to options trading. You will want to trade using the bull call spread whenever the market has a good outlook on whatever your chosen stock is. For example, if the stock of a company has received some positive news, like a good strategic move by the company, good earnings result, or some other news that would increase the growth of the stock.

You can also choose to work with the bull call spread on stocks that have been overcorrected and then have started showing strong signs of reversing.

One thing to notice with this strategy is that since it works as a debit strategy, the time-decay is going to end up working against you. The decay will be much slower compared to working with a naked long call position, but the time-decay is not going to work as well as it did with the other options. This means that it is not the best idea to hold onto this spread for more than two or three weeks, unless you see that the position keeps on gaining after the two weeks and that it is gaining a lot more than you expected.

If you enter this trade and notice that there really isn't any momentum for the two weeks or more, it is best to exit out of the trade. You may end up taking a small loss when doing it, but at least you are able to free up your capital to use on other trades and you won't have to worry about losing more money out of the profit.

The main advantage of using this type of strategy is that there is a good ratio for your reward to risk and even a moderate move up in your stock could help you to make some good profits. You are also able to increase your potential for profits by widening up your spread, which means that you would increase the strike prices between your two options. You can also choose to reduce your risk a bit more by decreasing how many strike prices are between the two options. The method that you choose is going to depend on how much risk you would like to take and how favorable the market is.

You have to remember that you have to work against the time decay when you are working with this strategy. Despite the limited amount of loss

potential with this strategy, if you are working with a stock that stays stagnant for a long time, the position will lose you money.

Case study for using the bull call spread strategy

Now let's take some time to look at a case study of how this strategy is going to work. For this one, we are going to look at an example that started on the 30th of May and we will use the Tech Mahindra Limited. This stock is the third largest IT organization in India and the market turnover in USD is four billion. This is a company that has various companies all around the globe.

Tech Mahindra saw earnings during the fourth quarter that did not live up to expectations, even though their revenue did keep going with revenue expectations. The stock, after hearing about the earnings news, fell down more than 17 percent in one day. This is viewed as an overcorrection since the company is still profitable and a sound investment. Besides, the stock had already gone through a correction the previous month.

This means that a bounce back is expected for the stock from that current low. There have even been some brokerage houses that are buying this stock, which has led it to show some signs of reversal. It is likely that a moderate five to ten percent upside is going to occur in the short term, making this a good time to use the bull call spread.

The first step that was taken for this strategy is to choose the stock that you would like to use. There are a few criteria that you need to follow to make the right decision with your trade including:

- The risk of your position should not be over five percent of the total allocated capital. For this trader, the available capital was going to be about 175,000.
- The lower strike call option that you buy should never be more than five percent away from the market price of the underlying stock that was at that time trading at 383. This is because the rise in your stock price is expected to be around the five to ten percent in the near term and you want the bull call spread to stay in that range.

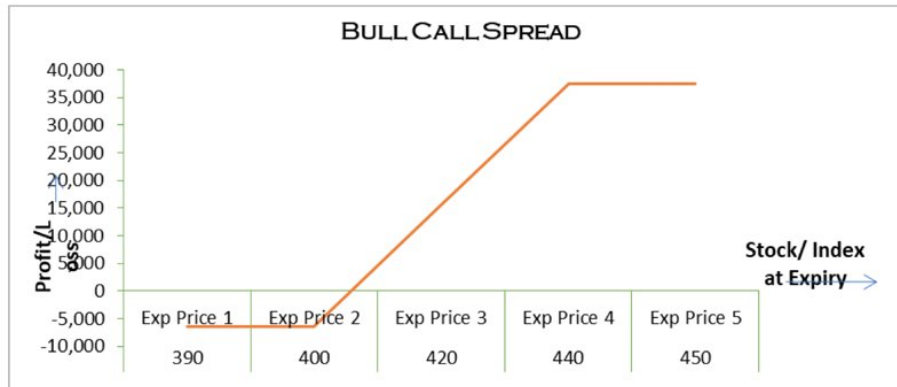
Given the criteria above, the trader in this case decided to trade using the 400 and the 440 call options.

The next step is to buy your OTM call option. The trader was able to purchase their 400 call option, choosing June as the expiry month, for 7.45. Next, you will want to sell an OTM call option that has a strike price that is higher. For this one, we went up two strikes higher than the other call option to get to our 440 call option. This one also had a June expiry and was sold at 1.6. Here is some of the important information that you need to know about this trade:

Summary Table			
Stock or Index Traded		Tech M	
Lot size for each option		1100	
Option 1 Lower-strike Call Option : Buy		Strike Price	400.00
		Premium Paid	7.45
Option 2 Higher-strike Call Option : Sell		Strike Price	440.00
		Premium Received	1.60
Difference Between any 2 Consecutive Strikes-prices			10.00
Max Profit			37,565.00
Max Loss			6,435.00
Condition for maximum profit		Stock price at time of expiry > Strike Price of Higher-Strike Call option	
Condition for maximum loss		Stock Price at time of expiry < Strike Price of Lower-strike call option	
Break-even Price at Expiry		Stock Price at expiry = ₹ 405.85	

For this particular trade, it shows that the maximum amount of profit that you are able to get with this trade if the stock stayed above the 440 at the time of expiry would be 37,565. The total risk or maximum amount that the trader could lose is about 6435. The break-even point is going to be 405.85 so as long as this stock is able to trade above this amount by the time the expiration happens, the trader will be able to get a profit from their work.

Below, we are going to take a look at the profit loss payoff diagram is going to show the different profit and loss points that are plotted against the five different expiry prices while using this particular stock.



In this trade, the position was held for about six days. During this time period, the stock ended up appreciating by over ten percent. The position was closed out on the sixth of June when the stock had reached the 409 mark for trading. After seeing a sharp rise in price, the position was making the trader a good amount of profit. And since this upside was only supposed to last for a short amount of time, the trader decided that it was best to get out and take their money. They were able to close out of this trade and earn a profit of 7590.

This one was able to make a good return on investment for the trader, especially considering it only lasted for six days. The investor was able to get a return on investment of about eleven percent, which has been higher than what we have been able to do for any of the other trading strategies so far.

CHAPTER 9: THE LONG STRADDLE/STRANGLE STRATEGY

Another strategy that you can work with is the long straddle and strangle strategy. This strategy is nice because it has the potential to make the trader unlimited amounts of profit but there is a limited amount of risk. You have to make sure that you are picking the right kind of stock to make this strategy work. For example, this is a good strategy to work with if you feel your chosen stock is going to deal with a lot of volatility in the near future.

Compared to the other strategies that we have talked about so far in this guidebook, the long straddle is considered one of the riskiest strategies and you will only want to work with it if you feel the movement in your stock or your index is going to be pretty big over the near future.

However, even though there is some risk that comes with this strategy, it does have the potential to help you earn the maximum amount of profits compared to some of the other strategies as well. This is because there isn't an upper limit on the amount of profit that you are able to make when you are working with the long straddle while the other strategies will have a limit on the profit.

There is also the long strangle. This one is similar to the long straddle, but there are some modifications that make it slightly different. We will discuss the long strangle a bit more later on.

So, to execute the long straddle is going to be a bit different than what you were able to do with some of the other strategies that we have talked about. The first thing that you need to do is pick out the stock that you would like to do. To see success, you need to pick out a stock that is going to show a lot of volatility along the way in the near future, or you are not going to get good results.

After you have chosen the stock that you want to work with, you need to purchase an ATM call option of this stock. Then you need to purchase an ATM put option that has the same stock and the same expiry date as the call option that you purchased in the previous step.

When you are done making all of your purchases, you will want to watch your trade pretty closely. When you see the large price movement that you were watching out for, it is time to close the legs at the same time. This is another strategy that is going to have to fight against the time decay issue and this time decay is going to impact both options, so it is best to not hold onto this kind of strategy for over a few days.

One thing to note is that the strike prices of both your put and your call options need to be the same when doing the straddle trade. This can be difficult to do when entering into a trade though and you may not be able to purchase the options when the market price of the stock isn't matching up to your chosen strike price. When doing this trade, you may find that the market price of your chosen stock might end up being slightly above or below the chosen strike price of your option. This means that you may end up with one option that is slightly OTM and the other one ends up being slightly ITM when you initiate this kind of trade. This is fine as long as you keep them as close to ATM as possible.

The long straddle and strangle is a strategy that you are only supposed to use on rare occasions and only when you think that there is going to be a sudden and big rise or fall in the stock you want to choose, usually following some external factor. Even in this kind of trade, when you enter into the long straddle position, you want to make sure that the volatility still isn't too high. Most traders are going to stick with a stock or an index that is less than 60 percent of historical volatility. The reason that you want to be careful with this is because if there is a big drop in the volatility of the stock, even after the price movement goes the way that you want, this drop-in volatility is going to end up harming how much profit you can make.

Ideally, the long straddle can be traded when there is a big decision making or policy change in the company, especially one that will have a big impact on the stock for that company and that could cause it to fall or rise really quickly over a few days. Some of the situations that may result in conditions being right for the long straddle include:

- The quarterly or annual results from a company will come out in the next few days and people have some big expectations from these.
- A big decision regarding the company that owns the stocks is going to come out soon. This could include a decision for the company to change their management or to do a merger with another company.
- A big announcement that will talk about a large dividend or a bonus issue is going to come out soon.

If you are working with a benchmark index, there are many situations that could make it rise or fall. Some of these would include the announcements of the annual budget for the company, when the company is going to make some new monetary policy decision, when there are some major elections in the management of the company, and even some major socio-economic decisions. If you see that any of these are going to happen with the underlying stock, it may be time to work with this position.

On the other hand, if you see that your chosen stock is trading on a pretty narrow range, or if you feel that the outlook on that stock is pretty neutral (without much movement even if it is negative or positive) over the short-term, then the long straddle strategy is not the right one for you. It should also be a strategy that you avoid if the volatility is high, even if there is some potential for movement.

when you get into the long straddle position, it is a good idea to exit this position once you see that there is a big rise or fall in your position and you are gaining profit. It is common for many people to stay into the market too

long with this strategy and if you hold onto that position too long, you could end up losing any profits that you earn, thanks to the potential of a drop in volatility or because of the time decay issue.

The primary advantage that you are going to see when working with the long straddle is that you do have the potential to earn unlimited profits as soon as the trade crosses pass the break-even point, no matter what direction it goes in. the straddle is often used to earn profits even when a stock is volatile in the market without having to worry about predicting which direction that the stock will move in and for how long. Volatile stocks often go up and down pretty quickly and it is hard to figure out which way you should go. With this strategy, you will have the opportunity to profit from a rise and a fall of your stock based on the points that you pick.

Another benefit that you can find with the straddle position is that it will limit how much risk that you are exposed to. The amount of risk that you will face is the total amount of premium that you paid when you decided to enter into the trade with this stock.

The biggest disadvantage that comes with using the long straddle is that you will have to deal with the time decay issue. In fact, the time decay issue could affect both sides of your straddle trade, the call and the put, so this issue is compounded and can cause you more issues than you would have with other strategies.

Another disadvantage of using this kind of position to earn a profit is that it can be a bit difficult. In order to earn a profit, you need to properly predict that your chosen stock is going to have a very sharp movement, either up or down, in a pretty short amount of time.

The long strangle

Before we take a look at how to make this strategy work, we also need to take a look at what the long strangle is all about. This strategy is very similar to the long straddle but instead of purchasing an ATM call and put with the same strike price, the trader will choose to purchase a slightly OTM put and call for the same stock and the same expiration date.

The advantage of going with this long strangle rather than the long straddle, is that the amount of premium that you will have to pay for your premiums will be less than what you have to pay with the long straddle. However, for the long strangle to work, you are going to need the move in the market to be much bigger in order to recover your costs.

Traders are going to profit using the long strangle any time that they see a sharp move in their stock, similar to using the long straddle position, and you still have a potential to make unlimited profits. However, with this strategy, the maximum loss is going to happen if the price of the stock settles between the strike price for the call and the put when you reach the time of expiry. The maximum loss though, in both the straddle and the strangle, will be the premiums that you paid for the put and the call options.

Case study using the long straddle and strangle

Here we are going to take a look at a case study using the long strangle in order to make a profit in options. This one was entered on the 8th of November in 2016 and the trader used the Nifty 50 stock.

During this time, there was a big political change around the world and it was estimated that this would make some sort of impact over the global markets, at least for the short-term. This was the US election and many people were unsure about who would win. A win by the Democrats could add in some positive sentiment to the market and it was expected that having the Republican candidate win would do the opposite. Either way, at the time it was looking as if the markets around the world would make a big change, either going up or down sharply. Because of the conditions, it looked like the perfect time to work with the long straddle and strangle strategy.

The first step that you want to do with this is pick out a good option to trade in. For this case, the trader decided to use the Nifty index and use the long strangle strategy. At the time, the Nifty index was trading at 8530, which meant that the closest OTM call option was going to be 8550 and the closest OTM put option would be the 8500. These two were the ones selected for the trade and the trader decided to pick an expiry date of the 24th of November because this was the earliest expiring monthly service.

At the time, the volatility of this index was much higher than it usually was at 14.9, the trader decided that it was worth taking the risk because the volatility of the whole market was supposed to rise even further before the big changes occurred, which would make the options more expensive overall.

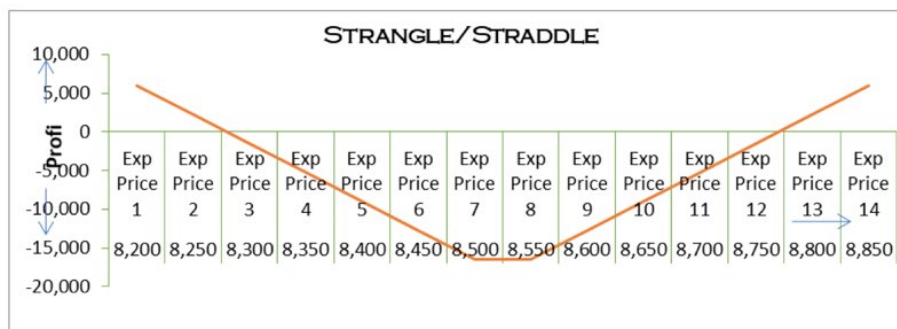
So, the second step that you need to do is purchase your slightly OTM call option, which would be the Nifty 8550. This was bought for 130. Then you can purchase the slightly OTM put option. This was the Nifty 8500 and it was purchased for 90. Let's take a look at the table below to see a little summary of the options that the trader used in this trade.

Summary Table			
Stock or Index Traded	Nifty		
Lot size for each option	75		
Option 1 ATM Call Option - Buy	Strike Price	8550	
	Premium Paid	130.00	
Option 2 ATM Put Option - Buy	Strike Price	8500	
	Premium Paid	90.00	
Difference Between 2 Consecutive Strikes			50
Max Profit			No Limit
Max Loss			16,500
Condition for maximum profit		No Upper Limit for Profits	
Condition for maximum loss		For Straddle: Stock Price at expiry = Strike Price of Options	
		For Strangle: Stock Price at expiry lies between Strike Prices of Option 1 & Option 2	
Break-even Points	Upper	Stock price at Expiry =	8,770.00
	Lower	Stock price at Expiry =	8,280.00

For this trade, the trader is able to make a maximum profit that is unlimited, but they do have a maximum loss. Here, the trader would potential would be 16,500 if they end up being wrong. This amount is going to be the premium amount that they paid in order to purchase the two options.

You will also know that for this trade, there are two break-even points because it is possible for the trade to earn profits no matter which way the market goes. The upper break-even point will be 8770 and the lower break-even point was 8280.

Below is the profit loss payoff diagram. It is going to show the profit and the loss that is plotted against the various expiry prices for the stock that you choose.



Now let's take a look at the results that the trader was able to get from these trades. This trade was held for three days. Then on the 11th of November, once the election votes were counted in the United States and the Republicans won, the stock market in India reacted negatively and the chosen index fell by more than 300 points. Because of this sharp fall, the Nifty index, thanks to the long straddle, feel into high profits. Both of your

positions ended up squaring off back to back before the trading day closed and the profits were booked.

However, it is important to know exactly when to get out of the market with this kind of trade. While the market quickly went down right after the election results were posted, this negative sentiment only lasted for a day and it did not take long for the market to swing back up the next day. If the trader had stayed in the market for another day, the upswing in the market would have meant they would have lost all of their money. The volatility drop and the time decay issue would have made it so that the trader would lose out. But they got out of the market at the right time and they made a good amount of profit.

The total amount that the trader decided to spend on this investment for both of the positions ended up being 16,500. In the end, they made a net profit of 11,250. This means that they made a return on investment of 68 percent in just three days.

While this one had a big return on investment, you have to be careful with the volatility and you have to know when to get out of the market. If the trader had stayed in the market for a little bit longer, they would have lost a lot of their money instead of getting a profit in the process. These markets are hard to work with because they go up and down so quickly, but if you are able to guess the right time to get out and you pick the right strike prices, you can make unlimited profits in the process.

CHAPTER 10: THE BEAR PUT SPREAD

So far, this guidebook has spent some time talking about quite a few of the strategies that you are able to use in order to be successful when it comes to options trading. The next one that we are going to discuss is the bear put spread. This is another directional strategy that you will want to employ any time that you have a negative outlook on your chosen stock. This means that you are taking a look at a stock and you expect that in the near future, it is going to fall moderately. This is another debit spread, just like the bull call spread that we discussed earlier, which means that you will be in charge of paying a debit in order to enter into the position.

To get started with this kind of strategy, you will want to pick out the right stock that will fit into the criteria that is needed for this strategy. Remember that for this strategy, you want to have a negative outlook on the chosen stock. You want a stock that is going to go down for some reason, whether you have heard some bad news about the stock or there is something else that is going to bring the value of your stock down.

After you have been able to pick out the right stock, you will need to purchase one slightly OTM put option. You will also want to sell one OTM put option, making sure that the strike price ends up being about one or two strikes lower than the option that you purchased in the first step. You also want to make sure that you are picking out ones that have the same stock and the same expiry date as what you did with the first step.

Once you are done with all of these trades, you want to make sure that you monitor your position and watch what is going on. You will then want to get out of both positions once they have helped you to receive significant profit, which is about 30 to 40 percent of maximum potential profit.

This one is going to work similar to what you were able to do with the bull call spread. If you decide to increase the spread, you are going to increase how much potential profit you are able to make, but it also increases the risks that you are dealing with. In addition, you can choose to decrease the spread, the risk will also decrease, but you would also limit how much profit you could potentially make on the trade.

There are a few times when you will choose to trade using the bear put spread. You will want to go with this kind of strategy when the market has a pretty negative outlook on the stock that you want to use. This is usually going to happen when some development occurs, such as the company not making the earnings that it should or the organization has made some new changes or decisions that the investors did not look at favorably.

Some people choose to trade with this kind of strategy when the company is part of or is selling under pressure. They do not want to sell but there is something that is going on that will make them feel like they do need to sell. For example, there may be some environment or market conditions that are unfavorable to the company that surfaced and is changing the company.

Remember that since the bear put spread is considered a debit spread strategy, you will have to work with the time-decay and it is going to go against your overall position, even though this kind of decay is considered a lot slower than what will happen with a naked long put position.

When it comes to the disadvantages and advantages, this spread is going to end up being pretty similar to the bull call spread. The primary advantage that comes with this trade is that ratio for risk and reward is pretty good and even a moderate decrease on a stock can still help you to earn some good profits.

You will also be able to increase the amount of profit that you could potentially make by widening up the spread. To do this, you will want to increase the strike price that happens between your two options. You can also choose to reduce your risk in order to help you out as a beginner and to do this you will decrease the spread. In order to decrease the risk, you will want to decrease the number of strike prices that are going on between the two options.

The biggest disadvantage that comes with this strategy is dealing with the time decay that will work against the position. And while there is a limited amount of potential loss, if the stock ends up staying stagnant for a long period of time, the position is going to end up with a loss.

Case study using a bear put spread strategy

Let's take a look at how the bear put spread strategy is going to work. For this case study, the trade is entered on the 18th of May and we are going to use Nifty 50 again and we will have about seven days to expiry left for this kind of option.

There are a number of reasons why you would want to use this for the bear put spread strategy. During the last month, the Nifty index has shown a good amount of rise, a rise that has been going in line with some of the positive global cues in the market. However, there is still a strong resistance at the 9500 mark and while the market has let this stock stay around this mark for a bit of time now, it isn't showing any signs for being able to go above that mark. It is also trading on a narrow range so this makes it perfect for this option.

Since there is less than seven days to go before the expiry of the May month options contract, it looks like some profit booking would take place and there might be some corrections that happen in the near term. In addition, this stock has some options premiums that are cheap since there are only a

few days to expiry and a bull put spread can be entered into with a low amount of risk while still being pretty successful for you.

So, let's take a look at some of the steps that you need to take in order to finish this trade. The first thing that you need to do is pick out the right option and stock that you want to trade with. For this strategy, there are a few conditions that need to be met to make sure you will see success including:

- The overall risk of your position should never be more than three percent of the total amount of capital that you have to use. Since there are only seven days until expiry on this option, the prices for these options are going to be provided to you at a discount so there is not really a reason to risk as much as you would with some of the other strategies that we have chosen.
- Since we are only expecting a moderate correction of less than 100 points with this stock, the slightly OTM higher strike put option should not be more than 30 to 40 points below the market price of the chosen stock. At the time of the trade, the market price was 9460.

If you take the above criteria into consideration, the trader would decide to trade the 9450 put option and the 9300 put option, with purchases of 40.75 and 13 respectively. The total risk to this one is going to be around 2081, which ends up being about 1.2 percent of the capital that is available for this trader. This is lower than the three percent that is recommended so you are staying within the limits that you are given.

The second step that you should take is to purchase the OTM put option. for this one, the 9450 PE, with the May expiry, was bought at 40.75. You will also want to sell an OTM put option that has a lower strike price. The 9300 PE for Nifty, which is three strikes lower than that 9450 that we had talked about before. Here is a summary of the trade position that the trader used for this strategy below:

Summary Table			
Stock or Index Traded	Nifty		
Lot size for each option	75		
Option 1 Higher-strike Put Option - Buy	Strike Price	9450	
	Premium Paid	40.75	
Option 2 Lower-strike Put Option - Sell	Strike Price	9300	
	Premium Received	13.00	
Difference Between any 2 Consecutive Strikes-prices			50.00
Max Profit			9,169
Max Loss			2,081
Condition for maximum profit	Stock price at time of expiry < Strike Price of lower-Strike put option		
Condition for maximum loss	Stock Price at time of expiry > Strike Price of higher-strike put option		
Break-even	Stock Price at expiry = ₹ 9,422.25		

Going off the information that is listed above, the maximum profit that you will be able to earn if this stock falls below 9300 at your time of expiry, would be 9168.75. And then the maximum amount that the trader would lose if the stock goes or stays above the 9450 at the time of expiry would be 2081.25. The break-even point price that you need to reach in order to earn at least some sort of profit would be 9422.25.

Let's take a look at the profit and loss payoff diagram below in order to find the profit and loss of this kind of trade plotted against five different expiry prices for that particular stock.



Let's take a look at the results of the trade. After just being in the market or a day, this stock ends up going down by over sixty points, which mean that the price of both of these put options went up. Since the trader did not think that the stock was going to go through and correct itself much further and that it may reverse its movement before too long, the position was closed by squaring of both legs on this trade and the profit was booked. The trader could have gone through and stayed in the trade, but it was becoming more likely that the position would go back up and then the trader would end up losing money from their position, so it was much better to leave the trade early on.

The return on investment was decent on this one. The ratio of the net loss or the net profit to the total sum that is invested in the trade will help you to learn the return on investment, or the profit percentage in this trade. Since the trader was able to put 40,000 into this trade and they were able to make a net profit that was 2,265.

By dividing the profit by the total amount of investment that the trader did for the trade, the profit ratio is going to be about five percent. This is a decent amount of return on investment considering you stayed in the market for only a day or two at most. You may have been able to make more profit in the long run, but it is possible that the position could have turned as well, making it so that the trader would lose all of their money in the process. It is much better to get out quickly, especially since the expiry date is near in the future to start with.

CHAPTER 11: WORKSHEETS TO HELP YOU GET STARTED

Getting started with options trading can be a great time to see your income grow and help you to make some money on how well the stock market is doing over a short period of time. There are a lot of options that you can choose from when it comes to trading, but you need to make sure that you are using the strategy that is the best for you.

While options trading can help you to earn some money in a short amount of time, getting started can be a little bit hard. The following worksheets are going to help you to get the best results out of your trading, even as a beginner.

Bear Call Spread

This is a chart that you can look at in order to determine the prices and costs that you will get for each stock that you want to work with on this strategy. You can see the maximum profit, the maximum loss, and use this table to

figure out if that stock would work with this kind of strategy or if you would need to use a different stock.

Summary Table		
Stock or Index Traded		
Lot size for each option		
Option 1 Lower-strike Call Option: Sell	Strike Price	
	Premium Received	
Option 2 Higher-strike Call Option: Buy	Strike Price	
	Premium Paid	
Difference Between any 2 Consecutive Strikes-prices		
Max Profit		
Max Loss		
Condition for maximum profit	Stock/Index price at time of expiry <	
Condition for maximum loss	Stock/Index price at time of expiry >	
Break-even	Stock/Index at time of Expiry =	

Iron Condor

The Iron Condor is a great strategy that you can work with if you want to be able to limit your losses and have a chance to earn money no matter which way the market goes. This one works well with stocks that are relatively stable or will stay within a certain range for the expiry range. Use this table to help you get started with using the Iron Condor strategy.

Summary Table		
Stock or Index Traded		
Lot size for each option		
Option 1	Strike Price	
Lower-strike Put Option - Buy	Premium Paid	
Option 2	Strike Price	
Higher-strike Put Option - Sell	Premium Received	
Option 3	Strike Price	
Lower-strike Call Option - Sell	Premium Received	
Option 4	Strike Price	
Higher-strike Call Option - Buy	Premium Paid	
Difference Between any 2 Consecutive Strikes-prices		
Max Profit		
Max Loss		
Condition for meeting max profit	Stock price at expiry lies between Strike-Prices of Option 2 and Option 3	
Condition for meeting max loss	Stock Price at expiry > Strike-price of Option4 -OR- Stock Price at expiry < Strike-price of Option 1	
Upper Break-even Price at Expiry	Stock/Index at time of expiry =	
Lower Break-even Price at Expiry	Stock/Index at time of expiry =	

Bull Put Spread

If you are interested in working on a bull put spread strategy, this table will help you to keep your information together and get the best results.

Summary Table		
Stock or Index Traded		
Lot size for option		
Option 1 (Higher-strike OTM Put : Sell)	Strike Price	
	Premium Received	
Option 2 (Lower-strike OTM Put : Buy)	Strike Price	
	Premium Paid	
Difference Between any 2 Consecutive Strikes-prices		
Potential Max Profit		
Potential Max Loss		
Condition for meeting max profit	Stock/Index price at expiry $\geq$	
Condition for meeting max loss	Stock/Index price at expiry $\leq$	
Break-even	Stock/Index Price at expiry $=$	

Bull Call Spread

The bull call spread is going to be similar to the bull put spread, but this chart will help you to keep the two strategies separate for the best results when trading.

Summary Table			
Stock or Index Traded			
Lot size for each option			
Option 1 Lower-strike Call Option : Sell	Strike Price		
	Premium Received		
Option 2 Higher-strike Call Option : Buy	Strike Price		
	Premium Paid		
Difference Between any 2 Consecutive Strikes-prices			
Max Profit			
Max Loss			
Condition for maximum profit	Stock/Index price at time of expiry <		
Condition for maximum loss	Stock/Index price at time of expiry >		
Break-even	Stock/Index at time of Expiry =		

Bear Put Spread

Here is a worksheet that can help you when it is time to work with the bear put strategy. Make sure to follow the rules that go along with this strategy, so you get the best results.

Summary Table		
Stock or Index Traded		
Lot size for each option		
Option 1 Higher-strike Put Option - Buy	Strike Price	
	Premium Paid	
Option 2 Lower-strike Put Option - Sell	Strike Price	
	Premium Received	
Difference Between any 2 Consecutive Strikes-prices		
Max Profit		
Max Loss		
Condition for maximum profit	Stock price at time of expiry < Strike Price of lower-Strike put option	
Condition for maximum loss	Stock Price at time of expiry > Strike Price of higher-strike put option	
Break-even	Stock Price at expiry =	

Long Straddle/Strangle

The long straddle/strangle can be a risky option to go with, but if you know the market is going to make some big changes in the near future, this may be the one to go with. Here is the worksheet that you can use to make sure you are performing this strategy in a way that will help you make the most money.

Summary Table			
Stock or Index Traded			
Lot size for each option			
Option 1	Strike Price		
ATM Call Option - Buy	Premium Paid		
Option 2	Strike Price		
ATM Put Option - Buy	Premium Paid		
Difference Between 2 Consecutive Strikes			
Max Profit			
Max Loss			
Condition for maximum profit		No Upper Limit for Profits	
Condition for maximum loss		For Straddle: Stock Price at expiry = Strike Price of Options	
		For Strangle: Stock Price at expiry lies between Strike Prices of Option 1 & Option 2	
Break-even Points	Upper	Stock price at Expiry =	
	Lower	Stock price at Expiry =	

CONCLUSION

Thank for making it through to the end of this book. Let's hope it was informative and able to provide you with all of the tools you need to achieve your goals, whatever they may be.

The next step is to decide if you would like to get into options trading or not. This can be an exciting investment opportunity and can help you to make a lot of money in the process, but it does take some time and effort in order to complete. Not everyone is going to see results when it comes to working with options trading, but if you follow some of the suggestions in this guidebook and use the strategies and case studies that were presented, you will be well-equipped to see how each strategy works in real life and actually make some money.

This guidebook took some time to work on options trading and to show you some real-life examples of how each strategy can work. While other books may spend some time talking about options and some of the strategies, it is sometimes hard to understand how each one works and how you should use

them. This guidebook helps you take it to that next step so that you can actually see success with options trading.

There are many different choices that you can make when it comes to picking your own investment opportunities, but options can be a great choice for a lot of people who want to minimize their risks and still receive a good amount of profit. Make sure to read through this guidebook when you are ready to get started so that you can see a lot of success in no time.

Finally, if you found this book useful in any way, a review on Amazon is always appreciated!

TRADING OPTIONS

Advanced Trading Strategies and Techniques

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INTRODUCTION

Congratulations on downloading *Trading Options: Advanced Trading Strategies and Techniques* and thank you for doing so. Expanding into the options market is a great way for those who are already familiar with an existing investment market to expand their reach without having to start from scratch. This doesn't mean a little research couldn't hurt, however, which is where this book comes in.

Inside you will find everything you need to know in order to approach the options market in the most effective way possible. First, you will learn all about the basics of option trading before learning about some of the fundamentals you need to keep in mind including the Greeks and implied volatility. You will then find more than 40 strategies for traders of all skill levels, spread across several chapters broken down by general theme. You will find strategies that every trader should know, as well as specialized strategies for trading the spread, trading with Bollinger bands, trading binary options, trading with technical indicators and strategies for making the most of a bad situation.

There are plenty of books on this subject on the market, thanks again for choosing this one! Every effort was made to ensure it is full of as much useful information as possible, please enjoy!

CHAPTER 1: ROOKIE'S CORNER

Options are unique among all the many types of securities in that each gives its own the opportunity, but not the obligation to either buy or sell the underlying asset it is related to for a fixed price for a set period of time. Each option is essentially a type of contract that is binding in a very limited, and specific way. While this might all sound terribly complicated, millions of people around the world apply the same principals each day when they sign the paperwork to purchase a property without having been preapproved for a loan. As long as that paperwork is considered valid, the buyers don't need to worry about having to pay more if the market improves and the sellers don't need to worry about making less profit if the market prices decrease before the keys change hands.

The key takeaway here is that an option is simply a contract that relates to an associated asset which makes it a type of derivative which is any type of security that doesn't have innate value on its own. This includes things like indexes or stocks but not commodities. When employees are offered the opportunity to buy company stock at a fixed point, that is another type of option. All told, every type of option can be divided into two categories those that are puts and those that are calls.

Call: A call option allows its owner to purchase a specific asset at a set price and is similar to taking a long position on a specific stock. If you purchase a call option, then you are going to want the underlying asset to increase dramatically in the time the option is valid.

Put: A put option allows its owner to sell a given underlying asset at a specific price by a specific deadline which makes them most similar to a short stock. If you purchase a put option, you are going to either be worried that an underlying asset you already own is going to experience a sharp decrease or you are hoping for it.

Types of options traders: Those who actively buy and sell in the options market can typically be divided into 4 different categories. Those who purchase the options are often referred to as holders and those who sell are called writers. Writers and holders then typically tend to focus on either calls or puts, though there are those who go both ways as well. The biggest difference between writers and holders is that holders can either buy or sell depending on the way the market is going while writers are required to go along with what a holder wants, even if it is not in their best interest.

Options Trading Lingo

In order to effectively operate in the options market, you will need to be familiar with numerous key phrases.

Strike Price: The strike price is the amount at which the stock underlying the option can ultimately be either sold or purchased for based on the agreement in the option.

Exercised: When the holder determines that the agreement in a specific option is in their best interest and decides to put it into action then that option is said to be exercised.

Trading out: While options can be either exercised or not, they can also be traded out. Also known as closing out, this is when an investor sells an option that could be profitably exercised onto the open market where it is then bought back by the original writer who buys the positions back and closes it. In general, just over 50 percent of all options are traded out while 10 percent are actually exercised, and the rest expire worthlessly.

Listed: Options are traded via official and unofficial channels, those that are traded on a nation exchange for options are said to be listed. They then have a strike price that is fixed as well as a clearly defined date of expiration. Listed options typically count for 100 shares of the underlying stock.

In the money: Call options can be considered in the money if the current share of the underlying stock is above the strike price at the given moment.

Intrinsic value: When an option is in the money, its intrinsic value is the different between its current price and its strike price.

Time value: The amount of time a specific option has left is said to be its remaining time value.

Volatility: The price that an option currently occupies can be either stable or precarious and prone to additional positive or negative movement, an option related to an unstable stock is said to have a higher amount of volatility.

Premium: The complete price of a specific option which is a combination of volatility, time value, strike price and stock price.

Option functions

Speculation: The two most common reasons that traders buy options is to hedge an existing trade or to speculate on future movement. Options are ideal for speculation purposes as traders can bet that an underlying security is going to move in a specific way with confidence as they can always choose not to exercise their option. This does not mean it is not without risk, however, as you still have to choose correctly when it comes to the direction the underlying asset is going to move in as well as the amount of that movement in order to find success. Nevertheless, options trading remains a popular investment choice as it doesn't take much to start seeing a profit.

Hedging: Hedging, on the other hand, can be considered a type of insurance policy that can help traders ensure that an existing investment is covered

when they expect that sector of the market to take a significant hit. Alternately, it can make otherwise risky investments far more manageable as traders can purchase their risky proposition, along with an option for the same amount of the underlying asset at the current price, before moving forward confident that they will at least be able to break even.

Types of options

American/European: Generally speaking, the main two classifications of option types are European and American options. While you might expect this classification to come from an obvious source, the truth of the matter is that the difference between the two is how they can be exercised, not where they are located. American options can be exercised at any point before they expire, and European options can only be exercised at the point at which they expire.

Short-term/long-term: All of the options that have been discussed up to this point have been what are known as short-term options. Long-term options tend to have termination periods that are years away which make them more useful for investors than traders. They are known as LEAPS or long-term equity anticipation securities and can be purchased just like any other type of option.

Vanilla and exotic options: Generally speaking, all of the options you are going to come across on a regular basis are going to be vanilla options. An exotic option is any type of option whose rules are above or beyond what you would expect when purchasing an option. This includes things like different methods of return calculation, termination points or terms related

to the related assets. There are three primary types of exotic options, chooser options, barrier options and compound options.

A compound option allows its owner to purchase a different option by the expiration date. Compound options can either be put on call, put on put, call on call or call on put and can commonly be found in either the fixed income market or the foreign exchange market.

Barrier options tend to be the type of exotic option that appears to be the most similar to a vanilla option. The only exception is the fact that they can only be exercised if the underlying asset hits a target level. They can be either down and in, up and in, down and out or up and out and are often found in both the equity markets and the foreign exchange markets.

Finally, chooser options are those that allow the owner to create an option at one point, and then determine if it is going to be a put or a call at a later time. This type of option can only be orchestrated in European markets, primarily with equities as the underlying asset and generally when it comes to indices. They are considered a good choice if the market in question is expecting serious fluctuations in the future though they are quite complicated which means that you are going to want to avoid them until you become more familiar with the options trading process as a whole.

Tips for success

Avoid out of the money options: While many investment markets focus on buying low and selling high, the simple fact of the matter is that this doesn't work when it comes to options trading. In fact, putting any of your trading capital towards a call option that is out of the money is little better than gambling and there are far more effective ways to gamble if that is what you are looking to do. Furthermore, making these types of trades can also make it difficult for you to understand just why the trade failed in the first place, meaning you can't even learn from your mistakes.

To understand just why a call option that is currently out of the money is such a poor choice, the first thing you are going to want to keep in mind is that why you are purchasing an option, what you are really doing is indicating to the world that not only do you know the direction a given underlying asset is going to move in, you also know, generally speaking, when that movement is going to occur. This means that if you make a mistake in either of these two key areas you are going to be out the premium you paid on the option along with the cost of the commission as well.

What's worse, your funds will then be tied up until the option expires meaning you may miss out on a preferable alternative in the interim. Remember, in order to see a return on this type of trade the underlying asset of an option that is out of the money needs to not only increase, it needs to reach all the way to the strike price.

Lean when to use varying strategies: When it comes to trading in the options market successfully, there are countless different strategies to

choose from which means you have no excuse when it comes to attempting to fit a square peg into a round hole. For example, if you decide to buy on spread, this could be an excellent way of capitalizing on some vary profitable market conditions, but only if you know the specifics before you get started. Not only will focusing on a single strategy cost you money regularly, it will also skew your overall results with that strategy as it will include countless false losses that could have been turned around if you had been using the right tool for the job.

Always know the spread: A long spread is made up of a pair of options that are similar in every way except one has a higher strike price than the other. The option with the higher cost is being purchased while the other is being sold. These options can be either puts or calls. Long spreads comprised of calls are bullish and those comprised of puts are bearish.

While the time lapse is going to hurt part of the spread, it will always help the other which means that the spread is typically going to hurt your profit in most cases. This is due to the fact that half of the pair is almost always going to expire assuming the underlying asset isn't overly volatile. Even still, if you are interested in a trade that is guaranteed to turn some type of profit you could certainly do a lot worse.

Have a clear idea for every entry and exit point: In order to ensure you can eventually turn a profit in the options market, it is crucial that you always have a clear idea of both what your entry and exit points are going to be. Failing to do so will make it difficult to mitigate the influence your emotion might otherwise have on your trade. It will also serve to ensure that you

remain in the black over the long term. While it can be difficult to exit a trade when there is still the potential of money on the table, it is important to keep in mind that the potential for loss is also ever present. Setting a reasonable exit point and sticking with it is going to generate a larger profit over a prolonged period of time, guaranteed.

Never double up: If you are in the midst of a trade that is going your way, only to have it turn on you at the very last minute, it can only be natural to want to do everything in your power to save it. Unfortunately, the best option practically every single time is going to be to simply cut your losses and move on. Never forget, options are derivatives which means that the price is likely to change with little notice which means that doubling down is only going to end up ultimately costing you more in the long run.

While it can certainly feel like the right move in the moment, if you take an extra moment to really stop and think about what you are doing, you will find that you are making a mistake. All you need to do is ask yourself if you would make the trade you are about to make if it was the first trade of the day and you had a clear head and you will likely find your answer. Nine times out of 10 the correct decision is going to be just to cut your losses and move on.

Stay away from illiquid options: Illiquidity measures the speed at which a specific option can be either bought or sold without causing the price to shift noticeably. Liquidity, on the other hand, can be thought of as a chance that the second round of trading for a given underlying asset will end up taking place at a price that is close to the same price as the first round.

Don't buy back short options: While, theoretically, it could seem like buying back short options at the last moment is an ideal choice, the fact of the matter it is almost always going to hurt you more than help you in the long run. Additionally, it may be tempting to hold onto profitable options in order to squeeze the maximum return out of each investment, but you need to be aware that the potential for a reversal is always lurking in the shadows. Instead, a good rule of thumb is to buy back options that are currently at 80 percent of your ideal return or higher and let the extra take care of itself. While it may hurt to leave some potential profit on the table, it will improve your overall reliability, netting you a profit in the long run.

Don't forget key dividend and earnings dates: When trading in options it is extremely important to keep an eye on the particulars of the underlying assets you are working with as if you are holding calls you will have to deal with the possibility of assigning early dividends. Due to the fact that owning an option and owning an underlying asset isn't the same thing, if the early dividends are assigned, if this happens to you then you won't be able to collect on your hard-earned money. Early assignment is largely a random occurrence which means that if you don't keep your ear to the ground it can be easy to get caught unaware and be unable to exercise the option before you miss the boat.

Along similar lines, you are going to also always want to be aware of when the earning season is going to take place for any of your underlying assets as it is likely going to increase the price of all of the contracts related to the underlying asset in question. Additionally, you will need to be caught up on

current events as even the threat of influential news can be enough to cause a significant spike in volatility and premiums as well. In order to ensure your costs are minimized to the greatest degree possible when trading during these periods, you are going to want to utilize the spread. This will serve to minimize the cost that inflation would otherwise add to your bottom line.

When you do have to sell the options you have purchased, you are going to want to avoid lower-striking the long option in order to generate enough of the required underlying asset. Rather, you are going to want to place the long option onto the open market which will provide you with the chance to profit from the premium caused by the remaining time. You can then use your new funds to purchase the underlying asset that you are on the hook for, netting a profit in the process.

When you find yourself in this situation, it is important to not let it get the better of you. Instead, it is important to remember that early assignment is essentially random which means that there is little point in worrying about it too much. The best you can do is aim to negate the chances of it affecting you to the greatest degree possible by ensuring that you are prepared for it if the market seems to be moving in that direction.

Trade more index options: Index options are a great choice if the market is currently in an extremely volatile state as they are far less likely to experience sudden changes when compared to other options as they are based on an index which, in turn, is based on a variety of stocks so things like news reports and the like are going to cause much less of an uproar.

The larger the index the option is based on the more likely it is that it will remain neutral in the face of high volatility.

Alternately if you feel that the market is holding its own, then you are going to want to look at indices with shorter spreads. This means you will want to choose a pair of options with different strikes prices to ensure you remove time decay from the equation while also ensuring that you will make a profit as long as the price doesn't decrease.

Never make a trade you can't afford to lose: When it comes to deciding on how much you are going to spend on your new options adventure, it is important to keep in mind that you should never invest more than you can afford to lose. If you decide to invest money that you need for more pressing matters in a volatile market, then you will never be able to look at your trades rationally and will always be concerned about protecting those funds. It is also important to factor in how long you anticipate holding the options for as the more time you have, the more you will be able to let loose and take risks as you will have plenty of time to correct them if things don't work out.

Avoid discounting volatility: Being aware of the amount of volatility that is currently plaguing a specific market is crucial when it comes to making positive trades that are going to end up paying out in your favor in both the short and the long term. Understanding the current level of volatility in the market of your choice is actually quite simple as all you need to do is consider the stock market as the volatility of all the other markets is likely to reflect the same level of volatility as it does at least 9 times out of 10.

The greater the degree of stability that the stock market is experiencing the more confident the majority of traders are going to be across the board which means the overall level of stability is going to more or less remain the same.

Avoid making a mistake when choosing a broker: Perhaps more so than most other types of trading, choosing the right options broker is a key part of being successful at the process in the long-term. Don't forget, your investment capital is going to be in their hands which is why it is so important for you to know what else they have been up to. After all, it doesn't take much to create a website that appears as though it is on the up and up when in reality it functions as a way to bilk ignorant investors out of their hard-earned cash.

Luckily, these sorts of things are very easy to check, as the internet never forgets. First things first, you are going to want to look into what current or previous customers have to say, not just on the company's website, of course, but on forums and subreddits dedicated to options trading as well. One of the things you are going to want to look for is a record of reliable customer service as well as technology to ensure that every trade you make is going to be completed in record time.

You will also want to contact the customer service for the broker you are considering and see how long it takes them to get back to you. If it is more than 24 hours then you are going to want to go elsewhere as if they can't respond to new customers in a reasonable time, then it is extremely unlikely they will respond to existing customers any faster. Finally, it is generally a

good idea to choose a broker that is in your home country for a few reasons. First, you are far more likely to find some kind of third-party oversight locally, than you ever are anywhere else; and second, you are far more likely to speak the same language in this scenario which will make the whole process easier for everyone involved.

Don't overcommit: While sticking with a single asset makes sense when you are learning the ropes of option trading, sticking with one underlying asset for too long can severely curtail your potential for profit. As such, once you feel comfortable trading options it is best to start looking into multiple different assets to ensure that if one segment of the market unexpectedly turns sour that you don't lose all of the trading capital in one fell swoop. Remember, there is plenty of uncertainty in even the calmest markets as uncertainty is what leads to profit as far as investment is concerned.

Generally speaking, when it comes to being successful with options trading, a good rule to stick with is the greater the degree of diversification the better. You may even want to go so far as to utilize different financial advisors or brokers depending on the specialty that each provides. While this will likely be more time consuming than simply sticking with what you know, it will be worth it the first time that things go wrong with one asset and you have saved yourself from a potential financial disaster.

CHAPTER 2: UNDERSTANDING IMPLIED VOLATILITY

While there are plenty of viable reasons for traders to get into the habit of trading options, the number of variables that can influence an option's premium can make profits far from a sure thing. In order to ensure your time spent trading is as profitable as possible, you are going to want to always take into account the implied volatility of the underlying asset.

Implied volatility is the estimated volatility of the underlying security which means it is going to increase during bearish markets, as long as investors have a reason to believe that the price of the underlying asset is going to decrease over time. Likewise, if the market is bullish and the underlying asset is believed to be on the rise then the overall volatility will decrease. This is based on the widespread belief that bullish markets are naturally less risky than bearish markets. Implied volatility is useful as it allows traders to estimate the way the price of the underlying asset is going to change in the future based on specific, predictive factors.

Implied volatility plays a large part in the pricing of options as the higher the level of implied volatility, the higher the premium will be. This is

because the value of the option automatically takes the implied volatility into account as well. Nevertheless, implied volatility is based on probability which means that it is only an estimate of the way things are going to go as opposed to a true indicator. Nevertheless, many traders treat it as such, which means when you can clearly see the implied volatility of a specific underlying asset you can generally assume that there are going to be plenty of people out there who are going to be acting on it directly. Additionally, implied volatility is always going to directly correlate to the market opinion which also affects option pricing.

Another important point to note is that implied volatility does not predict the direction in which the price change will go. For example, high volatility means a large price swing, but the price could swing very high, very low, or both. Low volatility means that the price likely won't make broad, unpredictable changes.

Furthermore, it is important to keep in mind that implied volatility and historical volatility are different things as historical volatility can measure previous changes in the market with definite results. Nevertheless, you may want to compare the historical volatility as well as the implied volatility to better understand the likely changes that your underlying asset, and thus your option, is going to see.

A primer on pricing

In order to understand the full effect of implied volatility, a clearer understanding of the way an option is priced is required, specifically the way time value and intrinsic value overlap. Intrinsic value can be thought of

as the inherent value, or equity, that the option retains. For example, if you purchased a \$50 option to call, attached to an underlying stock that is trading at \$60, you have just purchased the ability to make \$10 by buying the underlying stock at the \$50 strike price and selling it on the open market for \$60. As a result, the intrinsic value of the option is \$10. The only factor that directly influences the intrinsic value of a given option is going to be the underlying stock price compared to the difference in the option's strike price. No other factor will ever directly influence the intrinsic value.

Using the same example, assume the option is then priced at \$14. This would then mean that its premium is \$4 more than its initial intrinsic value, which is where the time value comes into play. Time value is the added premium that is added to an existing option that represents how much time is left until expiration. The price of time is then influenced by various factors, including time until expiration, strike price, stock price and interest rates. None of these, however, will ever be as significant to the price as implied volatility.

The implied volatility of a given underlying asset represents the overall expected volatility for the underlying asset across the entire life of the option. As the expectations for what the option might amount to before it expires change, the premium will react appropriately. Overall, the rise and fall of implied volatility will ultimately serve to determine the time value for a given option.

Option pricing models

Implied volatility can be determined using a variety of different option pricing models. In fact, it is the only factor in the model that can't be directly observed within the market itself. Instead, the option pricing model requires the use of additional factors to make it easier to determine the option's premium along with its implied volatility. You will find calculators for determining the results of these pricing models in your options trading platform

Black-Scholes pricing model: This formula, also known as the Black-Scholes-Merton pricing model, was the pricing model to be designed for option pricing. It is only effective with European options and it takes into account expected volatility, time to expiration, anticipated interest rates, strike price, asset price, and expected dividends. Created by a trio of economists in the 1970s, this pricing models accurately determines the values of derivatives.

Binomial model: The binomial pricing model uses a tree diagram that factors in volatility at every level to show traders all the possible paths the price of an option can take. It then works backwards to successfully determine the most likely price. The biggest benefit of this type of model is that you can use it to easily revisit any potential points of possibility, so you know the ideal strike price for any point prior to the option's expiration.

Factors effecting implied volatility

Much like the market as a whole, the implied volatility is also subject to a wide variety of potential changes, starting with supply and demand. When a security is in high demand, the implied volatility rises along with price

which leads to high premiums due to the added risk with the opposite also being true. Another important factor to consider is the time value of the option as options with a shorter amount of time remaining typically have a lower implied volatility than longer options as there is simply less time for the unexpected to happen.

Every listed option is going to have a different level of sensitivity when it comes to changes in implied volatility. For example, the more time value an option has, the lower its implied volatility is going to be. Strike prices are also going to respond differently to changes in implied volatility with strike prices that are near the money being more sensitive to changes in implied volatility while those that are both out of the money and firmly in the money are going to be less sensitive to changes to their implied volatility. You can determine how sensitive an option is to this issue by checking out its Vega, though this is not going to be set in stone, so changes could still materialize on the horizon.

Using implied volatility effectively

One of the most effective ways to determine implied volatility is to look at an implied volatility chart which should be available via your trading platform. As each stock has a unique range when it comes to implied volatility, these values should not be compared directly to one another. Rather, implied volatility should always be analyzed based on a relative basis. This means that once you have determined the implied volatility range for the option you are trading, it is still difficult to determine if a high value for one asset equates to a high value for another or if what is high for one stock is low for another.

When it comes to keeping tabs on the range of implied volatility that an underlying asset may experience, you are going to want to look at the peaks and valleys of the charts as everything else has the potential to be little more than white noise. By doing so you will determine when the options in question are going to (theoretically) be at their cheapest and most expensive. Like everything else in the investment markets, implied volatility moves in cycles which means periods of high volatility are then followed by periods of low volatility and vice versa. In fact, by using relative implied volatility ranges, along with relevant forecasting techniques, you should have a much better option of choosing the best possible trade at any given time. When determining a suitable strategy, these concepts are critical in finding a high probability of success, helping you maximize returns and minimize risk.

Forecasting implied volatility: When it comes to forecasting implied volatility, there are four main things you need to consider. First, you are going to want to ensure that you have a way of accurately determining the currently level of implied volatility, keeping in mind that an increase in implied volatility comes along with an increase in option premiums and that once it reaches either an extreme high or an extreme low then it is likely to snap back to its primary mean.

If you find options that generate high premiums based on a high influx of implied volatility, then it is important to keep in mind that there is a reason this is the case. The first thing you will want to do is to check the news to ensure you didn't miss some sort of announcement that would explain the increase. Additionally, it is not uncommon for implied volatility to plateau along with earnings before major announcements including product

approvals, rumors, mergers or acquisitions, earnings announcements and more. As most movement is going to take place directly after these types of announcements it is important to understand that any one of the above is often enough to collapse the current level of implied volatility and zero it out.

If you come across options trading well despite a very high level of implied volatility, the first thing you are going to want to do is to consider available selling strategies. This is because as option premiums increase in price, they become less attractive to purchase and more desirable to sell. Good strategies to use in this scenario will be discussed in Chapter 5. Alternately, if you come across a cheap option with low volatility then you can purchase an option with a long-dated expiration date to hold on until the volatility, and the price ultimately increases.

CHAPTER 3: KNOW THE GREEKS

When it comes to trading options successfully, it is vital that you understand the multiple types of risk that comes into play. To make them easier to discuss in detail, they have been broken down into different variables, each of which is labeled with a letter of the ancient Greek alphabet. Trading without taking the time to learn this valuable way to avoid as much risk as possible is akin to driving in a foreign country without first learning the rules of the road, or even the language.

Regardless if you are placing a put or a call, or even just planning your strategy, it is crucial that you look at your various risks and rewards in terms of three key areas. First, the amount of change the price is likely to experience, second the amount of volatility currently at play, and finally, the amount of time the option has left until it expires. If you are holding a call, you will all need to consider if the price is moving in the wrong direction, if the volatility is decreasing or if there isn't enough time left on the option in question. On the contrary, sellers face the risk of prices moving in the wrong direction and an increase in volatility but never when it comes to the time value.

When options are combined or traded, you will then want to determine the Greeks related to new result, often referred to as the *net Greeks*. This will allow you to determine the new difference between risk and reward and act appropriately. Understanding what the Greeks can tell you will allow you to better tailor your strategy based on your desired level of risk. You can think of them as guideposts to keep you on the right track when it comes to seeking out the right options for you.

Delta: When dealing with individual options, Delta can be thought of as the overall amount of risk that exists between the price of an underlying stock at the current moment and where it is likely to move. If the strike price of an option is the same as the current price of the underlying stock, then that stock has a Delta of .5. If this is the case then it means that if the underlying stock moves 1 point the price of the option will shift .5 points, assuming all other factors remain even. The total range Delta can possibly be anywhere from -1 to 1. Puts can be anywhere from -1 to 0 and calls can be anywhere from 0 to 1.

Delta is likely the first measurement of risk that you will always want to consider when it comes to choosing the options that are right for you. It can be particularly useful when it comes to deciding the right time to buy into a put option as you want it to be at just the right point in order to maximize its potential for profit. In this instance, it is beneficial to know the expected results of paying less in exchange for knowing the Delta is going to be lower as well. This difference can be seen by simply looking at the strike price and watching how it changes in relation to the put price.

Generally speaking, the cheaper an option is, the smaller its Delta is going to be. This is due to the fact that delta is often linked to the odds that a specific option is going to be worth a profit by the time it expires. As an example, if you are looking at an option with a Delta of .32 then you can assume, all things being equal, that buying into that option is going to pay out successfully about a third of the time.

Vega: Whenever a position is taken, regardless of what that position is, the risk of change that comes from the volatility of the underlying stock is known as the Vega. The level of volatility that an underlying stock has can change even if the price of the stock in question doesn't. This means that it has the potential to affect their profits significantly. Successful strategies can be built around both low and high volatility choices, as well as neutral volatility choices from time to time.

If the volatility of the option in question goes up in conjunction with its volatility, then that option is said to have long volatility and if the value increases while the volatility decreases then it is said to be a short volatility option. Strategies or trades that take advantage of long volatility are said to have a positive Vega and those that use short volatility are said to have a negative Vega. Options that have a neutral level of volatility can be said to have a neutral Vega as well.

As a general rule, the more time standing between an option and its expiration date, the higher that option's Vega is going to be. This is because time value is proportional to volatility as the longer the timeline, the higher the chance that the volatility will manifest itself. As an example, assume an

option is currently worth about \$4 with an underlying asset that is worth \$90. Further, assume that it has a Vega of .1 with 20 percent volatility. If the volatility increases by just one percent, this would equate to 10 cents worth of increase in the price for a total of \$4.10. The amount of change that is seen in an option with a shorter period is often going to result in larger changes because there is ultimately less time the option will restabilize.

Theta: Theta is the measure of the rate at which the time the option has left disappears or decays which means that this number will often be negative when you are dealing with it. The instant you purchase an option, that option's Theta starts to decrease along with the total value as both decrease the closer the option is to its expiration point. If the Delta of a given option is greater than its Theta, then the option will benefit the holder and if the Theta is greater than the Delta, then the option will benefit the writer.

As an example, consider an option with a Theta of .015 that is going to decrease in value by 1.5 cents in 24 hours. Puts have negative thetas and calls have positive thetas. This is because puts are worth the least when they are about to expire, and calls are worth the most because the difference between the starting and ending amounts is going to be at its highest. Additionally, Theta fluctuates day to day as it starts off slow and then builds in intensity the closer the option gets to its ultimate expiration. This explains why long-term options attract buyers and short-term options are preferred by sellers.

If you are looking to make a trade when the market is neutral, then you will want to be sure to take Theta into account, but you can otherwise move

forward confidently with your current strategy. Generally speaking, you are always going to want to buy into options with a Theta that is as low as you can manage it.

Gamma: If Delta is the amount of change that the option will experience in response to a change in the underlying asset price, then Gamma is the amount you can expect Delta to change over time. Gamma increases as options near the point where the price of the options and the price of the underlying asset overlap and will decrease even further below the strike price as the price of the underlying asset drops. The larger the Gamma, the larger the risk, but also the larger the return. Gamma is also likely to spike as the option in question reaches its expiration date. This can be taken a step further with the Gamma of the Gamma which considers the rate the rate the Delta changes at.

For example, if a stock is trading at about \$50 and a related option is currently going for \$2. If it has a delta of .4 as well as a gamma of .1, then, if the stock increase by \$1 then the delta will see an increase of 10 percent which the Gamma amount is also. If volatility is low, then gamma is high when the option in question is above its strike price and low when it is below it. Gamma tends to stabilize when volatility is high and decrease when it is low.

Rho: Rho is the name given to the amount of risk associated with the odds that the interest rates that affect your option are going to change before it expires. Rho isn't going to come into play as frequently as the other Greeks as interest rates are typically going to increase in tandem with call prices

while the price of puts will decrease, and the reverse is true when interest rates decrease. You can expect the Rho values to reach their peak when the price of the underlying stock crosses the price of the option you are working with. Additionally, this value will always be negative for puts and positives to calls. Rho values are more important when it comes to long options and virtually irrelevant for most short options.

Finding the Greeks

In order to determine how the Greeks are going to apply to any of the options trades you make, the first thing you will need to keep in mind that every strategy is likely to have a positive or negative value for each of the Greeks. As an example, if the Vega is positive, then the position will see gains if the volatility rises. Likewise, a negative Delta position will result in a decrease if or when the underlying asset decreases. Keeping an eye on the Greeks and noting how they change is a key to options trading success in both the short and the long term.

In order to find the Greeks for your chosen option successfully, the first step is to always remember that the results you see are going to be theoretical as no one, and certainly not the Greeks, are able to predict the future. What you are seeing is just the results of a mathematical formula with several different variables plugged in as needed. These include the bid you are putting on the option, the asking price, the last price, the volume and occasionally the interest.

CHAPTER 4: STARTER STRATEGIES

While it can be easy to feel as though there is too much information out there regarding options trading to ever hope to really keep it straight, there are several key strategies you will use on a regular basis that you can focus on at the start to make the entire process far more manageable. As long as you take the time to utilize them correctly, you will find that each of the strategies outlined below will dramatically improve your success rate while decreasing your overall risk at the same time.

Keep in mind that the strategies that you use aren't nearly as important as the fact that you choose strategies that suit your personal trading style and compliments the trading plan you are focused on using for the time being. Keep in mind that just because a strategy seems useful, doesn't mean it is going to be useful in your hands.

Play name: Buy/write

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bearish market

Details: Sometimes referred to as the covered call, this strategy works when the trader purchases shares of an underlying stock while at the same time generating a call that is equal to the entire number of underlying stock shares owned. This strategy is ideal for traders who have already invested in the stock market and are looking for a way to shore up what may be previously questionable choices as the options will ensure that you are able to generate a premium even if the other bets placed in the investment don't exactly pay off. This is an especially viable way to ensure long term investments remain viable as the option will guarantee a profitable price for the length of its existence. This makes the covered call strategy ideal for LEAPs, index future and funds whose purchase was facilitated via margin.

Play name: Married put

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish market

Details: A married put is a great strategy if you have reason to take a bullish attitude towards the price of a given underlying asset while at the same time aiming to shore up any potential losses you might come across.

To use this strategy properly, the first thing you will need to do is to purchase any amount of the underlying asset in question while at the same time purchasing a put that covers the same amount. This will act as the price floor that will help you to prevent serious, unexpected losses in the case of a sudden price drop. While adding more money to a losing proposition is never the best choice, a married put can be used to shore up an existing investment that hasn't turned out as you hoped. Regardless of the size of your portfolio, this is a useful strategy to mitigate risk that can't be dealt with in any other way.

While the married put will not be the best choice in any situation, if used in the right way, and with plenty of caution, it can be a reliable way to improve your successful trading percentage successfully. To ensure this always works out in your favor, you will never want to begin a new transaction without having a clear understanding of the risk you are working with beforehand. You will then be able to factor in additional costs more easily and compare the total cost to the amount of risk you are going to mitigate as a result.

After that, all that's left is going to be doing the math and choosing the option that makes the most fiscal sense at the moment. What's more, married puts also help to reduce the potential for risk when it comes to early options to exercise as it ensures you always have available shares waiting in the wings.

Play name: Bull call spread

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish market

Details: To utilize the bull call spread successfully, you will want to start with a call option that is purchased at a strike price that is worth returning to in the future. You will also need to sell an equal number of calls at a strike price that is above the initial strike price yet still within a reasonable distance. Both of these calls will also need to include the same timeframe as well as the same underlying asset. This is an excellent strategy to use if you feel bullish on the strength of the asset in question or you have research that shows the price is likely to increase during your chosen timeframe.

This strategy also goes by the name vertical credit spread thanks to its mismatched legs. Those that sell close to the money result in a credit spread that includes a positive time value and a net credit. Debit spreads are created if a short option ends further away from the money than the point it started from. Regardless, you can consider this strategy a net buy.

Play name: Bear put spread

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bearish market

Details: Similar in practice to the bull call spread, the bear put spread is useful under opposite circumstances. To use it effectively you will need to purchase a pair of put options that have different strike prices, one lower and one higher. You will then need to purchase an equal number with the same timeframe and the same underlying asset. This can be an especially useful strategy if you have a bearish opinion of the underlying asset in question as it will help to limit your losses if you judge the market incorrectly. It is still important to be cautious, however, as the profits that it will bring you are always going to be limited to the difference between the two puts you initially purchased, minus any relevant fees.

The most profitable time to utilize this strategy is if you are already planning on short selling a specific underlying asset and a traditional put option won't provide you with the protection you need. You will likely find them especially useful if you plan on speculating and also feel that prices are going to decrease. This will allow you to avoid employing additional capital while only waiting for the worst to happen. As such, you will be able to hope for the best and plan for the worst at the same time.

Play name: Protective collar

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: The protective collar strategy can be executed by buying into a put option that is already out of the money. From there, you will then want to write a secondary call option that is based on the same underlying asset and is also out of the money. After that, you will then be able to create a secondary call option that is based on the same underlying asset that is also out of the money already. Thus, this strategy is useful if you are already committed to a long position on an underlying asset that has a history of strong gains. Using a protective collar properly then allows you to ensure that you can anticipate a steady level of profit while also retaining control of the underlying asset if the positive trend does continue.

Using a protective collar correctly is as easy as ensuring the contract for the put option you purchased was at a strike price that is more than likely enough to ensure you will hold onto most of the profits you banked throughout the process. After that, you will then be able to fund the collar strategy using the call option you previously created. This strategy is extremely useful if you are looking to maintain your profits at all costs as it only requires a small additional fee. What's more, this is an excellent way to move funds about for tax purposes as any option that you roll over does not need to be accounted for until it has been either purchased or expired.

Play name: Straddle

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: The straddle can be used to either go long or short. The long straddle can be extremely effective if you feel as though the price of a given underlying asset is going to move significantly in one direction, you just don't know what direction that will ultimately be. To utilize this strategy, you will need to purchase a put and a call, both using the same underlying asset, strike price and timeframe. After the long straddle has been created successfully you will be guaranteed to generate a profit if the price in question moves in either direction before it expires.

On the other hand, if you are interested in utilizing a short straddle, you will instead want to sell a call and a put with the same costs, timeframe and underlying asset. This will allow you to profit from the premium, even if everything else doesn't turn out as well as you may have liked. This guaranteed profit means that this is a particularly useful strategy if you don't expect to see movement very much in either direction before the option expires. Nevertheless, it is still important to remember that the chances that this strategy will be successful are directly related to the odds that the underlying asset is going to move in the first place.

Play name: Strangle

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: Functionally, a strangle is similar to a straddle except that it is often cheaper to execute on as you are buying into options that are already out of the money. As such, you can typically pay as much as 50 percent the cost of a straddle for a strangle which makes it even easier to play both sides of the fence. Typically, a long strangle is more useful than a short straddle because it offers up twice the premium for the same amount of risk.

To use the long strangle correctly, you will want to purchase a call along with a put that are both based on the same underlying asset with the same timeframe and different strike prices. The strike price for the call will need to be above the strike price for the put and both should be out of the money. This strategy can be especially useful if you plan on the underlying asset moving a great deal, without having a clear idea as to the direction. When used properly, this will virtually ensure you turn a profit once you have taken any fees out of the equation.

Play name: Butterfly spread

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a neutral market

Details: A butterfly spread is a combination of a bear spread and a traditional bull strategy which uses a total of three strike points. To begin with, you will need to purchase a call option at the lowest point you can manage before selling a pair of calls at a higher price and then a third call that has an ever-higher price. Your end goal with these purchases is to make sure that you have a range of prices you can profit from when everything is said and done.

This strategy can prove particularly effective when you have a completely neutral opinion on the current market. What's more, you should also expect the underlying asset to move in the direction you favor, even if you don't have all the details locked down just yet. This, then means that you will want to strive to keep the market volatility as low as possible. In fact, the greater the overall level of volatility, the greater the cost of this strategy will be. Furthermore, it is extremely important to keep in mind that if you choose incorrectly when it comes to the direction the underlying asset is going to move, then the amount you stand to lose can be significant.

Play name: Iron condor

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: To utilize the iron condor strategy, you will need to begin by taking a short position as well as a long position via a pair of strangles that are situated so they will take full advantage of a market that is staunchly low volatility. The pair of strangles should include both a long and a short, with both set to the outer strike price. You can accomplish the same general effect with a pair of credit spreads if you are so inclined. In this scenario, the call spread would be placed above the market price and the put would be placed beneath the current market price.

The iron condor should only be used if you are trading via index options as they offer the decreased level of volatility and risk that you need in order to make it reliable. This means that you will want to use the iron condor if you are practically certain the market is going to move in the direct your research indicates that it is going to. Doing otherwise is almost surely going to leave your plan open to significant additional risk, and likely sooner rather than later as well.

Play name: Iron Butterfly

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: The iron butterfly strategy can be anchored by either a short straddle or a long straddle depending on your needs. Regardless, you will

want to then orchestrate a strangle based on the straddle you needed to use. The iron butterfly utilizes a mixture of puts and calls to limit the potential for loss (but also profits) around the strike price you previously determined. This strategy is best used with options that are out of the money as they allow you to minimize both risk and cost.

CHAPTER 5: STRATEGIES FOR MAKING THE BEST OF A BAD SITUATION

When it comes to trading options successfully in the long-term, the secret isn't being able to make the right trades at every juncture. After all, that's impossible. No, the true secret to long-term success is learning to recover when a surefire trade suddenly goes sideways on you at the last moment. The faster you can get your trade back on track, the faster you can get back to making a profit.

Long call repair strategies

This first section contains strategies designed to increase the profit potential of long call positions that have recently seen a quick, unrealized loss. Remember, having a great strategy is extremely important, but there is more to making a profit in the long-term than that. In trading, the best offense is often a good defense.

Play name: Long call repair

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish market

Details: It is common for new traders to buy a simple put or call, only to find out that they were ultimately wrong about the way the underlying asset moved when everything was said and done. For example, a long call that is out of the money would see sudden unrealized losses if its underlying asset dropped. To understand the best course of action in this situation, a secondary example is required. For this example, assume that it is the middle of the February and you believe that Microsoft which is currently sitting at 93.30 is about to make a move that puts it above its resistance levels and end at about 95. You can then easily jump in with a near the money call for July, leaving you roughly six months until expiration and plenty of time for the related movement to occur.

From there, however, things don't go according to plan and the stock drops to below \$90 instead. The price of your July call would now be worth only about \$1.25, down from about \$3 thanks to the time decay, creating an unrealized loss of \$175 per option purchased. As there is still a fair amount of time left until expiration, it is possible that the stock could still make the option profitable but waiting also has the potential to generate additional losses or other opportunity costs which could also result in a loss of profit.

One way to mitigate this loss is through the process of averaging down and purchasing additional options, though this only increases your risk if things continue to not go your way. Instead, a simple and effective means of

lowering your breakeven point, while also increasing the possibility of turning a profit is to roll the position down into a bull call spread, discussed in the next chapter. The concept of rolling it down simply means to replace an existing option with a new option that is similar in most ways except that one has a lower strike price than the other. Utilizing this practice means you don't have to exercise the initial option as the time is extended until the end of the second option.

To use this strategy in the above example, you would start by placing an order to sell a pair of calls at the July expiration date at your target price of \$95 for \$1.25, which is essentially going short on the initial call option. At the same time, you would want to buy an additional July 90 call and sell it for roughly \$2.90. The result of this process is a bull call spread that improves the odds of success while only adding a small amount of additional risk. What's more, the breakeven point decreases dramatically from \$98, all the way to \$93.25.

From there, assuming that the Microsoft stock continued to trade even higher, past the original starting point, then your bull call spread would be strong enough to break even with a potential profit for the target of \$95, though the maximum amount of profit for each option is going to be \$175 due to the way it was constructed.

Play name: Alternate repair style

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish market

Details: Alternately, you could roll down into a traditional butterfly spread, discussed in the next chapter, when the underlying stock drops to \$90. When using this strategy, you would instead want to sell a pair of July \$90 calls, which would sell for about \$4 each, while also hanging on to the July \$95 long call. You would also need to purchase a call for the July date at \$85 as well that sells for around \$7.30 after time decay has been taken into account.

You will see that the total risk actually decreases on the downside in this scenario as the total debit amount drops to \$230, and there is also a limited upside risk if the stock moves back towards the breakeven point. If the stock goes nowhere, the trade actually still turns a profit as well.

Play name: Combined repair strategy

Who should run it: This strategy is suitable for all-starts

When to run it: This strategy is effective in a bullish market

Details: As this is a variation of the traditional butterfly spread, the maximum amount of profit you can expect is going to come at the strike price of the two July \$90 short calls that you created, but movement dropping away from this point until it starts to generate losses instead. As such, you may also want to combine the two repair strategies to create a multi-lot repair approach. This combination can be used to preserve the ideal odds that come with producing a profit from a potential loss.

Determining strike price: One of the most important facets of using the repair strategy effectively is setting the correct strike price for the options in question. This price will ultimately determine the cost of the trade as well as influencing your breakeven point. The best place to start is by considering the magnitude of the unrealized loss that you are coming off of. For example, if you purchased a stock at \$40 and it is now at \$30 then your paper loss is \$10 per share.

In this case, you would want to purchase the at the money calls while at the same time writing out of the money calls with a higher strike price that is above the strike price of the purchased calls by half of the stock's loss. This means you would want to start with three-month options before moving forward from there as needed. Generally speaking, the greater the loss you have already experienced, the greater the amount of time that you will have to spend repairing it.

It is also important to keep in mind that it will not be possible to repair all mistakes for free as the worst offenders will require a small debit payment

in order to set up the position in a potentially profitable manner. If your loss is over 70 percent, then it is likely not going to be possible to repair it at all.

Unwind the position: While breaking even after the hypothetical situations discussed above might sound good now, when you find yourself in a similar situation in the real world you may find yourself wanting to more than just break even, you will likely want to make an additional profit as well. As an example, assume that the Microsoft stock that previously dropped now rose to \$60, which means that you are now interested in keeping it rather than selling when it hits \$70.

Unwinding a position consists of closing out a position that has previously been pulling double duty offsetting alternate investments. Unwinding can increase liquidity risk in some scenarios. If an asset is less liquid it can be difficult to find an interested buyer or seller which means the liquidity risk is elevated. Regardless of whether a transaction was completed intentionally or accidentally, all risks associated with the particular security still apply when attempting to unwind it.

Unwinding becomes an even more advantageous proposition if the volatility in the underlying stock has increased to such a point that you decide you want to hold onto the stock. You will be able to find your options priced much more attractively in this scenario as long as you remain in a good position with the underlying stock.

Problems can arise in this scenario if you make an attempt at exiting while the stock is trading at or above the break-even price as this will cost you as the total value of the option in question will be negative. As such, you should generally only consider unwinding an existing position if the price remains underneath the original break-even price and the future prospects look promising. Otherwise, you are typically going to be better off simply establishing a new position in the same stock at the current market price.

Short call repair strategies

Play name: Delta hedge

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: To understand this strategy, consider the following. Let's say you own an exchange traded call option on a listed stock (very general case). If available in sufficient quantity, borrow and sell the underlying security that the call option was written on (short sell it). You'll be long the call and short the stock. This is called a delta hedge, as you would be delta trading the stock. Delta refers to short-term price volatility.

In other words, you'll short a single large block of the stock, then buy shares, in small increments, whenever the market drops slightly, on an intra-day basis. When the market price of the stock rises incrementally, you'll sell

a few shares. Back and forth, in response to short-term market price moves, while maintaining a static "hedge ratio". As your original call option gets closer to maturity, roll it over into the next available contract, either one-month, or preferably three-month, time to expiration.

Play name: Synthetic Short

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bearish market

Details: The synthetic short is used to promote the payoff of a losing short position. It can be completed by selling a call that is currently at the money while at the same time buying an equal number of puts that are also at the money for the same underlying stock and expiration date. It is important to keep in mind that there are unlimited risks when it comes to using this strategy, along with an unlimited potential for profit which means it is best used when you are bearish on the related underlying security.

You can think of this strategy as being similar to the short stock position as a whole as there is no maximum for profit as long as the underlying stock price continues to drop. Furthermore, a credit is typically taken when entering this scenario as calls are almost always going to be more expensive than puts. This means that even if the underlying stock price remains relatively unchanged for the length of the expiration time there will still be

a potential for profit based on the amount of the initial credit that was taken. The formula for determining a profit in this scenario is as follows:

Maximum Profit = Unlimited

Profit Achieved When Price of Underlying < Strike Price of Long Put + Net Premium Received

Profit = Strike Price of Long Put - Price of Underlying + Net Premium Received

As with the unlimited potential for reward, the potential for risk in this scenario, to determine the potential for loss, consider the following:

Maximum Loss = Unlimited

Loss Occurs When Price of Underlying > Strike Price of Short Call + Net Premium Received

Loss = Price of Underlying - Strike Price of Short Call - Net Premium Received + Commissions Paid

Finally, the breakeven point in this scenario can be determined via the following:

Breakeven Point = Strike Price of Long Put + Net Premium Received

CHAPTER 6: SPREAD STRATEGIES

Play name: Vertical spread

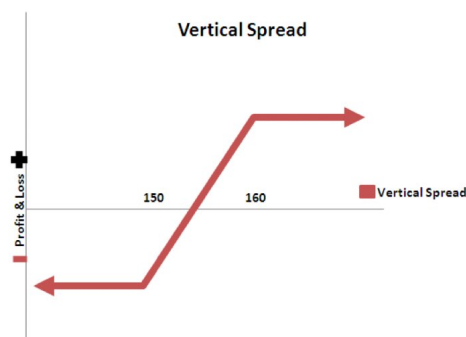
Who should run it: This strategy is suitable for everyone

When to run it: This strategy is most effective in a bullish market

Details: A vertical spread is a variation of the common spread

option where the pair of options that you purchased, one long and one short, have different strike prices and the same date of expiration. For example, if you purchase a stock's option for \$60 while simultaneously selling it for \$70 then you will have created a vertical spread.

As an example, assume that you have purchased an amount of underlying stock that is currently worth \$50, though the market is indicating that a rise to \$55 or more is likely in the cards in the near future. To best take advantage of this fact, you would want to use a vertical spread. As such, you would start by purchasing a call for \$50, while also creating a put for \$55. The \$50 call will already be in the money which means it will have a \$1 premium. The \$55 put will then have a premium worth \$0.25 and is



currently out of the money. This would mean you would pay \$1 to make \$.025 with the cost of \$0.75 out of pocket.

With your setup in place, there are one 2 possible results. The stock will increase in price as you were anticipating, or it will drop unexpectedly. If you end up making a poor prediction and watch the price drop to \$45 from \$50 then both calls will expire out of the money and you will just be out 75 cents. However, if the price rises as you have reason to believe it will, then the price is now \$55 which means both your options have premiums, the first of \$6 and the second of \$1. The call you sold then becomes a naked call and you will need to close out your position prior to the expiration date of the options to protect yourself.

From there, the next step is to sell the \$50 call at a profit while at the same time buying back the call for \$55 that you previously sold. This will then allow you to sell the call for \$6 before purchasing the remainder for \$1. All told, you will end up making about \$4.25 per share after all of the transaction fees have been taken into account.

However, if the price jumps all the way to \$60 rather than just \$55 you will still see your profits limited, in much the same way the risk was limited as well. If the price reaches \$ 60 then this means the \$50 call would be \$10 in the money, so it would have a premium of \$11. The \$55 call would also be in the money still with a premium of \$6. This means your total profit would ultimately remain the same.

This is based on the fact that once both the calls have made it into the money, the total for profit is always going to be limited by the difference between the two strike prices, minus the cost of fees. This also means that the best-case scenario for this particular type of spread would be for the underlying stock to reach the price of the put, but no higher, as anything more won't affect your overall profit. While your potential for profit is

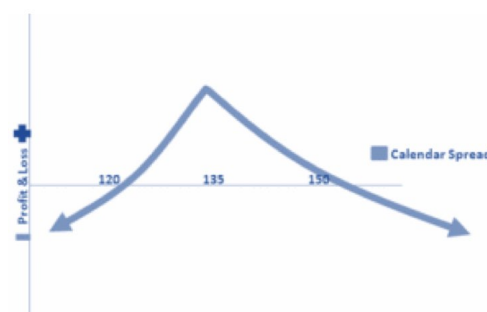
limited in this instance, the fact that this type of spread costs less to create than a standard call option makes it a viable choice in situations where the price of the underlying stock is only expected to move a small amount. This makes it an ideal choice when it comes to stocks that are stuck in a period of moderate bullishness.

Play name: Horizontal spread

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is most effective in a bearish market

Details: A horizontal spread, also known as a time spread or calendar spread, is a spread strategy that includes two options with the same strike price and different expiration dates. When using this strategy, it is important to keep in mind that the premium for a given option is always going to decrease in value as the amount of time the option has left decreases. Additionally, the closer it gets to the expiration date, the faster this drop off will occur. The horizontal spread is useful in that it uses this decay in order to turn a profit.



For example, assume that you purchased an option in the middle of June for an underlying stock that you already own. To generate a horizontal spread, you are going to want to find the strike price of the option when it expires in August, which is \$4 and the strike price of the option when it expires in September which would be \$4.50.

To begin this strategy, you would want to sell off the option with the August expiration date as it is the nearer of the two pairs. At the same time, you

will also want to sell off the option that has the last expiration date which means you will earn a total of \$4 from the first sale and then spend \$4.50 on the second which means this strategy will only cost you \$0.50 to set up correctly.

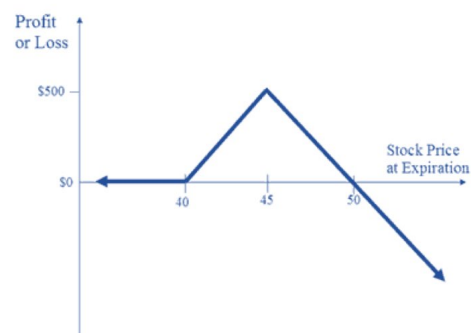
Once it is set up properly, the next thing you will need to do is to hold the remaining pair of options for at least a month, until the first expiration date draws near. By this point, the premium will have dropped noticeably, likely to around \$1.50 while the second premium should be holding at about \$3. At this point you will want to close the spread position by purchasing the first option back at \$1.50 and selling the second option at \$3, making \$1.50 in the process, \$1 sans fees. This strategy is just as effective for calls as it is for puts.

Play name: Ratio spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bullish market

Details: The ratio spread is a variation of the vertical spread. It involves the using several different options with the same expiration date and is most effective when used with underlying assets that are known for having an extremely low level of volatility so neutral opportunities are



best. As the name implies, both this strategy involves creating a ratio of options sold when compared to those being purchased. This ratio will vary based on your needs, though the examples below work with a 2 to 1 ratio of sold options to purchased options.

Generally speaking, this strategy shares the most in common with the iron condor and the iron butterfly. Keep in mind, however, that using the ratio spread involves a significant uptick in risk, as well as an increase in potential profit as well. This risk is further offset by the fact that it generates fewer options overall, so the overall costs are going to naturally remain more manageable.

The put ratio spread has a neutral risk and profit profile and is generated with 3 put options (in a 2:1 ratio). To create one, you will want to purchase a put option that is already in the money and sell the other two at a position that is currently just at the money. There is typically very little upfront cost for this type of strategy and it may actually generate a small amount of profit each time it is used. This is due to the fact that the cost of the option that is in the money will be very close, if not actually less than what will be made when you sell the pair of options that are already at the money.

To utilize this strategy effectively, you are going to want to keep in mind that the extra profit will not materialize if the price of the underlying stock increases to a point above the price of the option, after the option is already in the money. Furthermore, it will not generate additional losses if this is not how things play out as all of the options will just expire worthlessly.

Once the price of the underlying stock decreases below the strike price you will then have to resort to selling the in the money option in order to turn a profit. The potential for profit in this scenario will continue to increase as the price of the related stock decreases.

It is equally important to keep in mind that after the price of the underlying stock decreases to a point where it is underneath the initial strike price of the in the money options then your potential for profit is going to decrease significantly. This is also the point where the options that are at the money will cease to expire without issue and will need to be purchased back if you hope to prevent additional losses. These losses will be multiplied in this instance as the number of options you have to buy back is going to be twice what you can compensate for by selling the options you still hold.

Assuming this is the case, then the put ratio spread will have a neutral profit profile that is only the slightest bit bullish. This means that it will only ever achieve maximum profit if the underlying stock price reaches the strike price of the original in the money option. After this occurs, you will then want to wait even longer to sell the option that is already in the money before letting the remaining pair expire.

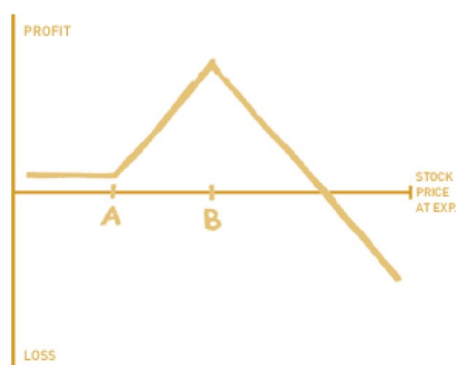
Anything beyond this point is largely irrelevant as positive volatility won't generate additional losses or profit as the three puts will all see equal levels of movement, essentially canceling out the possibility of additional profits. Alternately, if this volatility ends up being negative then it has the potential to lock you into a serious loss as there is little holding it in check. The same process (in reverse) can be used for calls instead of puts.

Play name: Front spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bullish market

Details: The front spread call strategy can be utilized by starting with a call that is either already in the money or just slightly beneath that point, as long as the price is still discounted. The end goal here is to take control of the call once it reaches the first strike price in order to ensure only a small loss or even a slight gain by then selling 2 calls at the second strike price. Both of these strike prices will need the same expiration month for the best results.



You will also want to keep in mind that this strategy has an extremely high-risk ceiling and plan accordingly. This means you will need to make a point of only moving forward if your technical indicators give you the go ahead and confirm that the time is right to strike.

In order to use this strategy as effectively as possible, you are going to want to wait for a bullish market that supports the underlying stock you have your eye on. You should also have reason to believe that it is going to hit the secondary strike price before it reaches the resistance level. If you don't think the market is strong enough for this to be the case, then you should likely consider alternate strategies.

Ideally, you will want the price of the underlying asset to move between the two strike prices as quickly as possible. This, in turn, will create a cover for one of the calls while at the time leaving one open with the hopes of additional profits. This potential for additional gain will also leave you open to additional risk if things take a turn which is why it is important to keep an eye on the related underlying stock if it is in play. It is also extremely important to set additional stop losses at a point that is below the secondary strike price to keep any unavoidable losses to a minimum.

The risk associated with this strategy can also be mitigated by the use of index options as opposed to regular options. Index options often make a reliable choice when you find yourself in need of a riskier options strategy as they will have less volatility than even regular low-volatility options. This is due to the fact that there are so many different options operating all at once that various parts of the movement typically cancel one another out.

To use this strategy effectively, you are going to want to start by purchasing a call at a profitable strike price before then following it up with a second pair at a secondary strike price. The underlying stock price should then be enough to ensure that you are likely to make a profit off of the first trade

while still having enough time to sell off the second pair to pay for a vast majority of the purchase price. Ideally, this will result in a call that is extremely close to its expiration date to further maximize your potential for profit. This makes the preferred timeframe for this strategy somewhere between 30 and 45 days. You can also use this strategy effectively if you purchase the underlying stock directly via an uncovered call if you aren't worried about all of the risk.

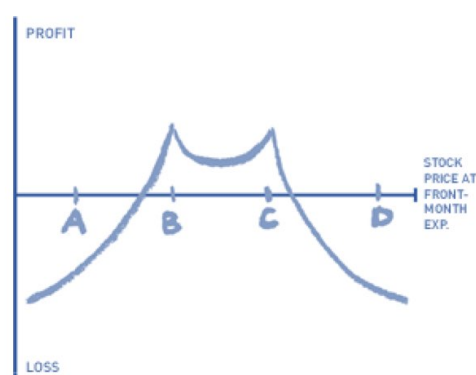
This strategy is effective because it utilizes time decay in an effective fashion by reducing the value of the option you are purchasing while at the same time increasing the gain for each of the options you are selling. The same process can be used with puts as well.

Play name: Double diagonal put spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bearish market

Details: In order to take advantage of the double diagonal strategy you will start with a diagonal put spread combined with a diagonal call spread. You can create a diagonal spread from a horizontal spread by simply moving the long leg to the strike point with the altered timeframe. The



amount the timeframe changes

doesn't matter, any spread with legs in different months is considered diagonal for these purposes.

Once you have successfully set up the diagonal call, the next thing you are going to need to do is to add in a secondary short call spread in addition to a long calendar spread in order to take full advantage of the time decay that is taking place within the option. You will then eventually sell off the secondary call after it hits the initial strike point that you first backed using the short call. This, in turn, will allow you to generate net credits which means that anything above the price of the second call can be counted as pure profit. The same process will apply to puts as well as calls.

If you graph these lines you will need to keep in mind that the loss and profit lines will never be straight as the two-month option will still be active if the graphing occurs. Hard angles, along with the straight lines, will only exist if the options that are being graphed all expire within the same general timeframe. While this may seem initially complex, it may help to think of it as a means of profiting from market movement that is, more or less, neutral which is then spread out into several cycles of expiration.

The best-case scenario for this strategy is when the underlying stock is roughly half way to the second call. The closer you can get to the midpoint, the more profitable the transaction will be in the long run. This means that if you don't take the time to set it up properly then various market biases are likely to intrude and skew the results towards either bearishness or bullishness. If the stock stays near the midpoint then the options you sold

will expire with no loss to you, making it possible for you to retain the greatest amount of the premium possible.

This will occur because the second call and the first put together serve to mitigate the risk, regardless of how much the asset ends up moving. Ideally, it will work out in such a way that it generates a net credit, though this may not always be the case. This is due to the fact that the front month trades will always naturally have less time left which may result in net debits on occasion. If this occurs, you will generally be able to make up the difference by selling the remaining options once the pair in the front month expires.

If this possibility pans out, assuming the underlying stock price is roughly near the price of the first call, but also not yet at the second put's price then you will want to purchase another option that is nearer the pair of puts. Doing so will allow you to essentially create a free put which you should put at the secondary strike price for the price of the third call or the third strike price. These newly-minted options should also share the strike price with the other options from the secondary month. This process is known as rolling out and can sometimes serve to generate significantly increased profits.

Play name: Skip strike butterfly call spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bullish market

Details: The difference between the average butterfly spread and the skip strike butterfly call spread is that the skip strike variation is far more focused on the direction the price moves in than the traditional version. With this version, you will need to ensure that the price of the underlying stock is going to increase, but not so much that it clears the secondary strike price you set up. The calls at the second strike as well as the fourth point will then be close to 0 and you will retain the premium that was created by the call placed at the original price point.

This strategy combines a butterfly long call spread with a classic short call spread. This means you unload the short call spread in order to generate the profit that will pay for the butterfly. As each of these strategies involves buying a call at the price you are ultimately going to sell it for, you can skip this part of the process. Nevertheless, the spread that is created around the short call means that this strategy doesn't cost much to generate the potential for a significant increase in profits, as well as risk.

In order for this strategy to be as effective as possible, you are going to need for both of the strike prices to be equally spaced with the same expiration month. Ideally, the price will then remain at, or below, the primary strike price while not increasing any more. You should also strive to purchase a call at the initial strike price early on before selling two different calls at the same secondary strike price. Finally, you will need to skip the third strike price and instead buy into a call at the final strike price.

This can be a particularly useful strategy to deploy when your primary goal is to keep your risk as low as it can possibly be. This is because the underlying stock would still need to see significant movement before breaking through the strike price's resistance. Risk can be mitigated to an even greater degree if you add indices into the mix as they have even lower overall volatility still. This strategy is also useful if you are feeling bullish about the current state of the market and feel as though that outlook will continue.

What's more, as long as you're lucky enough to see continuous movement to the third strike price and beyond, you can realistically expect to continue to turn a profit, even if the expiration point is one that would typically only allow you to break even. To further maximize your potential for profit, you are going to need to fully commit in the moment and decide if you want to exercise when the stock price reaches the secondary strike price. If you do decide to press ahead, you will then see profit that is based on the difference between the first strike price and the second strike price.

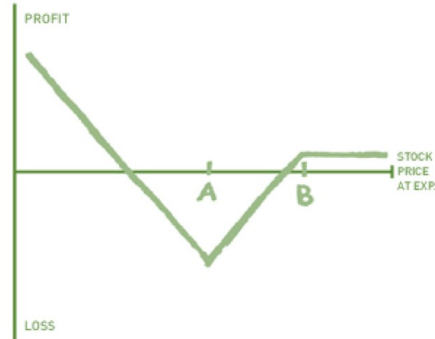
Play name: Put back spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bearish market

Details: Also known as a reverse ratio spread, a back spread is a type of option trading strategy that is ideally utilized when you know that an underlying stock is going to experience a high degree of volatility and you

also have a decent idea of the direction the price is going to move in but you are 100 percent convinced. Then, if the underlying stock moves a large amount in the predicted direction you will see a significant profit. If it moves in the opposite direction instead then you will still earn a profit, though it won't be as large. However, if the underlying stock only moves a small amount then you will see a loss instead.



If you are bearish on the current strength of the underlying stock in question then you are going to want to use what is known as a put back spread, though a put ratio spread will do in a pinch as put options can be used in this strategy. To begin using this strategy, you are going to want to begin with any number of out of the money put options. At the same time, you will want to sell a smaller number of in the money put options. This will create a net credit and will help to pad out your profits regardless of what the end result of the trades may be.

While this strategy is equally effective regardless of the number of put options you purchase, the simplest variation will see you purchase a single put option that is in the money while also purchasing two more that are already out of the money. Then, if the underlying stock moves to a point that is higher than the strike price of the put option that is in the money and sold, then you can allow it to expire without losing the credit premium as all three put options will then expire because they are functionally worthless.

Meanwhile if the price of the stock ends up somewhere between the strike price that is in the money and the strike price of the pair that is out of the money then you will lose money because you will need to buy back the in the money option and the pair of out of the money options that are going to expire. However, if the price of the underlying stock drops lower than the strike price of the out of the money put option you will begin to see potentially unlimited profits as the cost of purchasing the in the money option will be greatly offset by the profits you will make selling the pair of out of the money options.

It is also important to remember that you cannot allow any back spread positions to expire as you have already sold them which means that you will have to purchase them again in order to guarantee that they won't be exercised. This means that it is important to always leave enough funds available to buy back the options if the price of the underlying stock doesn't move according to plan.

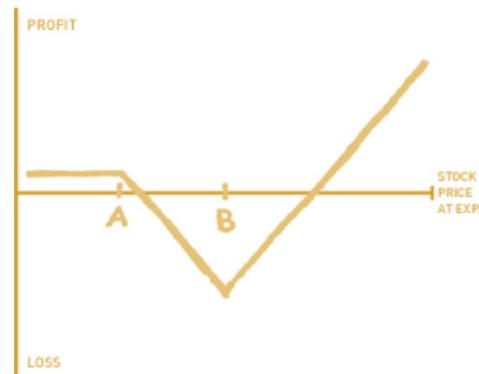
Play name: Call ratio back spread

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is most effective in a bullish market

Details: The call ratio back spread is the type of back spread you are going to want to use if you find yourself bullish on a particular underlying stock.

The call back spread can be created by purchasing any number of out of the money call options and then selling a slightly smaller number of call options that are currently in the money. The most common way this is done is by purchasing a pair of out of the money call options and selling one call option that is currently in the money. This strategy will generate a premium as the cost of the two options will be offset by selling the third.



If the price of the underlying stock drops below the strike price, then all three of the options will expire worthless. You will still net the initial premium, however. If the underlying stock moves to a point that is higher than the in the money strike price but is still below the strike price of the initial calls, then you are going to lose money as the pair of calls will be worthless, but you will still need to buy back the call at the in the money strike price.

Once the price of the underlying stock moves past the on the money strike price then your potential for profit really kicks in to high gear. The in the money call will continue to increase in value so will need to be bought back but this price will be mitigated by the extra gains seen from the pair of calls whose gains will keep pace with it.

CHAPTER 7: BOLLINGER BAND STRATEGIES



Bollinger bands can be an effective tool for trading in options successfully as they are especially adept at determining if a given market is oversold or overbought. The default Bollinger band setting is based on the 20-day moving average and has two standard deviations. The upper band is typically 2 standard deviations above the 20-day moving average and the lower band is set 2 standard deviations below the 20-day moving average. The underlying asset then trades between these two prices with oversold levels reaching the lower band and overbought levels touching the upper band. The band's width then represents the volatility of the underlying asset.

Play name: Basic Bollinger band strategy

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is most effective in a bullish market

Details: Generally speaking, if the market is in an uptrend then you can use an overbought Bollinger band reading to determine when to purchase calls or sell puts as needed based on the strength of your belief that the trend in question will continue as expected as well as how risk averse you are in general. If the price ultimately reaches the highest of the Bollinger bands then you will want to take a portion of your profits before resetting your stops to a higher point with the remainder of your holdings to maximize on the positive trend you have correctly identified.

If you have a more aggressive trading style, then you could also consider doubling down at this point and buying additional puts or selling additional calls. If the market is already in a downtrend then the choices you have to make will be reversed instead. You will get the best results if you utilize this strategy in a market that is currently signifying no serious trends in either direction as it is under these conditions that you will find the strongest overbought or oversold readings. This is a result of the fact that this is when you will find the most competing forces pulling the market in different directions.

When attempting any Bollinger band strategy, you will need to remember that the price is always going to have a strong preference when it comes to the fluctuation around the central Bollinger band. This means you will need to spend some time learning to detect this trend reliably in order to ensure you can use these strategies correctly. Don't forget, the top band is akin to resistance and the bottom is akin to support.

You will also find the best results with this strategy if you focus on charts at the hourly level or higher as the added information you are able to glean from these charts will make it far easier for you to accurately determine the true scope of the market. In order to build the best trading strategy possible, you will also need to consider if the underlying asset in question is trading in range as this will improve your overall results as well.

Play name: 60-second Bollinger band strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in either a bullish or bearish market

Details: This strategy is extremely effective for impatient binary options traders as it can be used for any underlying asset and in any trade session. In order for this strategy to work properly, the time frame will be set to 60

seconds and the bands will be set to their standard levels. The expiration time will be 5-minutes.

When it comes to buying calls options successfully with this strategy, you are going to want to always keep an eye out for conditions that are currently oversold. If the price has broken underneath the lowest band, then you will be able to expect a touch and return within just three bands. Once this happens, you will have all the confirmation you are looking for to confidently place a buy order. The ideal confirmation pattern you are going to be looking for is the reversal pattern candlestick.

If you are interested in using this strategy to buy puts you will want to keep an eye out for overbought conditions. You will want to wait until the trading instrument breaks above the upper band in order to anticipate a touch and return within 2 or 3 bands. After this has occurred you will have the confirmation of a downtrend that you are looking for and you can go ahead and place an order to buy. You will want to use a candlestick reversal formation in order to confirm.

Play name: 60-minute Bollinger band strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in either a bullish or bearish market

Details: This strategy uses a pair of Bollinger bands as well as a momentum indicator. The timeframe for this strategy is going to be 15 minutes, with an expiration time of 60 minutes which should give you four full candles to work with. The Bollinger bands will have the standard 20-day EMA with the pair of bands each sporting a standard deviation of 2. You will then want to ensure the momentum indicator is set for 11 periods.



If you are looking to purchase a call option in this scenario then you will want the price of the underlying asset to be above the middle band at the very least. Furthermore, the momentum indicator should be north of 100 as well. When it comes to puts, you are going to want to purchase a put option only if the price is below the middle band with a momentum indicator that is lower than 100.

For this strategy to be effective, you will need to ensure that both of the conditions for the type of option you are considering are met before you

determine your entry point. If there is a cross in the middle Bollinger band but the momentum indicator is still less than 100 you will want to avoid making calls. The same goes for puts if the momentum indicator is higher than 100.

Play name: Scalping Bollinger Bands

Who should run it: This strategy is suitable for all-stars

When to run it: This strategy is effective in either a bullish or bearish market

Details: This strategy is useful when dealing with underlying assets that are a part of the forex market, specifically the GBP/JPY pair, commonly known as the Dragon. This name was earned due to the extreme movement the pair often sees in a single day with ranges of between 100 and 200 pips being the average. Luckily, this strategy makes the pair far easier to tame than would otherwise be the case. Even still, you will only want to use this strategy if you have a very high tolerance for risk and once you have a firm grasp on the basics of options trading.



The goal of this strategy is to scalp the Dragon pair in the one-minute charts. For starters, you will need to set all three of your Bollinger bands, so they are set to 50, up from the more traditional 50. The first band will have a deviation of 2, the second will have a deviation of 3 and the third will have a deviation of 4. Be sure to add the bands to the chart separately for the best results. After this is done you will then need to keep an eye out for the first touch and break that occurs near the first Bollinger band.

From there, you will want to watch the price until it is roughly half way between the first band and the third band. Ideally, you will want the price to reach the center band, though this is not required. Once this condition is met you will then be able to trade in the opposite direction of the current trend in preparation for the reversal that is likely inbound. Specifically, you will need to enter the market using a put option when the price breaks past the first Bollinger band it comes in contact with. Critically, it must also move a minimum of halfway through the second band as well for the best results.

This strategy is useful in a wide variety of scenarios as it completely disregards trends and involves no filters when it comes to limiting what trends it can follow. As such, it is a pure counter trend strategy which means that using it with the Dragon opens you up to a significant amount of risk. This means you will only ever want to utilize it once you have determined the scope of the current trend through the use of additional strategies.

However, if you can successfully identify a ranging market, or at least one that isn't trending too strongly, then the results from this strategy can be quite effective. If the market is currently ranging, then the market price will naturally bounce between the Bollinger bands which is why it can be so easy to make money by trading against the trend in this instance. It is also important to keep in mind that when using the 1-minute chart you will come across lots of excess noise, which is exactly what this strategy is looking to exploit and means you are on the right track.

As long as the price of the underlying asset doesn't move in just one direction for a prolonged period of time, there is money to be made through the use of this strategy. The expiration time of this strategy should typically remain greater than the timeframe of the chart you are using, but in this case, a 60 second option can work as well as a slightly longer one.

The biggest variable when it comes to success with this strategy is going to be the trader who is using it. If you can accurately determine the current state of the market, as well as if it is ranging or trending, then major profits are also going to be possible. Otherwise, it is only going to lead to losses in

the long-term. This means it is equally important to put this strategy to practice before you use it in the real world, just to ensure you have the specifics down and prevent yourself from coming up against risk you can't accurately account for.

CHAPTER 8: BINARY OPTION STRATEGIES

Play name: Stochastic Oscillator Strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: The stochastic oscillator is a momentum indicator that compares the closing price of a given asset to a wide variety of prices it achieved over a specific period of time. The sensitivity of this oscillator to precise market movements can then be minimized by adjusting the time period of by taking a moving average of its results.



The stochastic oscillator was created in the 1950s by a man named George Lane. It was designed to present the location of the closing price of a stock in relation to that stock's high and low range over what is typically a 14-day period. Lane developed the oscillator in such a way that it does not follow volume, price or anything similar indicators follow. Instead, it follows the speed of the price movement. As a rule, the speed of the price movement tends to change before the price itself changes which makes it easier to use a stochastic oscillator to predict reversals before they happen based on when the indicator present bearish or bullish divergence.

The stochastic oscillator also plays a key role when it comes to deciding if a given underlying asset is currently overbought or oversold as it remains rangebound. Specifically, its range is between 0 and 100 and tends to always remain constant regardless of the rate at which the underlying asset moves. Generally speaking, this oscillator has an oversold threshold of 20 and an overbought threshold at 80. These levels can be adjusted, however, which means they can be altered to fit the characteristics of specific analytical requirements or chosen assets. If a reading comes back greater than 80 this means that the security, you are tracking is trading near the top of its range and readings low that 20 indicate that it is currently trading near the absolute bottom of its range.

The stochastic oscillator can be calculated via the following formula:

- C = the most recent closing price
- L_{14} = the low of the 14 previous trading sessions
- H_{14} = the highest price traded during the same 14-day period
- Percent K = the current market rate for the currency pair
- Percent D = 3-period moving average of Percent K

The idea here is that if a market is trending upward then the prices will close nearer to a high and if the market is trending downward then the prices will close near the low. With this in mind, then transaction signals are formed when the Percent K crosses through 3-period moving average, otherwise known as the Percent D .

When it comes to trading signals, the most important one that is put off by the stochastic oscillator is the point where the Percent D line and the price movement line diverge which means that Percent D is either oversold or overbought. This typically occurs if the price reaches a new plateau, either top or bottom but the Percent D line does not. When this occurs, the price reaches a double top and the value of the stochastic oscillator then decreases during the period of the second top's development. This is a bearish divergence which means it can be used to accurately determine when to buy into an asset whose price is currently falling.

However, many traders prefer to wait until the Percent K line crosses the Percent D line before making their first move as this tends to help the oscillator generate signals that are more refined. Both techniques are equally valid, choosing the right one for you is generally a matter of the way in which you plan to trade the signal. Trading the divergence tends to require options that include a longer expiration time when compared to the time frame of the price chart you are using. On the other hand, if you plan on waiting for the Percent D line to cross the Percent K line then you will want to trade via a shorter expiration time.

Generally speaking, the stochastic oscillator strategy works the most effectively when it is deployed on trading charts that are set to a daily timeframe or longer as shorter charts will typically have lower quality stochastics in the first place. When this occurs, your best bet is going to be using settings of 14, 3 and 3 respectively. You will then want to execute a call option at any point you find a stochastic moving quickly and rising above the slower moving alternative or go with a put if the faster moving line drops below the slower one.

Once you get the hang of it, the stochastic oscillator strategy is quite easy to use and is also an excellent tool when it comes to successfully identifying top notch entry points on new options. However, it is important to keep in mind that it is a lagging indicator which means you will sometimes miss out on great trades simply because you won't find out about them until the market conditions have already passed. Finally, the signals it creates can be difficult to read at times which makes this trade inadvisable for true rookies.

Play name: Momentum strategy

Who should run it: This strategy is suitable for all-stars

When to run it: This strategy is effective in a bullish or bearish market

Details: The binary options momentum strategy works by estimating measurements regarding the relative strength of a specific price movement. Generally speaking, a buy signal will signify that it is time to generate a new call option based on an asset that is just starting to pick up significant positive movement. Meanwhile, if the movement is negative you would want to generate a put instead.



This strategy can be effective as momentum changes are often indicators of a serious reversal on the way which means they can be the early warning system when it comes to identifying new trends. As such, learning to identify these events makes it easier to see increased binary options profit

but only when you execute in timeframes that are relevant to the significance of the trend that is determined.

The most crucial part of this indicator is that it can be used as a reliable point of reference when it comes to determining the difference between rising and falling momentum, which can be more complicated than you might expect. Likewise, momentum should always be displayed as a single line which means that when upward momentum is found above the 100 marks, then this is a strong signal to buy. At this point, you will then want to open a call option based on the underlying asset you are measuring.

Alternately, if the signal line drops below 100 then you will instead be forced to interpret this as a strong indication to sell. This, in turn, means that you will need to create a put option based on the same underlying asset. You will want to double check the relevant candlestick formations, however, as they are a great way to ensure secondary confirmation for the type of critical events that the momentum indicator provides.

Another good indicator for this type of strategy is going to be the momentum candle which has a wick that is roughly twice the size of the previous candle. While you may sometimes get a red candle that is twice the size of the green candle (or possibility the reverse) it will always be best for you to wait for another candle to form as there is a possibility that the trend will briefly reverse before then righting itself and starting to move in the direction that the first momentum candle indicates, assuming it follows the trend of the underlying asset in question that you were initially tracking. Furthermore, you are going to want to wait for the second momentum

candle of the same type to form as this is a far better indicator that the trend you were looking for has formed.

Also known as a momo candle, the momentum candle is important because it indicates a significant movement in the price above and beyond the range of the previous candles. In fact, the greater the differential between the two candles, the stronger the likelihood that the price is going to move in the direction of the original momentum that was predicted by the first momentum line. This candle may appear well before the moving average stabilizes around the current price. Occasionally, the moving average and the momentum candle will line up with one another which can add a third level of confluence to the trade.

The biggest disadvantage of this type of strategy is that it requires numerous confirmation points in order to get started properly. Furthermore, some traders will hesitate to use this strategy because it requires a pair of candlesticks before it can be verified properly. However, this is really only a deal breaker if you are trading in the extreme short-term as otherwise you will likely be able to get confirmation before missing out on the potential profits.

The momentum signal line is an oscillator which can also be considered a drawback. As such, the readings it produces will have a tendency to lag behind the most current market conditions, as such, by the time the oscillator has clearly defined a trend, it is possible that the price will have already entered a different phase. This can lead to a scenario where you are losing out on your profit if the price has already started moving in the other

direction against the signal line. This, in turn, can lead to a binary option that enters the out of the money level practically the moment it is placed in the first place. This can be easily mitigated by simply sticking to longer timeframe charts when you will naturally have the maximum amount of information at hand.

The momentum method can easily generate false signals for those who are not exactly sure what it is they are looking for, even if you have a secondary confirmation indicator. As such, they are best used by seasoned traders who have a clear idea of what they are looking for when it comes to a momentum indicator that is strong enough to trade on. Primarily, the biggest thing to consider when you see a put or call indicator is patience as you will never want to execute until the next momentum candle has been generated. Even still, if you can overcome these issues then you will have a powerful tool at your disposal.

Play name: Binary options reversal strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: This strategy is based around the idea that if a given asset is currently moving in a set direction, then it is only a matter of time before it turns back around and heads in the other direction. While this might sound

ridiculous, the fact is that the market always aims for balance which means self-regulation from the extremes isn't a question of if, it is a question of when. As such, when you see an asset moving towards the extremes, you can often get a jump on the competition by going against the trend and getting in early on where the price is going to eventually be.



In order for this strategy to work properly, you are going to want to either predict the incoming put or call based on the current situation and any additional details you may have been able to determine from relevant sources. You can find this strategy to be the most effective during periods where the market is moving extremely quickly because the speed at which the market moves in one direction is often a good indication of how quickly it is going to move in the other direction as well.

You will find that once you understand the patterns that a given asset goes through you will then be able to more easily determine when the peak of a given asset has been reached, increasing the effectiveness of this strategy even further without exposing you to any extra risk. This strategy can be used at virtually any time in any market state.

Play name: Trade the news

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: Trading various underlying assets based on the news is a common binary options trading strategy that often seems far more straightforward than it actually is. On the surface, it only involves buying when good news comes out regarding the underlying asset in question and selling if the news is bad instead, though it is far from an exact science. In fact, this strategy tends to leave more to chance in general as trading the news relies on making assumptions about the state of the market, as well as assumptions about the way people are going to react to news that you will generally only have an inkling of.

The only way of getting a clear idea of how much a given piece of news is going to affect an asset price is through practice and plenty of it. This doesn't mean that there is nothing you can do to increase your odds of success, however, and the following can help you increase your odds of success significantly. For example, if you know that a specific piece of news is going to be released at a specific point, but you don't know what the response to it is going to be then one of the best ways to ensure you end

up on the right side of things when it is all said and done is to set up a boundary binary option.

When using a boundary binary option, you simply define a set of target prices, one on either side of the price the underlying asset is currently trading at. This leads to what is known as a price channel and as long as the asset continues to move all the way to one price point or the other you will be able to take continuous advantage of the situation. However, if the underlying asset remains in the price channel then you won't profit from what is taking place which is why this strategy is only useful if you expect there to be a significant amount of movement when everything is said and done.

Trading the breakout, otherwise known as the period of time immediately following the release of important news is another popular way to take advantage of a particularly important piece of news. While this strategy is popular in various types of investments, it offers unique challenges when used with binary options as the window for it to be effective can be exceedingly small, anywhere from a few minutes all the way down to as little as 30 seconds.

The biggest swings in asset price are generally going to occur during this period which means that you are going to need to be prepared to move quickly in order to take advantage of the other traders who are looking to modify their own positions in hopes of minimizing their own risk as well. If you have been doing your homework, and thus have a decent idea of what the news is going to be, then you can set up a simple low/high option to

take full advantage of this movement. When it comes to setting up this option, you are going to want to ensure that you choose an extremely short timeframe, generally no more than the one-minute chart.

Finally, if you are already comfortable with technical analysis then you may also be able to take advantage of news trading opportunities based on candlestick formations. If you find a candlestick with a gap in the middle then you can safely assume that the price of this asset has moved from one point to another that is either lower or higher than where it started, hence the gap. Due to the fact that price movements are generally far more gradual, pinpointing this gap means that something interesting is likely going to happen soon if it hasn't happened yet.

With a little practice, you will likely find that identifying the gap will allow you to make a variety of different predictions based on what is going on with the market in the moment. First, if you find a gap during a period of time with low overall trading volume then this is a good indicator that the market will be correcting that disparity sooner rather than later. This type of gap occurs most frequently when a large trade is made near the end of the day once a majority of traders have already called it a day. This means that the change isn't necessarily going to reflect the asset's strengths, which means you can then set up your own trade to take advantage of the fact that things will shortly be moving back to normal with more traditional conditions.

On the other hand, if you find a gap during a part of the day when trade volume is very high and the previous amount of movement to the asset

price has been negligible the this is a strong indicator that a new breakout is occurring which means you have an opportunity for greater than average profits. If you make a point of moving quickly you can then further take advantage of this fact by trading into the direction the break is moving by taking the time to make a prediction regarding the price you expect the trend to top out at.

Alternately, if the gap appears when the trading volume is more normal, and the price of the related asset is already noticeably trending towards a specific direction, then the gap is likely indicating that the trend is speeding up and gaining strength in the same direction. This means you can be fairly confident in a prediction that indicates the trend is going to continue through the short-term, at the very least. Depending on the strength of the trend in question, along with the length of time it has already been hard at work, you may even be able to accurately predict past the short-term, though you should only do so if the indicators you are following are extremely insistent that you do so.

Play name: 60-second binary options strategy

Who should run it: This strategy is suitable for everyone

When to run it: This strategy is effective in a bullish or bearish market

Details: Despite the fact that this type of trading is not nearly as accurate as working in the 15-minute or longer range, it can still be quite profitable if done correctly. This range is all about quantity over quality which means if you have a relatively high tolerance for risk then you can generate serious profits in a short amount of time with a little luck and a little practice.

To use this strategy effectively, the first thing you are going to need to do is to consider the current resistance and support levels that you are working with after you have already considered the reasonable amount of change you can expect from the market within the next 60 seconds. Fibonacci retracements or pivot points are both good choices for this, and both should be a part of any trading platform.

After you have found a market you are interested in moving forward with, the next thing you will need to do is set up a trade on the first touch level. When it comes to trading in markets that have a higher than average level of essentially meaningless information coming in then you are going to want to focus on generating a higher overall volume of trades to balance everything out. During this process, you will need to determine the initial point where the price level is going to reject the trend, and then if it works out as you anticipate you will have a good idea of just how robust the price level actually is, so you can utilize it properly in future touches. The end result of this is that you will have setups that are more accurate when it comes to future trades that makes it easier to mitigate the noise that is so common in short-term options.

However, this is not to say that trading at touches of all types of support and resistance is going to be the right choice either. Rather, you are going to keep the price action in mind which means you will need to factor in momentum as well as trend direction in order to determine if you are going to be able to utilize this strategy as effectively as possible in the short-term when it will do the most good.

While trading at an overall higher volume is recommended, it is important that you don't go overboard and start looking for setups that don't actually exist. Don't forget, it is always going to be a more profitable idea to wait for the best possible trade to come along so that you have a general idea of what is going to be successful as opposed to trading for trading's sake. Anything else is little more than gambling and there are far better ways to gamble than through binary options trading.

Play name: Divergence strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: Using the divergence trading tool to plan your trades can make trading binary options quite straight forward when done correctly. The most important thing to keep in mind is that you must always start by comparing

the price of the underlying asset to an oscillating indicator as a trend indicator will not accurately short the divergence moves.



The oscillator will then essentially confirm or deny the movement you are looking for. Take note, however, the price also has a tendency to make fake moves a large portion of the time which means you are going to want to stick to a single oscillator at a time for the best results. If the oscillator is rising, but the price is still falling, then the divergence is bullish, if it is falling while the price is rising then the divergence is bearish.

While divergence always means that something is changing, it doesn't mean the trend is going to reverse right away as it can also signal that a different strategy entirely might be the better choice. While wanting to pick the bottom or the top is often the natural response, this is typically more about satisfying ego than maintaining profits. In order to ensure your trades are consistently profitable you will want to pick the right strategy for what the price is doing, not what you think it is going to do.

Play name: BOMS strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: The BOMS strategy is designed to follow trends which means you are going to need to bring other tools into the strategy in order for it to be truly effective. The tools you are going to need to use for this strategy include the EMA, period 34 green and the trader's dynamic index set to its default settings. The first thing you will need to do is look at the current trend through the lens of TDI. To find the current trend, you will look at the two available EMAs, green and red. If green is above red then an uptrend is in effect, if red is above green then the trend is negative instead.



Furthermore, you are going to want to ensure that the green line touches the blue lines, if you are looking at a positive trend then the line should touch the lower volatility band and if you are following a negative trend it should

touch the higher band. When the green TDI line crosses the red TDI line moving upward, then you are going to want to enter your call.

If you are trading puts, then you are going to want the green line to touch either the upper or lower volatility bands before entering. These bands can be thought of as similar to Bollinger bands which means that if the price touches the upper band then the underlying asset may soon be overbought, and the odds of a downtrend increases significantly. If it touches the lower level, then it is oversold and is likely to increase instead. This strategy looks for these oversold or overbought levels but only so they line up with the trend that is identified via the EMAs.

CHAPTER 9: TECHNICAL INDICATOR STRATEGIES

Play name: Moving average convergence divergence strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: The moving average convergence divergence indicator is a type of oscillating indicator that primarily moves between zero and the centerline. If the MACD value is high then you can assume the related underlying asset is nearly overbought and if the value is low, then the stock is nearly oversold.

The MACD chart is typically based on a combination of several EMAs. These averages can be based on any timeframe, though the most common is the 12-26-9 chart. This chart is typically broken into multiple parts, the first of which is the 26-day and 12-day chart. Mixing up the EMAs will allow

you to more accurately gauge the level of momentum that the trend you are tracking is experiencing.

If the 12-day EMA ends up above the 26-day EMA, then you can assume the underlying stock is on an uptrend and the reverse indicates a downtrend. If the 12-day EMA increases more quickly than the 26-day EMA then the uptrend is going to be even more well-pronounced. However, if the 12-day EMA moves closer to the 26-day EMA then you can safely assume that it is starting to slow, and the momentum is waning, which means it is going to take the trend with it.

The MACD uses the EMA by considering the difference between them once they are plotted out. If the 26-day and the 12-day are the same, then the MACD equal out to 0. If the 12-day ends up at a higher point than the 26-day then you can assume the MACD is positive, if not, it will be negative. The greater the difference between the two, the greater the difference between the MACD line and zero.

From there, you will then want to take into account the 9-day EMA as well. The 9-day EMA is different in that it determines the trend of the MACD line as opposed to that of the stock price. As such, if the 9-day EMA smooths out the movement of MACD line the results are going to be far more manageable.

If the result then generates a trend that indicates a negative amount of divergence, then you can be quite certain that the positive trend that is

currently taking place is ultimately going to hit a level of resistance that it simply won't be able to overcome. This, in turn, means that it will have to reverse sooner rather than later. This can even happen if the pattern of the underlying stock appears to not yet be running out of momentum.

Play name: Average directional index strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: The average directional index can be thought of as a sort of guidepost that confirms the signals that other technical indicators uncover. Once a trend has been identified successfully, the average directional index can then more easily determine its strength when compared to the other trends that are currently taking place. The average directional index features a combination of directional indicators that are negative and positive, so they can track trends regardless of their direction. They are then unified in a way that determines the overall strength of the trend.

As an oscillating indicator, the average directional index ranges between 100 and 0. The low end indicates that the trend is essentially flat and without volatility while the high end indicates that the stock is virtually moving straight up and down very quickly. This indicator is only useful

when it comes to measuring the overall strength of the trend, not which direction it is moving in or is likely to move in any time soon.

When it comes to keeping an eye out for these types of signals, if a trend moves from above the 40 mark to below it, then you can safely assume that the current trend you are following is slowing which means it is likely time to alter your trading strategy or to close out any positions you may still be holding on to. Nevertheless, if you see a trend start below 20 and then increase to near 40 or above then you can assume that a neutral market is beginning to pick up steam and a major trend is likely forming.

This is why it is so important to keep in mind the point where the positive and negative directional indexes cross. If the negative direction index crosses the positive moving upward, then you can assume the market is bullish, otherwise, you can assume the market is bearish.

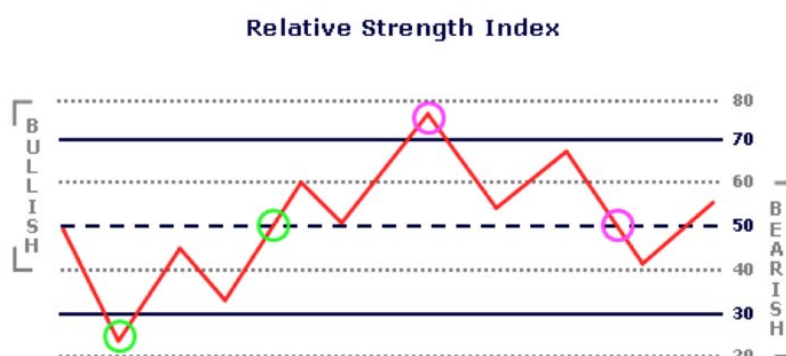
Play name: Relative strength index strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: The relative strength index strategy uses the RSI indicator to compare the magnitude of recent losses when compared to recent gains in

order to determine if a given underlying asset is currently oversold or overbought. This, in turn, makes it easier to determine crucial market indicators that correlate reversals or forthcoming corrections and bringing pricing movements into stark focus. RSI is at its most effective when it is used to measure individual stocks as opposed to indices due to the fact that it is more likely the individuals will experience either condition.



RSI values range from 0 to 100. Any value above 70 shows the stock is overbought and anything under 30 shows it is undersold. In general, options that are on high beta stocks with high liquidity are going to provide the best RSI results.

You will want to match this with crossover data from the short-term moving average. Using the 10-day and 25-day details you should be able to more easily discern various crossovers that show when a directional shift is likely to occur in periods where the RSI is either trending in the 20-80 range or the 70-30 range. Regardless of the results, RSI is always going to point to a period of reversal, regardless of what is reversing into which.

The concept known as failure swings can make it easier for investors to take full advantage of the information shown through an RSI. It is important to keep in mind that just because the RSI shows either something in the range of 30 or 70, doesn't mean that the reversal is going to happen right away. Rather, positions can remain in overbought or oversold positions for an extended period of time.

Play name: Intraday momentum index strategy

Who should run it: This strategy is suitable for all-stars

When to run it: This strategy is effective in a bullish or bearish market

Details: For those who trade more frequently than even most veteran traders, the intraday momentum index is a particularly useful indicator. It utilizes candlesticks as well as an RSI in order to create a useful intraday trading range that shows off overbought or oversold markets. It is also important to take into account the trend the price is following, if visible, as a strong trend indicator can give off a false positive in this scenario that could cause it to read as overbought or oversold when this is not really the case.



The more you are aware of these trends, the more you will be able to make full use of the IMI so you will have the ability to spot these types of incidents sooner than would otherwise be the case, making it possible to get into an early long position while the market is still on the uptrend or get into a short position if it was on a downtrend.

When combined with the possibility of leverage, the IMI strategy can be extremely profitable the formula is also flexible in that each trader can use the n value that suits them best. Commonly used values include 70 or above for markets that are overbought and 30 or less for markets that are oversold.

Play name: Money flow index strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: If you are looking for another strategy to use that compliments the RSI, then the money flow index is a great choice. It combines the price data and volume in order to identify price trends for a given stock. It is also known as the volume weight RSI strategy. As volume is taken into account, this indicator is also able to reliably generate useful inputs regarding the amount of capital that is moving into and out of the chosen stock over a set period of time. The timeframe that is used most frequently is two weeks. The MFI value is always somewhere between 0 and 100.

For the negative money flow, you can determine the current status by adding together all the various amounts for days where the typical price is lower than the previous average price. The opposite can be used to find a positive flow. You will also want to keep an eye out for opportunities that become apparent when the MFI moves in the opposite direction of the current price as this says the current trend is likely to reverse sooner rather than later.

Play name: Put call ratio indicator strategy

Who should run it: This strategy is suitable for veterans

When to run it: This strategy is effective in a bullish or bearish market

Details: This strategy is useful when it comes to determining the volume of a standard put or call. Rather than dealing with absolute value, this strategy focuses on if the market sentiment is changing or not. The greater the change that is seen in the localized value, the greater the change in the market as a whole. If the value then continues to drop it means the current trend is bullish and if the value increases then the market is bearish.

As it is dependent on the up to date data regarding the volume, the MFI indicator is especially useful for options trading based on stocks as opposed to indices. It is also known to see better results for longer forms of options trading than with intraday trading. In general, you will want to look for scenarios where the MFI indicator moves away from the stock price as this is generally a leading indicator that signals a trend reversal is coming. The best values to base your predictions on are going to be 20 for oversold and 80 for overbought.

CONCLUSION

Thank you for making it through to the end of *Trading Options: Advanced Trading Strategies and Techniques*, let's hope it was informative and able to provide you with all of the tools you need to achieve your goals, whatever it is that they may be. Just because you've finished this book doesn't mean there is nothing left to learn on the topic, expanding your horizons is the only way to find the mastery you seek.

Now that you have finished this book, it is natural to have confidence in yourself and your ability to trade successfully. This is no reason to get ahead of yourself, however, which means having measured expectations when it comes to your success when you are first starting out. Don't forget, options trading is one of the more difficult types of investment trading to do successfully, even for those who have been at it for years which means you are likely in for an uphill battle before you start seeing any sort of reliable results for all the effort you are going to need to put in from the start.

As such, if you expect too much too soon, all you will end up doing is hurting your confidence and making it more difficult for you to get back on

the horse after you have been knocked off. Instead, it is best to keep in mind that trading successfully is a skill which means that the only way to improve is with plenty of good old fashioned practice. Remember, successfully trading options is a marathon, not a sprint, slow and steady wins the race.

Finally, if you found this book useful in any way, a review on Amazon is always appreciated!



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